

ORIGINAL

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(**EXCEPTIONS DUE 6-25-96**)
(**REPLIES TO EXCEPTIONS DUE 7-17-96**)

FEDERAL MARITIME COMMISSION

DOCKET NO. 89-26

THE GOVERNMENT OF THE TERRITORY OF GUAM, ET AL.

v.

**SEA-LAND SERVICE, INC. AND
AMERICAN PRESIDENT LINES, LTD.**

Rates charged on numerous shipments transported by respondents between Guam and ports in the continental United States found not shown to have been or to be unjust or unreasonable. Respondents' renewed motion to dismiss granted as to alleged violations of the Intercoastal Shipping Act, 1933, and denied in all other respects. Complaint dismissed as to alleged violations of the Shipping Act, 1916.

Frank C. Torres, III, Roger A. Berliner, Mary Eva Candon, Peter G. Hirst, John W. Jimison, Jane E. Stelck, and William R. Koerner, present counsel for complainants The Government of the Territory of Guam, et al.

Barry J. Israel, Linda P. Reppert, Will E. Leonard, Mark P. Lindberg, and Rick A. Rude, former counsel for complainants.

C. Jonathan Benner, Charles L. Coleman III, John E. Wells IV, Michael R. Hudson, Leonard L. Fleisig, John C. Fricano, Stuart R. Breidbart, Robert A. Zuckerman, and Claudia E. Stone for respondent Sea-Land Service, Inc.

Robert T. Basseches, David B. Cook, Eric C. Jeffrey, and Cynthia Gurnee Pugh for respondent American President Lines, Ltd.

Richard A. Haynes, E. Duncan Hamner, Jr., and John M. Binetti for intervenor Military Sealift Command.

Abbreviations and Acronyms Used in
This Record and Initial Decision

A&G	Administrative and General Expense
APC or APCo	American President Company, parent company of APL
APDom	Term of convenience for APC subsidiary that arranges and/or provides domestic land (including Stacktrain) transportation
APL	American President Lines, Ltd.
CAPS	Computer Assisted Preplanning System vessel stowage planning system of APL
CBCE	Cargo, Barge Container Expense
CE	Comparable Earnings
CFS	Container freight station
Commission	Federal Maritime Commission
CPI	Consumer Price Index
CY	Container yard
DART	Deployment Architecture Tool deployment planning system of APL
FAK	Freight All Kinds
FDC	Fully Distributed Cost
FEU	Forty-Foot Equivalent Unit (capacity or container)
FMC	Federal Maritime Commission
Gensets	Generator for keeping reefers and contents cool
GovGuam	Government of Guam
GRA	Guam Rate Agreement

GRI	General rate increase
J&G	Jones & Guerrero Company, parent of complainants Micronesia Brokers Incorporated and Town House Department Stores
ICC	Interstate Commerce Commission
M&R	Maintenance and Repair
Matson	Matson Navigation Company
MarAd	Maritime Administration
MBI	Micronesia Brokers Incorporated, complainant
MCCM	Maximum Competitive Contribution Method
MDR	More Direct Ratio
MLB	Minilandbridge
MSC	Military Sealift Command, intervenor
ODS	Operating Differential Subsidy
OOCL	Orient Overseas Container Line
PAX	APL temporary deployment (1988-89) that involved voyages from California to the Persian Gulf
PIG	Pacific International Company, Inc.
PL	Pacific Island Express APL California -- Far East service that calls at Guam
PNW	Pacific Northwest
PSX	Pacific South Express APL service from California to Far East with C10 vessels
PW	Pacific Wholesalers, affiliate of Pacific International Company, Inc.
Reefer	Refrigerated cargo or container

SAC	Stand Alone Cost
Sea-Land	Sea-Land Service, Inc.
Town House	Town House Department Stores
Transtainer	Tire mounted crane to move and stack containers in the yard
TSA	Transpacific Stabilization Agreement
TWRA	Transpacific Westbound Rate Agreement
VER	Voyage Expense Ratio
WAX	West Asia Express APL feeder service



**INITIAL DECISION¹ OF FREDERICK M. DOLAN, JR.,
ADMINISTRATIVE LAW JUDGE**

By complaint filed December 7, 1989, as amended, complainants the Government of the Territory of Guam, et al.² ("GovGuam") allege that respondents Sea-Land Service, Inc. ("Sea-Land") and American President Lines, Ltd. ("APL"), vessel operating common carriers by water, in interstate commerce in the Guam trade, viz. the U.S. domestic offshore trade between ports on the west coast of the continental United States and Guam, violated certain provisions of the Shipping Act, 1916 ("1916 Act"), 46 U.S.C. app. §§ 801 *et seq.*, and the Intercoastal Shipping Act, 1933 ("1933 Act"), 46 U.S.C. app. §§ 843-848, in the transportation of numerous shipments during the statutory period from 1987 until 1989 and 1990 when each respective respondent terminated filing port-to-port rates with this Commission for the Guam trade and filed intermodal rates with the former Interstate Commerce Commission ("ICC"), now under the ICC Termination Act of 1995, P.L. 104-88, the Surface Transportation Board ("STB").

As a result of stipulations, prior orders, and after extensive discovery, hearings, briefs, reply briefs, and surreply briefs,³ GovGuam now alleges that both APL and Sea-Land charged Guam shippers unjust, unreasonable and discriminatory rates, and also imposed unjust and unreasonable rate increases on 18 commodities in 1989, in violation of

¹This decision will become the decision of the Commission in the absence of review thereof by the Commission (Rule 227, Rules of Practice and Procedure, 46 CFR 502.227).

²Pacific International Company, Inc., Town House Department Stores, Inc., and Micronesian Brokers, Incorporated. The complainants will be referred to collectively as "GovGuam."

³GovGuam did not file a surreply brief.

section 18(a) of the 1916 Act, 46 U.S.C. app. § 817(a), and section 2 of the 1933 Act, 46 U.S.C. app. § 844. In pursuing the contention that respondents' rates have exceeded a maximum reasonable level GovGuam presents a novel theory of the case, i.e., that respondents' rates of return in the Guam trade exceeded what GovGuam terms the "average allowable revenues" which it contends is that permitted by 46 CFR § 552 *et seq.*, referred to in this proceeding as "G.O. 11," and that as a result, the rates comprising that rate structure and the increases on 18 specified commodities exceeded a maximum reasonable level.

GovGuam also alleges that the FMC has jurisdiction over Sea-Land's operations between Long Beach and Guam, between Oakland and Guam, and between Hawaii and Guam after June 23, 1989, when Sea-Land ceased filing its port-to-port tariffs at the FMC and instead filed intermodal tariffs with the former ICC. GovGuam seeks damages and rates for the future from both respondents and attorneys' fees. Military Sealift Command ("MSC") intervened in support of GovGuam. The proceeding was bifurcated with the question of liability to be decided first and damages later, if necessary.

Requested findings of fact not specifically discussed in this initial decision, nor reflected in the findings or conclusions, have been considered but found either unjustified or unnecessary to resolve the issues presented in this proceeding.⁴

The first question to be addressed is APL's renewed motion to dismiss the complaint, to which GovGuam replied. APL renews its motion to dismiss contending that neither the

⁴For administrative convenience, the names of each of the numerous witnesses who submitted evidence in this proceeding will be omitted generally and the shorthand abbreviations of the parties for whom they testified, "GovGuam," "APL," and "Sea-Land," will be used instead. A brief description of each of the witnesses may be found in Appendix A.

1916 nor the 1933 Acts contemplate a rate-of-return challenge to a carrier's entire rate structure. GovGuam responds that the Commission invited this complaint, and that the motion has been previously denied. The renewed motion is granted as to alleged violations of the Intercoastal Shipping Act, 1933, and denied in all other respects. See Appendix B for further discussion.

While Sea-Land's primary position is that this agency lacks jurisdiction over it since it filed joint ocean-rail and ocean-water intermodal tariffs with the former ICC on June 23, 1989, and that jurisdiction is normally addressed first, it has no objection to treating the rate issues on their merits if that would be more efficient. Sea-Land brief, p. 27-8. Accordingly, the jurisdictional issue will not be addressed in this ruling at this time.

Guam

Guam, an unincorporated territory of the United States, is an island (with a total land area of 209 square miles and a 1990 population of 133,152) located about 5,000 miles from the U.S. mainland, about 1,500 miles each from the Philippines and Japan, and approximately 3,000 miles from Sydney, Australia. It is the westernmost part of the United States.

Tourism is the most important private industry in Guam. Guam is particularly attractive to Japanese tourists, who have dominated the industry, but there has been an increase in tourists from other Far East countries. From 1983 to 1991, visitor arrivals more than doubled, as did Guam's hotel room inventory. Tourism provides 68% of Guam's total retail sales. Construction on Guam has boomed in conjunction with the tourist industry as

Guam went from small "Mom-and-Pop" retail establishments to an era of large hotel and condominium projects, shopping centers, and golf courses. As the result of the dramatic explosion in tourism, other aspects of Guam's economy have also "expanded at an astounding pace." For example: (1) there has been a "fantastic" growth in payroll employment, with unemployment dropping to below 2% in 1990; (2) the standard of living has improved, with adjusted gross income nearly tripling between 1983 and 1990; (3) profits have also risen substantially in Guam; and (4) participation in Guam's social welfare programs has generally declined in the 1980s. This prosperity is echoed in the testimony of the private complainants, who in their written direct testimonies have explained how their businesses blossomed in those years.

Guam's economic expansion has not been wholly without a downside. Guam has experienced substantial inflation during that time frame. The average level of prices in Guam (as measured by the Guam Consumer Price Index ("CPI")) was more than 53% higher in 1990 than it was in 1983, and was another 10.2% higher in 1991. From the first quarter of 1983 through the first quarter of 1992, consumer prices nearly doubled. Prices for food and beverages have increased at an even faster rate. From the first quarter of 1983 to the first quarter of 1992, food and beverage prices in Guam nearly tripled. Services as well as goods were subject to significant inflation.

Guam's manufacturing and agricultural facilities are minimal, and so it must import most foods and manufactured items. Because air transport is too expensive for most imported goods, Guam relies heavily on the services of ocean carriers. The Guam import trade includes aspects of both the westbound trade from the U.S. to the Far East and the

eastbound trade from the Far East to the U.S., as well as its own unique attributes. Guam imports from the U.S. a "full range of consumer items," including food products of all kinds, household goods, vehicles and building materials supporting the Guam construction industry. The Guam import trade somewhat resembles the eastbound transpacific trade in that it includes a large amount of high value, finished consumer products, although unlike the eastbound transpacific trade, the Guam import trade also includes a great deal of refrigerated cargo and building materials. In these latter respects, the Guam import trade more closely resembles the westbound transpacific trade, but without the large volumes of raw manufacturing materials--e.g., wastepaper, cotton, scrap metal--found in the westbound transpacific trade. Guam imports commodities not only from the U.S. but also from a variety of foreign production centers. The volume of foreign imports to Guam rose rapidly during the dispute period, and such foreign imports play a significant and increasing role in the Guam marketplace.

The Nature and Scope of the Services of Respondent APL

APL's service to Guam is part of and interrelated with its total service. APL's transportation service encompasses the entirety of the U.S. mainland, Canada, Mexico and the Caribbean, and the full range of Asian countries on the Pacific and Indian Oceans from the Russian border to the Red Sea. The service is performed by a fleet of U.S. linehaul vessels that sail between the U.S. West Coast and the Far East and that are integrated with a large network of feeder vessels throughout Asia and a broad range of truck and rail carriers throughout the U.S. mainland.

Because modern containerships are enormously expensive, costing as much as \$100 million per vessel, today's liner services are performed by a combination of linehaul services (services using large capacity ships between major load centers) and feeder services (services performed by smaller vessels that relay cargo between linehaul markets and secondary markets).

During the period of principal relevance (1988-1990) APL operated three separate linehaul services--typically referred to as "strings"--between the U.S. West Coast and the major Far East ports in Japan, Taiwan and Hong Kong, two originating in California and one from Seattle, WA in the Pacific Northwest ("PNW"). Each of the APL strings used five vessels on a 35-day voyage, thereby allowing regular, weekly calls at each linehaul port.

1. APL's Pacific South Express ("PSX") service has been performed with APL's largest and newest vessels--the C10s--on an itinerary San Pedro (Los Angeles), CA/Oakland, CA/Yokohama (Japan)/Kobe (Japan)/Kaohsiung (Taiwan)/Hong Kong/Kaohsiung/San Pedro.

2. The service that includes Guam, APL's Pacific Island Express ("PIX") service, has been performed with three C9 and two J9 vessels, on an itinerary San Pedro/Oakland/Guam/Kaohsiung/Kobe/Nagoya (Japan)/Yokohama (Japan)/San Pedro.⁵

3. APL's Pacific North Express service (PNX or PNW service) has served the PNW-Far East trade, and has operated on an itinerary Seattle (WA)/Dutch Harbor (Alaska)/Yokohama/Kobe/Okinawa/Kaohsiung/Hong Kong/Kaohsiung/Kobe/Yokohama/Seattle, using APL's smaller and older C8 and Pacesetter vessels.

⁵Until 1991, calls were also made periodically at Keelung, Taiwan. Subsequent to its agreement with OOCL, APL added a call at Hakata, Japan.

Since December 1991, APL's services have been expanded to include five linehaul services between the West Coast and the Far East, as the result of an agreement with Orient Overseas Container Line ("OOCL"). The 26 vessels operating in these linehaul services are supplied by APL (15) and by OOCL (11). APL continues to operate the three strings described above with its own vessels and OOCL operates two strings to the Far East, one from California and one from the PNW. APL and OOCL each utilize each of the strings--and each of the vessels in each string--by an allotment of space on each sailing.

APL's major linehaul services are supplemented in the Far East by a series of feeder services (operated exclusively by APL and not shared with OOCL) originating in Japan and Kaohsiung that provide service to and from Korea, the Philippines, Thailand, and the Peoples Republic of China with 6 additional vessels. From Kaohsiung, APL operates a supplementary linehaul service (West Asian Express or "WAX") across the Indian Ocean with four U.S. flag linehaul L9s that call at hub ports at Singapore, Colombo (Sri Lanka) and Fujairah (in the Gulf of Oman), which service is in turn supplemented by a series of feeder service performed with 11 APL vessels that provide service to Malaysia, Indonesia, the Bay of Bengal, South and West India, Pakistan, the Red Sea and within the Persian Gulf.

Although APL's ships physically call only at West Coast ports in the continental U.S., APL provides service to and from the entire U.S. mainland, Canada and Mexico, originating cargo at more than 130 intermodal service points throughout the U.S. Overland rail transportation between West Coast ports and inland U.S. points of origin/destination is

provided by APL using principally the Stacktrain system of APL's sister company American President Domestic ("APDom").

APL's principal offices are located at Oakland, CA. It has major documentation centers in Denver, CO and Atlanta, GA where all U.S. mainland and Canada outbound documentation activities are performed for APL's entire system. APL's administrative center in Asia, which administered APL's Guam trade until mid-1991, is located in Hong Kong. APL maintains 120 additional offices and agents worldwide.

APL performs what it calls a "value added" service, by which APL means that it has invested its energies and resources in providing a quality of service and an array of equipment options and logistical supports that will maximize the marketing opportunities of its customers. This "value added" service includes not only innovations in equipment, systems and communication resources, but also operational predicates such as regular, same-day-of-the-week service, rapid transit time between markets and broad market coverage.

Accomplishing these operational goals is a matter of enormous complexity given the breadth and diversity of APL's system. Market and operating conditions are not static, but are in constant flux, requiring APL continually to re-evaluate the deployment of its vessels and the structure of its services. For example, whenever APL has introduced new linehaul vessels into service, as it did in 1982-83, 1984, 1986, 1987 and 1988, this has resulted in a new deployment involving reassignment of vessels throughout the APL system and changes in port rotation and timing. Similarly, specific events such as terminal difficulties, or the demands of a military effort like Operation Desert Storm, or the 1993 earthquake that had

a major adverse effect on the container berth at Guam have required temporary deployment changes.

There is a high degree of integration among APL's services and among the assets that APL utilizes to operate and manage those services. The following provides some general examples of that integration. APL's vessels are moved between services both as a consequence of new deployments and as a temporary measure in light of short term changes in the operating environment. APL's linehaul services are integrated into its feeder services and coordinated with APDom's overland rail system with the objective of meeting customer demands in each market. APL relays cargo between linehaul vessels to get cargo to or from a port called by one string but not the other, or to meet the needs of a particular market, such as a closing on a particular day of the week. APL's administration and documentation for the entire system are carried out at APL's U.S. and Asia administrative and documentation centers, and all of APL's sales offices solicit cargo for all origins/destinations served by APL.

Every operations facility and terminal served by a vessel string is directly affected by activities at every other port on the string, because cargo stowage at each port must be coordinated with cargo previously placed on board and cargo projected to be placed on board at subsequent ports, and because events at one port have an impact on scheduling at all subsequent ports on the string. Sales and planning activities at each feeder port are affected by other cargo booked to the system, because precise knowledge of cargo origins/destinations, volumes and flows is critical to space availability and to the efficient stowage of the linehaul vessels to and from which the feeder cargoes are relayed.

APL has obtained MarAd approval to provide domestic service between the U.S. West Coast and Guam for up to 52 sailings per year by its subsidized vessels serving the Far East. APL does not receive any operating differential subsidy (ODS) for the Guam service. As a result, when APL's transpacific vessels call at Guam on the way to the Far East, the subsidy that those ships would otherwise earn is reduced in direct proportion to the revenue APL earns from carriage of domestic Guam cargo, approximately \$150 for each FEU of Guam cargo carried.

G.O. 11--46 CFR § 552, et seq.

Turning to the principal issues in this proceeding, GovGuam contends that 46 CFR § 552, *et seq.*, referred to throughout this proceeding as "G.O. 11," should be applied strictly. APL urges that as to the Guam trade G.O. 11 produces absurd results and is ill-suited to conditions in that trade. These two polar positions have produced contradictory evidence and testimony and show that the carriers are either earning excessive profits in this trade or are earning less than a reasonable rate of return. Section 552.1 provides as follows:

**46 CFR 552--FINANCIAL REPORTS OF VESSEL OPERATING COMMON
CARRIERS BY WATER IN THE DOMESTIC OFFSHORE
TRADES**

Sec.

552.1 Purpose.

552.2 General requirements.

552.3 Certification.

552.4 Access to and audit of records.

552.5 Definitions.

552.6 Forms.

552.91 OMB control numbers assigned pursuant to the Paperwork Reduction Act.

AUTHORITY: 5 U.S.C. 553; 46 U.S.C. app. 817(a), 820, 841a and 847.

SOURCE: 49 FR 38850, Oct. 1, 1994, unless otherwise noted.

§ 552.1 Purpose.

(a) The purpose of this part is to establish methodologies that the Federal Maritime Commission will utilize in evaluating the reasonableness of rates in the domestic offshore trades filed by vessel operating common carriers (VOCCs) subject to the provisions of the Intercoastal Shipping Act, 1933 (46 U.S.C. app. 843, 844, 845, 845(a) and 847) and to provide for the orderly acquisition of data essential to this evaluation. Compliance is mandatory and failure to file the reports required under this part may result in denial of rate increases or rejection of tariff pages implementing rate changes or penalties of up to \$100 for each day of such default (46 U.S.C. app. 820(a)).

(b) The methodology employed in each case will depend on the nature of the relevant carrier's operations and financial structure. In evaluating the reasonableness of a VOCC's overall level of rates, the Commission will use return on rate base as its primary standard. However, the Commission may also employ other financial methodologies in order to achieve a fair and reasonable result.

(c) In evaluating the reasonableness of a carrier's rates, the Commission may consider, in addition to the rate of return of the filing carrier, the effect which approval or disapproval of the rates will have on other carriers in the Trade.

(d) The Commission reserves to itself the right to employ other bases for allocation and calculation and to consider other operational factors in any instance where it is deemed necessary to achieve a fair and reasonable result.

APL relies on (b) and (d), above, for its adjustments to the G.O. 11 methodology and GovGuam urges generally that only "the Commission" can use "other financial methodologies" in (b) and "other bases" and "other operational factors" in (d). Since the ultimate decision in this proceeding will be rendered by the Commission, that decision will

determine whether use of an alternative methodology is necessary to achieve a fair and reasonable result on the basis of an evidentiary record and Initial Decision in which possible alternative methodologies are identified and explained.

APL states that far from adhering to the "standard" G.O. 11 methodology, GovGuam ignored the central principle of that regulation of direct assignment of cost wherever possible and misapplied a number of implementing methodologies that are of fundamental importance in using the G.O. 11 methodology to achieve a fair and reasonable result.

Provisions similar to subparts 552.1(b) and (d) were included in G.O. 11 as it was originally adopted in 1964.⁶ At that time the Commission identified these provisions, allowing for alternative data and the use of alternative methodologies, as mitigating concerns expressed during the rulemaking that certain of the reporting methodologies were defective or inaccurate or might impose "inflexible rules" in future rate determinations. See 29 Fed. Reg. 7721 (June 17, 1964).

The specifications in subpart 552.1(b) that "[t]he methodology employed in each case will depend on the nature of the relevant carrier's operations and financial structure," and in subparts (b) and (d) that other financial "methodologies," other bases for "allocations,"

⁶Thus § 512.3(f)-(g) of G.O. 11 as promulgated on June 17, 1964, 29 Fed. Reg. 7721-22, provided:

(f) All carriers subject to these reporting requirements must comply fully with the instructions outlined herein, both as to the submission of the specified reports and as to compliance with the methods prescribed for their preparation. The carrier, however, may present additional material by way of alternative methods of allocation or other approaches to the problems inherent in this type of reporting. When such additional material is submitted, the methods used shall be explained and fully supported.

(g) The establishment of the rules and regulations prescribed in the succeeding sections hereof is without prejudice to the right of the Federal Maritime Commission to employ other bases for allocations and calculations in any instance where in its opinion the application of such rules and regulations create unreasonable results.

and "other operational factors" may be considered "to achieve a fair and reasonable result" is consistent with the judicial proscription that rate determinations will not be sustained if unreasonable or arbitrary. It is also consistent with the Commission's expectations, stated to the Congress during enactment of the 1978 amendments of the 1933 Act, that it anticipated cases in which the general methodology guidelines prescribed by the Commission's rules cannot be fairly applied to a carrier "with unique characteristics."

G.O. 11 was promulgated in response to the Congressional requirement in the 1978 amendments to section 3(a) of the 1933 Act that the Commission "by regulation prescribe guidelines for the determination of what constitutes a just and reasonable rate of return or profit." The statutory characterization of the methodologies as "guidelines" carries with it the concept of judgment. The guideline methodologies were not intended to foreclose the Commission's exercise of its traditional role in ratemaking proceedings of applying informed judgment to the specific facts of the carrier's operations.

Moreover, the regulatory history of Docket No. 78-46, which led to the promulgation of G.O. 11, identifies that Guam was an important point of focus for these provisions. During those proceedings the troubling issue of how to evaluate rates to Guam given its unique operating characteristics--including the fact that it was served as a small segment of a large integrated service to the Far East, and the unbalanced, one-way nature of the trade--was emphasized.

Subparts (b) and (d) of section 552.1 are dispositive of any claim by GovGuam that its purported strict adherence to G.O. 11's standard methodology automatically validates its analysis and relieves it of the obligation of providing a reasoned and reasonable analysis of

APL's and Sea-Land's rates.⁷ A further discussion of this and other issues may be found in Appendix C.

The Allocation of Common Costs--The Issue in General

No agency that has responsibility for the regulation of rates of any significant enterprise, any more than any economist, can be under any illusion as to the complexities of cost allocation among products produced in common and thus subject to "scope economies"--as applicable here, of highly integrated ocean transportation services of worldwide dimensions. There is no uniquely "correct" way to apportion common costs among component elements of a jointly performed activity, and therefore no clearly correct cost assignable to each component. The process of allocating common costs and investments has been termed as "inherently arbitrary." The federal courts, which frequently have addressed the implications of these complexities in particularized disputes, have been equally emphatic. In *Permian Basin Area Rate Cases*, 390 U.S. 747, 804 (1968), the Supreme Court quoted the statement of a leading economic treatise that (*Id.* at 804 n. 80):

... make laborious computations purporting to divide [such joint] costs is 'nonsense on stilts,' and has no more meaning than the famous example of predicting the banana crop by its correlation with expenditures on the Royal Navy.

⁷GovGuam's principal rate attack is directed to APL's rates and APL assumed the principal defense as to rate and cost issues, and this decision is similarly concentrated principally on APL.

The Seventh Circuit explained in *MCI Communications Corp. v. AT&T*, 708 F.2d 1081, 1116 (7th Cir. 1983):

FDC [fully distributed cost] is a quite arbitrary allocation of costs among different classes of service. There are countless FDC methods, each allocating costs by a different mathematical formula. Despite trenchant criticism on economic grounds, FDC continues to be widely used for regulatory purposes, *inter alia*, because of its ease of application in dividing an authorized total revenue requirement among individual products or services--much as a pie is divided into slices. But FDC cannot purport to identify those costs which are caused by a product or service, and this is fundamental to economic cost determination." [Emphasis in original and footnotes omitted.]

An allocation methodology can be more or less arbitrary according to the context in which it is applied. "Allocation of costs is not a matter for the slide-rule. It involves judgment on a myriad of facts." *Colorado Interstate Gas Co. v. Federal Power Comm'n*, 324 U.S. 581, 589 (1945). What is relevant is "the economic implications of the facts." *Columbia Gas Transmission Corp. v. FERC*, 628 F.2d 578, 589 n. 51 (D.C. Cir. 1979). This is embodied in § 552.1(b) of the Commission's G.O. 11 regulations, quoted earlier, which state that "[t]he methodology employed in each case will depend on the nature of the relevant carrier's operations and financial structure." During the legislative development of the 1978 amendments to the Intercoastal Shipping Act, 1933, which led to the promulgation of G.O. 11, the Commission emphasized to the Congress that no standard, generic methodology was likely to conform to the unique operating conditions of all regulated operators or domestic trades.

Because facts clearly matter in assigning costs among individual components of a joint activity using allocation techniques, it is well established that one must undertake to identify

the major factors that cause costs, identify the relevant pools of costs, and then apply an allocation ratio that captures the cost factors as directly as possible.

APL does not maintain costs by trade lane but rather by type of cost and geographic location where incurred. Virtually all of APL's assets used to serve Guam are also used to serve the rest of APL's system, including APL's vessels (which call at a half dozen ports in the Far East after calling at Guam and also are interchanged between other services in APL's system), its containers (which circulate throughout APL's system), its West Coast terminals (through which all of APL's U.S. commerce moves), its computer systems and the overall system overhead. Activities at any of APL's many locations can and typically do have direct impact on any other location throughout the system.

The context, therefore, is not one where the potential for arbitrary results flowing from allocation methodologies can be excused because only a limited portion of the total costs that are to be evaluated for reasonableness are subject to allocation, and the bulk of the costs are directly assigned: virtually all of APL's Guam costs are common costs, and GovGuam's use of allocation ratios to assign cost to APL's Guam service is pervasive. The only significant item of cost that was not derived by allocation in GovGuam's analysis of APL's costs was on-Guam cargo handling.

Guam represents a very small segment of APL's system. Only 2.5 percent of APL's system FEUs, and only 11 percent of the FEU moves on the PIX service that call at Guam, represent Guam moves. It is evident that when common costs are allocated to a small segment of a large system the potential for distortion and imprecision that inheres in any fully distributed cost ("FDC") analysis is dramatically increased.

Commodity type affects equipment, operating and Administrative and General ("A&G") costs. Reefer cargo makes up 14% of Guam cargoes (double the 7% that moves in the rest of the APL system), 7.6% of Guam cargo is oversize, and 6% consists of household goods (versus 0.2% and 1-1/2%, respectively, for APL as a whole). Reefer and oversize cargo experience markedly higher equipment and operating costs than cargo carried in a standard 40-foot dry container. Reefer and oversize cargo, as well as household goods and military cargo (20% of APL's Guam movement) also impose much higher overhead burdens on APL.

A generic allocation formula, which may not distort a cost assignment where a system is homogenous, will significantly distort the allocation of costs where, as the record shows in the case of Guam, the cargo mix is not homogenous. And where, again in the case of Guam, the record shows that a typical cargo mix is comprised of cargo that imposes unique costs and burdens on the carrier, a generic, one-size-fits-all ratio will under-allocate the affected costs to the service being analyzed.

The record shows that Guam is more costly to serve than any other port that APL calls with its line-haul ships. Such factors as the large deviation APL incurs from its great circle routing to the Far East to call at Guam, its loss of vessel capacity due to the shallow draft of the harbor and limited height of the cranes at the Port of Guam, the low and imbalanced cargo flows to and from that port, the very low efficiency of the port making APL's ships spend a disproportionately long time in port, the disproportionate assignment of chassis to Guam, and the need to carry PNW cargo moving to Guam overland for loading in California, are examples of operating characteristics that make Guam an unusually

expensive destination to serve. In addition, APL must repay to the U.S. Government \$150 in operating differential subsidy for each FEU of Guam cargo carried. Further discussion of these factors and issues may be found in Appendix C.

Generic ratios that treat any FEU in the APL system indistinguishably for purposes of assigning the cost of fuel, wages, vessels and equipment, and overhead, and that analyze all locations as if the cargo transits only the shortest navigable distance between load and discharge ports, by definition ignore the cost causative characteristics of the service and assign a disproportionately small fraction of the operating costs to the Guam segment.

GovGuam's written direct testimony, including supporting tables, includes an elaborate description of the allocation methodologies employed in developing its estimate of APL's cost of performing its Guam service, but it failed to demonstrate the economic reasonableness or appropriateness of those methodologies. That failure to explain or justify the methodological choices it made in analyzing Guam's service on any ground other than that the regulations purportedly required it, and to provide a demonstration that, as applied to the particular facts of APL's Guam service, the allocation methodologies employed were reasonable and could be expected to lead to a fair and reasonable evaluation of the financial results of the service, permeates this record. In its rebuttal testimony, GovGuam showed that, despite its widespread criticism, the FDC methodology continues in use in regulatory ratemaking. However, GovGuam did not justify or explain on any principled basis the reasonableness of G.O. 11s generic allocation methodologies for analyzing APL's Guam service which is a principal issue in this proceeding. APL, on the other hand, included an explanation of the inherent arbitrariness of FDC in general, and a

demonstration of its potential to produce distorting results when utilized in a context with the characteristics of the Guam trade. One example continually stressed was that APL's Guam service represented a very small portion of a large integrated service. Concrete examples were provided of how distortions in allocation factors could be greatly magnified when applied to the small segment of a much larger, integrated service.

APL also addressed the high potential for arbitrariness and distortion that flows from the use of generic allocation formulae in assigning cost among non-homogenous services. On cross-examination GovGuam acknowledged the potential for distortion if this condition were to exist, identifying the "implicit assumption" in the use of an allocation formula that the trade to which it is applied is "pretty average." However, at no point in the written or oral testimony did GovGuam ever address the operating issue of whether the "pretty average" requirement that makes application of a generic ratio reasonable had any application to Guam, even though APL demonstrated in its opening testimony that Guam cargo is far from "pretty average." The evidence is clear that Guam generates a remarkably disproportionate volume of cargo that incurs above average costs to transport.

Turning to the central requirement of any FDC analysis the allocation procedures must match as closely as possible the causation of the costs being allocated. This requirement of tracking causality makes knowledge of the operational facts imperative. But GovGuam's FDC analysis makes no allowance for the distinguishing operational factors of APL's Guam service such as the large deviation required to serve Guam, the one way nature of the trade, the constraints on APL's ships at the port of Guam due to the shallow draft of the harbor and the limited height of the cranes, the disproportionate volume of cost

intensive cargo, and the marked inefficiencies at the port which cause APL to add as much as 12 hours of contingency time to its call there.

APL expanded the use of "more direct ratios" to terminal M&R and reefer and other equipment-related costs which increased the costs assigned to the Guam trade and for 1990 resulted in a reduction in GovGuam's calculated rate of return for APL's Guam service from 43% to 29%.

APL incurred a \$156.4 million system-wide "container cost" in 1990 for container leasing cost, M&R and depreciation. GovGuam assigned each Guam FEU 31% less container cost than the average for APL's entire system. However, the record shows that Guam is far above average with respect to equipment cost. APL carries to Guam twice the proportion of reefer containers and 38 times as much oversize cargo as it does for its system as a whole. Both of these categories of cargo experience much higher container costs than does a standard dry container. The understatement was due to the generic, and understated, VER ratio to allocate these costs.

For the even larger system-wide pool of A&G costs, amounting to just under \$300 million in 1990, the same VER allocated A&G to Guam at a rate of only 69% of APL's system-wide average. APL provided unrebutted testimony that Guam A&G costs on average are higher than APL's system-wide average because of (1) the high percentage of reefer, household, military and oversize cargo which incur high A&G and (2) the high percentage of U.S. wage costs that are associated with Guam as compared with APL's Asia cargo. GovGuam's generic allocation methodology results in a westbound FEU of Guam cargo being allocated a directly equivalent amount of vessel expense--wages, vessel

depreciation and capital cost--as an eastbound FEU of Far East cargo, even though, due to the greater density of westbound cargo and the draft limitation at the port of Guam that precludes APL's full use of the capacity of its ships, for every FEU of cargo that can be accommodated on an APL vessel westbound to Guam, 1.77 FEUs of Far East cargo can be accommodated eastbound.

The FEU-mile ratio, which is calculated using the shortest navigable distance between the port of origin and destination of the cargo, makes no direct provision for the fuel costs incurred in the 620-mile deviation to Guam and assigns 15 percent less fuel expense to a Guam FEU than to a FEU of Taiwan cargo. These issues are further discussed in Appendix C.

Another factor never addressed by GovGuam is the highly distorting effect on rate of return of the G.O. 11's standard methodology valuation procedure for vessels where, as is the case of APL's services, there is no unique and permanent assignment of vessels to a trade. APL developed this anomaly and provided concrete evidence of the distorting effect.

The record includes a large number of instances where GovGuam rejected, or failed to consider, economically appropriate cost assignments solely on the basis that it interpreted the G.O. 11 "standard" methodology to require an alternative treatment. One example relates to the use of direct ratios. GovGuam acknowledged that the regulations, as well as sound economics, favor direct cost assignments wherever possible. But it rejected the use of "more direct" ratios to allocate vessel investments and expense on the ground that the G.O. 11 regulations specified the FEU-mile for the assignment of those costs. In the area of terminal costs it used more direct ratios only to allocate two categories of cost even

though APL cost data was available to construct appropriate "more direct" ratios. This was done without evaluation of the impact on the APL rates that more general use of "more direct" ratios might have had, and, in respect of vessel expense, without any economic evaluation of the relative merits of more direct ratios contrasted with the FEU-mile allocation procedure GovGuam considered required and used instead. While recognizing that agency fees could be considered part of an ocean carrier's A&G, and that APL's own chart of accounts classifies these expenses as A&G, GovGuam allocated agency fees as part of cargo handling. This was based not on any analysis of what was economically appropriate, but rather on GovGuam's reading of MarAd's accounting regulations. On this same basis--relying on its reading of a MarAd accounting regulation--GovGuam included rail transportation charges, that APL paid to its sister company APDom for rail movement of intermodal cargo, in total company vessel expense in constructing the Voyage Expense Ratio ("VER") used to allocate the cost pools of A&G and container expense. The effect was to reduce--by \$6.9 million in 1990--the amount of these costs allocated to the Guam trade. In including rail transportation charges as an element of the VER GovGuam claimed that absent this treatment none of APL's system-wide costs would be allocated to APL's MLB cargo (thus all would be allocated to port-to-port cargo, of which the Guam cargo under analysis was one element). However, this claim was made conclusorily, without any factual documentation, and in the face of the showing by APL that all APL costs associated with MLB cargo that are analogous to costs for port-to-port cargo were covered by the ratio when rail costs were excluded from the VER allocation ratio.

GovGuam, thus, treated as immutable both the G.O. 11 standard methodology and also MarAd's Uniform Financial Reporting Requirements. G.O. 11 does not incorporate and adopt the MarAd accounting regulations, but rather provides that the G.O. 11 schedules "are based on" the referenced MarAd accounting regulations. See 46 C.F.R. § 552.6(a)(2). Moreover, MarAd does not consider the accounting instructions to be inflexible or binding for purposes of reporting even to MarAd itself, but rather as guidelines. See *Alaska S.S. Co. v. FMC*, 344 F.2d 810, 819 (9th Cir. 1965). The effect of GovGuam's methodology was to reduce the assignment of agency fees to Guam and to markedly reduce the VER by including the cost of rail transportation in the denominator of that ratio, contrary to the established practice under G.O. 11 in the context of Matson's Hawaii service. Matson is subject to the G.O. 11 annual reporting requirement, and has been the principal focus of Commission ratemaking consideration since G.O. 11 was adopted, having been subject to three Commission general rate investigations since 1980. The record establishes that Matson does not include rail or truck transportation costs incurred in the carriage of its intermodal, non-FMC regulated cargo in the VER ratio it reports. By including rail costs in the denominator of its constructed VER GovGuam is in error. Further discussion of these factors and issues may be found in Appendix C.

Alternative Methodologies

APL developed an FDC study of APL's Guam service, using an alternative allocation to the FEU-mile ratio to allocate vessel expense in the specific and unique operating context of Guam. It reflected an economic analysis of the cost causative events of the service; an

explanation of the distortions that allocation using the FEU mile ratio created with respect to vessel operating costs, including fuel, and alternative allocation procedures that would more closely relate cost and cause.

GovGuam claimed that the allocation was impermissible under the regulations, and that because Guam was a "backhaul" service it would be appropriate to assign all vessel expense to the eastbound cargo and none to Guam. GovGuam's refusal to consider alternative methodologies where the reliability of its methodology was responsibly put in question demonstrates that such testimony does not provide a grounding for reasoned decisionmaking. See *Farmers Union Cent. Exch., Inc. v. FERC*, 734 F.2d 1486 (D.C. Cir. 1984). (Reasoned ratemaking must include an evaluation of alternative methodologies upon a showing that a standard or generic methodology may be distorting on the particular facts of record, and that it is arbitrary and capricious to do otherwise.)

APL also provided a series of demonstrations that highlight the distortions in GovGuam's assignment of cost and in its conclusions as to APL's rate of return. Focusing on GovGuam's ultimate findings for 1990 as an illustration, GovGuam takes the position that APL's rate of return on its Guam service was 43%, or approximately four times what it calculates as reasonable for the service. But the record evidence reflects that foreign-flag operators serving Guam from Asia and Australia--much shorter voyages than to Guam from the U.S. West Coast--charge rates that are comparable to or higher than APL's. So, too, the foreign-flag operator providing service to Saipan from the U.S. West Coast charges rates that are across-the-board higher, by approximately 25%, than APL's rates to Guam.

The Fluctuations in Rates of Return

GovGuam calculates APL's rate of return for APL's Guam service for the period 1984-1990 to be:

<u>APL's Rate of Return as Calculated by GovGuam</u>	
1984	58.6%
1985	-5.1%
1986	13.8%
1987	98.0%
1988	69.1%
1989	48.5%
1990	43.0%

These gyrations of the rates of return--with year-to-year changes in percentage points of down 63.7 points 1984-1985, up 18.9 points 1985-1986, up 84.8 points 1986-1987, down 28.9 points 1987-1988, down 20.6 points 1988-1989, down 5.5 points 1989-1990--were allegedly experienced even while APL's rates were virtually unchanged, and GovGuam calculates APL's net revenue per FEU and after-tax margin on sales as being constant throughout this entire period. There is a fundamental inconsistency in these findings.

In order for APL to have maintained rates at the levels GovGuam calculates would be "just and reasonable," the year-to-year general rate increases or decreases that APL would have been required to make during the period of record would have been:

General Rate Increases or (Decreases)
to Maintain GovGuam's Calculated Just
and Reasonable Rates

1984	--
1985	54.9% increase
1986	(27.9)% decrease
1987	(37.5)% decrease
1988	10.1% increase
1989	6.1% increase
1990	6.0% increase

Both from an economic perspective, and from the perspective of the Guam shippers, a methodology for evaluating carrier rates and revenues that would cause the carrier to make year-to-year rate changes of the nature listed in the table is intrinsically arbitrary.

For 1990, GovGuam calculates APL's "allowable" revenue per FEU for APL's Guam service--meaning the average revenue per FEU that would be "reasonable" for APL to earn under its analysis--as \$2,650 per FEU. APL's system-wide average revenue per FEU in 1990 was \$3,183 for westbound cargo and \$3,848 for eastbound cargo. APL's average revenue on cargo moving to and from Japan and Taiwan on a port-to-port basis was higher than GovGuam's calculated "average allowable revenue" for Guam cargo, and much higher when the large movement of low value, large volume cargoes such as wastepaper and scrap that APL carries to Japan and Taiwan, but not to Guam, are factored out. The revenues GovGuam calculates as "reasonable" for Guam are lower than the revenue APL earns in its Far East services. The fact that \$2,650 is lower than the various revenues that APL earned is just as probative evidence that the revenue of \$2650 is too low as that the APL revenues are too high. Clearly GovGuam's "allowable" revenue per FEU of \$2,650 in 1990 cannot be accepted as the best evidence of record.

Results of the GovGuam Methodology When Applied in Other Contexts

APL witnesses performed several on-the-record tests of GovGuam's methodology in alternative contexts. One was an analysis of APL's rates on port-to-port cargoes moving to and from Japan and Taiwan on the same PIX vessels that serve Guam. Application to these cargoes, item-for-item, of the methodology that GovGuam used in analyzing Guam rates to APL's arrived at the same bottom line showing for Japan/Taiwan cargoes as did GovGuam's analysis of APL's of Guam cargoes--that these cargoes were high profit relative to the rest of the APL system. The record shows that this was a direct by-product of the GovGuam methodology, and that the same end result could be expected by application of the GovGuam methodology to any of APL's port-to-port markets.

The Objective Evidence

Courts and agencies have frequently found objective evidence highly relevant to an evaluation of rate reasonableness. The objective evidence includes issues of market perception, rate stability and rate analogies.

Market Perception

APL provided testimony explaining why, from the perspective of a steamship executive with decades of experience in marketing and pricing of ocean transportation services, the rates to Guam are reasonable. The factors identified are the considerations

that carrier officials traditionally use to establish ocean rates and evaluate their reasonableness. These factors are:

(1) *Effect on the flow of commerce.* APL testified that it was not aware of any cargo that was prevented from moving to Guam because the rates were too high. Other witnesses, including GovGuam's senior economist, testified that Guam's economy, which is heavily dependent on ocean shipping, has been booming. Indeed, GovGuam has stipulated that it does not allege that any APL rate is unlawful by reason of any impact on "the revenue(s), profit(s), or profitability of any shipper or consignee."

(2) *Reaction of shippers.* APL testified that for a carrier, the reaction of customers provides a strong indication of the reasonableness of its rates. APL also testified that shippers are highly vocal in making their concerns over rates known to a carrier, and that APL is extremely responsive to shipper views, citing the example of APL's withdrawal of a 1988 general rate increase because of Guam shipper opposition. APL experienced virtually no adverse reaction by APL's customers (as distinguished from the Guam government) to APL's rates in its Guam service. APL explained that this reflects the experience of all APL executives and operating personnel with whom Guam shippers could be expected to communicate. A prima facie presumption of reasonableness attaches to rates long voluntarily maintained. That is based on the former Interstate Commerce Commission rate

analysis⁸ and it also has been found by the Federal Maritime Commission as evidence of rate reasonableness.⁹

The most recent general rate increase in Guam of 2.9% was effective August 1, 1984. In 1985, APL reduced its rates by 10%. Since then, with the exception of increases in 1989 on 18 low-rated commodities, the only rate changes in the trade were decreases in individual tariff rates, typically by establishing a new tariff item. Throughout the entire period of record APL's assailed rates to Guam, including for the 18 commodities subject to the 1989 increase, were at or below the rate levels that existed as of August 1984.

Since 1984, APL's service to Guam has been markedly improved--changing from a fortnightly service with feeder vessels to a direct, weekly service with a first call at Guam, an 11-day transit time, and an equipment inventory and customer service orientation that is suited to Guam's consumer economy. Given these service improvements, stable rates are shown to represent in effect a marked rate reduction. As noted, throughout this period Guam has experienced "an amazing economic boom." GovGuam has recognized the presumptive importance of this history of rate stability and virtual absence of shipper dissatisfaction, and it has advanced two theories in an effort to blunt its impact. First,

⁸See, e.g., *Lowe Paper Co. v. Kaydeross R.R.*, 167 I.C.C. 700, 704 (Div. 2 1930); *Citrus Juice in Bulk from Fla. and Ga. to Points in U.S.*, 309 I.C.C. 53, 55 (Div. 2 1959). While the presumption can be rebutted by persuasive evidence of unreasonableness the presumption has been deemed particularly strong where the reasonableness of past rates versus rates for the future are in issue. E.g., *Holly Sugar Corp. v. Alton R. Co.*, 216 I.C.C. 85, 90 (Div. 3 1936), rev'd on other grounds *sub nom. Alabama Grocery Co. v. Atchison, T. & S. F. Ry Co.*, 222 I.C.C. 123 (Comm. 1937); *Piute Packing Co. v. Atchison, T. & S. F. Ry. Co.*, 292 I.C.C. 449, 450 (Div. 3 1954); *Upson Co. v. Erie R. Co.*, 316 I.C.C. 217, 219 (Div. 2 1962).

⁹E.g., *Matson Navigation Co. Changes in Rates in the U.S. Pac. Coast/Haw. Trade* (FMC No. 73-22 et al.), 20 F.M.C. 822, 828; 18 SRR 649, 656 (FMC 1978) ("lack of shipper opposition to rate increases is one indication of reasonableness, particularly where shippers of that commodity, as here, would normally be sophisticated industrial shippers. . . ." (footnote omitted)).

identifying the service structure of the two carriers serving Guam in 1977--U.S. Lines, which called at Guam en route to the Far East, and Matson, which served Guam on a turn-around basis via Hawaii--GovGuam argued that the Guam rate structure is keyed to high cost turn-around service (such as Matson provided), leaving a wide margin of profit for a more efficient "pass-by" service (such as U.S. Lines'). However, the record does not establish the profitability of U.S. Lines' service in 1977. Moreover, an analysis of the Guam market and rates in 1977 provides no relevant evidence as to reasonableness of rate levels as to the issue years in this proceeding.

GovGuam argues that APL's costs of serving Guam dropped during the 1980's due to declining fuel prices and the increased efficiency of APL ships, so that APL's rates should have declined in this period rather than remained steady. GovGuam's evidence does show declines in APL's fuel cost and, for APL's system as a whole, reduced vessel operating expenses per FEU. However, this is not shown to be indicative of APL's experience in serving Guam. GovGuam's sponsoring witness for this evidence acknowledged that the decline in vessel operating cost was largely attributable to the increased efficiency of APL's C10 vessels, which did not serve Guam and cannot serve Guam because the port cannot accommodate those ships. Moreover, GovGuam's evidence as to APL's costs omitted large operating cost pools--for example, handling cost, equipment cost, and systems cost, all of which increased throughout the period--as well as the cost of the enormous capital investment that APL made to achieve the operating efficiencies which support the claim of declining costs. GovGuam also failed to provide an analysis of APL's vessel operating

expenses for the vessels that serve Guam comparable to that submitted for the APL fleet as a whole.

APL provided comparisons between APL's rates and rates on vessels of three foreign-flag carriers to Guam and its immediate neighbor Saipan. As noted, these comparisons establish that rates from Far East ports to Guam, which are one-quarter the distance from the U.S. West Coast to Guam, were uniformly higher than APL's rates from the U.S. West Coast to Guam; that rates from the U.S. West Coast to Saipan via a foreign-flag carrier were uniformly higher, typically by a factor of 25%, than APL's rates to Guam; and that foreign-flag rates on the much shorter haul from Australia to Guam were only marginally lower than APL's U.S.-flag rates from the West Coast.

APL also compared its rates to Guam with its rates to Dutch Harbor, and APL's rates to Guam with APL's rates to Okinawa. Okinawa, like Guam, is a market made up principally of consumer goods and receives line haul service even though it represents a small, one-way trade, but, unlike Guam, involves no "deviation" from APL's principal route to the Far East. Dutch Harbor is a small, one-way, highly specialized market served by APL's PNW vessels which require no such "deviation" to make the call. APL's average revenue to Guam was far below its Dutch Harbor average revenue, and almost without exception the commodities in APL's tariff that moved both to Guam and Okinawa moved at lower rates to Guam.

The record also includes a comparison between the average revenue that Matson earns in its Hawaii service and the "average allowable revenue" that GovGuam claims APL should have earned in its Guam service. Matson's rates and revenues, of course, are

regulated by the Commission. Guam is two and one-half times further from the U.S. West Coast than Hawaii. Despite this the average allowable revenue that GovGuam calculates APL should be allowed in its service of Guam is less than Matson actually earned in Matson's service of Hawaii. Moreover, Matson's revenues used in the comparison were for 1986 as compared with GovGuam's calculation of APL's Guam "average allowable revenues" applicable to the period 1987-1990.

GovGuam's Japan/Taiwan Comparison

GovGuam performed a comparison between APL's rates on 29 selected commodities moving to Guam and APL's (and Sea-Land's) rates to Japan and Taiwan on assertedly comparable commodities. GovGuam contended that its comparison of Guam and Japan/Taiwan rates demonstrated that APL's rates to Guam are higher than its rates to the Far East. But the study also establishes that of the commodities selected for comparison, at least half by volume are moved to Guam by APL at rates lower than the rates APL charges for carrying comparable commodities to Japan. The record establishes that the study is so flawed that it has no probative value. The study used Japan/Taiwan base port rates, to the exclusion of higher rates to other Japanese ports that APL serves and to other Far East countries. It selected low-rated, non-representative Transpacific Westbound Rate Agreement ("TWRA") commodities. It applied an inflated "average" tons per FEU conversion factor to individual commodities which overstate a number of the Guam per container rates used in the comparison. The study included some "paper" rates rather than rates moving cargo. The study is also faulty as a guide to the reasonableness of Guam rates

because of the commercial differences between Guam and Japan/Taiwan trades, and because the Japan/Taiwan rates during the years under study were seriously depressed.

Shipper Testimony

GovGuam put into evidence statements from 13 Guam shippers and Guam officials to the effect that they believed ocean rates to Guam were too high. None of these shippers or officials were called to be cross-examined. Their statements were entirely conclusory. Such mere allegations and unsubstantiated assertions by witnesses who have demonstrated no special knowledge of or qualifications to judge the reasonableness of ocean freight rates lack sufficient probative value.

APL's probative evidence established that APL's issue Guam rates were reasonable, based on identified criteria that are utilized by carriers as a standard guide to evaluating rates; the rates have been in effect for a prolonged period without material customer complaint, during which the Guam trade has prospered; the issue rates are comparable to or lower than the rates in a variety of trades which provide reasonable analogies, including the U.S. to Japan trade which GovGuam itself sponsored as a proper measure of comparison. GovGuam has failed to sustain its burden of proof that the rates assailed in its complaint violated the 1916 Act.

Incremental Cost

It is the most basic principle of federal rate regulation that a government agency cannot impose an "unreasonable" rate on an entity subject to its jurisdiction. "By long standing usage in the field of rate regulation, the 'lowest reasonable rate' is one which is not confiscatory" *Federal Power Comm'n v. Natural Gas Pipeline Co.*, 315 U.S. 575, 585 (1942). This principle applies with full force under the Shipping Acts as the Commission acknowledged in FMC Docket No. 90-09, *Matson Navigation Co., Inc.--Proposed General Rate Increase*, 25 SRR 1192, 1209 (FMC 1990):

. . . 'confiscatory' rates . . . [act] as an absolute floor, below which the Commission may not set the level of rates. . . . The fact that G.O. 11 specifies the use of a comparable earnings test is of no consequence. If the comparable earning test results in rate levels which are confiscatory in a given case, then the test must be put aside. . . .

This holding of the Commission was affirmed in *Matson Navigation Co. v. FMC*, 959 F.2d 1039 at 1053 (D.C. Cir. 1992) (26 SRR 283).

On this record "incremental cost" is defined to include "opportunity cost," as the absolute floor against which APL's rates must be measured. Both respondents' and GovGuam's experts essentially agreed on this issue. The record includes the following definitions and economic truisms which are adopted here. "Incremental cost is the cost of adding production of a good or service" and includes the "opportunity cost" of the service, namely, "the difference between the net revenues a firm would make by providing a particular service and the net revenues it would make by applying the resources in question to their next best alternative use." "[A]s long as the price of the service in question lies

above incremental cost and below stand-alone cost . . . there is no accounting-cost-based allocation that would support an economically meaningful assertion that its price was not 'fair and reasonable.'" This is because "[i]f the revenues from a service do not cover at least the incremental costs of the service plus the net contribution toward common cost from the next best service, then the carrier is better off abandoning the first service and switching to the next best alternative." "[T]he tests for whether such rates are economically reasonable is whether they exceed the incremental cost of providing the service" "From an economic standpoint, it is hard to see how rates deliberately set below incremental cost could avoid the label, 'confiscatory.' No business would knowingly agree in advance to such rates if it had a choice."

The record shows that incremental return is one important factor that APL will consider in evaluating new opportunities or existing elements of the APL services. Since APL is free to exit the Guam trade at any time it cannot cover its incremental costs, including its opportunity costs, it can be presumed that APL would do just that. APL was under no obligation under the Shipping Acts to continue service, as shown by its 1991 discontinuance of all-water service in favor of motor-water service subject to the jurisdiction of the former ICC. The assets APL uses to serve Guam are entirely fungible and can be freely redeployed to other services. While APL's ODS contract with MarAd does include a requirement of 24 annual calls at Guam, even assuming that requirement were to be enforced, APL's contract permits the calls to be performed by transshipment via another U.S. carrier.

The Incremental Cost of APL's Guam Service

There is dispute on this record as to the level of APL's incremental cost of serving Guam. Analyses of those costs were presented both by both GovGuam and APL. In measuring the incremental cost of APL's Guam service, GovGuam defined and calculated the opportunity cost of APL's Guam service as the least valuable alternative available to APL. This is not shown to be correct by the following persuasive regulatory holdings of the Federal Communications Commission and the former ICC: *In re AT&T*, 62 F.C.C.2d 774, 782 n. 17 (Comm. 1977) ("We consider the proper definition to be the standard economic one, which states that the opportunity cost of a productive factor is the maximum value that this factor could produce in an alternative use." (emphasis supplied)); *In re Allowable Costs*, 3 F.C.C. Rcd. 6323 at 6327 (Comm. 1988) ("the opportunity cost of using a subcarrier for any particular purpose is the revenue it has given up by not using the subcarrier for its most profitable alternative use" (emphasis supplied)); *Coal Rate Guidelines-- Nationwide*, 1 I.C.C.2d 520 (1985): "[T]he term 'opportunity cost' refers to the value a resource can contribute if it is used in some alternative occupation instead of the one to which it is currently assigned by the railroad." *Id.* at 538 n.43 (quoting Baumol and Willig). *Revision of Abandonment Regulations*, 367 I.C.C. 831 (1983): ". . . opportunity costs should be calculated by applying a cost of capital (described as the weighted cost of debt plus the weighted cost of equity (adjusted to a pretax basis) less the projected rate of inflation to the NLV [net liquidation value] of the rail property for its highest nonrail use." (Emphasis added and citations omitted.) The fundamental error of GovGuam's incremental cost study

is that it did not apply the correct measure of opportunity cost which adversely affects its probative value.

APL's incremental cost study was based on evidence of how APL could deploy its assets, and what it reasonably could expect to achieve with that deployment. APL established that, with reasonable advance notice, it could replace Guam cargo and the capacity loss occasioned by the call at Guam with a typical mix of Far East cargoes and achieve the same level of utilization, on average, that it was experiencing during the period it performed its Guam service. Applying this measure of APL's opportunity cost, APL's incremental cost study demonstrates that the revenues that APL earned from its Guam service did not cover APL's incremental cost of serving the Guam trade. Thus APL's assailed rates to Guam do not recover the net revenue APL could get with the best alternative use of the resources employed. For 1990, GovGuam calculates APL's rate of return for its Guam service to be 43%. However, the record establishes that APL's 1990 Guam revenues were below APL's incremental cost of providing its Guam service. Since as a matter of law incremental cost (including opportunity cost) represents the lowest reasonable revenue APL is entitled to earn in its operation of the Guam service, GovGuam's analysis that concludes that APL's rate of return is four times too high is by definition unreasonable. From a business standpoint, incremental cost is the least a regulatory commission could permit and still hope to induce a carrier with a choice to serve the trade voluntarily. Therefore, incremental cost is also the absolute floor for any FDC allocation that could possibly be described as "fair and reasonable" from an economic or business standpoint.

APL's incremental cost study of its Guam service applied to the year 1990. However, that study not only provides the best evidence of the reasonableness of APL's rates for 1990, but also demonstrates that GovGuam failed to carry its burden of proving that APL's rates were unreasonable for the prior years of record. For 1990, GovGuam calculated APL to be earning an excessive rate of return on its Guam service in that year, arguing for a roll back of APL's 1990 rates of approximately 43%. Using its same methodology, GovGuam argued for and sought the same ultimate conclusion of unreasonableness for APL's rates for 1988 and 1989. However, the record establishes to the contrary that GovGuam's findings for all three years cannot be supported and that the methodology that GovGuam employed for each of the three years 1988-1990 failed to establish by probative evidence that the rates assailed during the period at issue were unjust or unreasonable or otherwise unlawful.

Sea-Land entered the Guam trade in August of 1987. During its first partial year in the trade, Sea-Land's trade revenues were insufficient to require an annual financial report filing under 46 CFR Part 552. For the fiscal year covering 1988, Sea-Land sought and obtained permission of the Commission to file alternative financial data for the Guam trade, rather than a full G.O. 11 format. Sea-Land established its ICC-tariffed Guam service in June of 1989. Its G.O. 11 filing for 1989 reflected only operations up to the establishment of the ICC-tariffed service. Thus, Sea-Land did not submit any full year G.O. 11. Most of the record as to rate-of-return issues pertains to APL. However, Sea-Land joined with APL in sponsoring the testimony of respondents' principal economic witness, Dr. A. Lawrence Kolbe. Sea-Land supports APL's position and arguments in this proceeding.

GovGuam used the Sea-Land data available from the 18 months covered by Sea-Land's financial filings to conclude that Sea-Land recognized excess or allegedly unlawful revenues per FEU of \$1,144 in 1988 and \$918 in 1989. The comparable figures advanced by GovGuam against APL in the same periods were \$1,511 and \$1,557. Under GovGuam's theory of the case Sea-Land is the higher cost carrier by approximately eight percent. Thus, since the conclusion in this Initial Decision is that GovGuam has not established that APL's assailed rates were unjust and unreasonable or otherwise unlawful *a fortiori* GovGuam has not established that Sea-Land's assailed rates which yielded less revenue and incurred higher costs were unjust and unreasonable or otherwise unlawful.

Some may perceive an apparent inconsistency between the conclusion that APL did not fully recover its incremental cost of providing its Guam service when APL's opportunity cost is properly taken into account and APL's continued performance of the service. However, the evidence establishes that, while APL had not undertaken a rigorous analysis of the profitability of the Guam service prior to Docket No. 89-26, APL has been aware of the added costs that Guam imposes upon it due to such factors as, for example, its out-of-the-way location, atypical cargo consist and constraints of the port. The record demonstrates that APL has gone through a series of service changes and capital expenditures designed to overcome the adverse operating conditions and improve the economics of the service. These include a short-term conversion of calls at Guam from line-haul to feeder vessels; a change of vessel type because the original class of vessels selected for the service when weekly calls at Guam were initiated--the L9 vessels--could not sustain the large deviation to Guam and also call at both of APL's major Far East cargo centers, Japan and Taiwan.

APL has also made a significant investment at the Port of Guam through the dragging of the harbor to reduce the adverse effect on the capacity of APL's vessels due to the shallow draft and, in conjunction with Sea-Land, supplying the Port with a modern container crane to improve port productivity and reduce port delays.

As noted, APL also provided an FDC analysis of its Guam service. It does not purport to be a definitive evaluation of APL's rate of return on its Guam service since it is not shown that one can definitively assign common costs among joint activities in the Guam trade. APL reemphasizes that the potential for erroneous and arbitrary results intensifies in the context presented by APL's Guam service--where the analysis centers on a very small, non-homogenous piece of a very large complicated and highly integrated activity. APL also urges that its FDC study is not, and does not purport to be, a new FDC methodology designed specifically for the operational characteristics of APL's Guam service although it does take them into account. Rather, it follows the G.O. 11 standard methodology except where major distortions were clearly shown and a demonstrably less distorting alternative was available. While APL's FDC differs from that of GovGuam both in its ultimate findings and in a number of underlying cost allocations--primarily because GovGuam applied G.O. 11 in a manner to ignore the operational facts of APL's operations--in only one respect did APL depart from the G.O. 11 standard methodology in favor of an allocation procedure more rationally suited to the operational realities of APL's service, namely, in the allocation of vessel expense and investment. As to these costs, in the context of APL's service of Guam, APL identified that there exists a conflict between sections 552.6(b)(ii) and 552.6(c)(2)(i) that the FEU mile be used to allocate those vessel expenses and investments

that cannot be allocated directly; and the specification in sections 552.1(b) and (d) that alternative methodologies may be used in order "to achieve a fair and reasonable result." The record shows that the FEU-mile relationship cannot achieve a fair and reasonable allocation of vessel and investment in the context of APL's Guam service because the two central ingredients of the allocation--FEUs and miles--bear no relationship to the cost causative elements of the service. FEUs are distorted due both to the adverse impact on APL's vessel capacity by draft and crane restrictions at Guam and the much denser consist of westbound cargo, the combination of which reduces the operational capacity of the vessels by as much as 40% below design capacity when the vessels sail westbound to Guam. Miles are distorted because, in the context of APL's predominantly Far East service with a first call at Guam providing virtually no outbound cargo, an assignment of miles using a shortest navigable distance ignores the commitment to Guam of a full slot on APL's vessel to the port of final call.

The record shows that APL's capacity-use-days methodology is superior to GovGuam's FEU-mile ratio. APL's allocation of vessel costs differs from GovGuam's in two principal respects. APL made a direct allocation for the cost of the fuel attributable to the deviation. for common vessel costs APL replaced the generic FEU-mile ratio with its capacity-use-days methodology which the record shows reflects more accurately relative capacity use and the contribution to constant costs. In particular APL's capacity-use-days methodology is the best evidence of record because it takes account of the fact that: (1) (a) the vessel is constrained by weight going westbound and by cube going eastbound and (b) capacity is much lower westbound than eastbound, so that an FEU takes up

different proportions of the ship's capacity in different directions; (2) the one-way nature of the trade means that Guam FEUs use a slot all the way from the origin port to Taiwan; (3) the Guam draft uses a portion of the ship's capacity; and (4) non-fuel vessel costs accrue with time, not miles. The capacity-days-use methodology represents a modification of the generic FEU-mile-ratio but the record shows that it is necessary to achieve a reasonable allocation of costs in the particular circumstances of the Guam trade, is necessary to achieve a fair and reasonable result and is warranted by 46 CFR 552.1(b) and (d).

The parties agree in principle that allocations should be made as directly as possible, that allocations should reflect the costs of the trade and that they should be based on the trade's proportionate use of the asset in question. APL's methodology was applied to all vessel costs or expenses (except fuel), vessel net investment, and vessel depreciation expense. APL's methodology is based on three facts: (1) vessel capital costs and vessel operating costs (other than fuel) accrue on the basis of time, i.e., time is the "cost driver"; (2) the constraints on the PIX vessels' capacity to carry cargo differ eastbound and westbound, so it is necessary to measure capacity use relative to the capacity constraint that is operative as the costs are incurred; and (3) if the FDC analysis is to reflect the underlying economics of the trade, it must take full account of the capacity effectively "used" by the decision to commit capacity to the Guam trade.

That time is the "cost driver" is clear from the nature of the costs. For example, operating costs such as wages accrue at the same rate whether the vessel is sitting in port or steaming between ports. Capital costs such as depreciation are also clearly a function of time.

The fact that vessel costs accrue largely on the basis of time is reflected in the regulations which provide that the costs of vessels used in more than one service during the year will be prorated among the different services based on the number of days spent in each service, i.e., on the basis of time.

In order to determine how much of the cost that is accruing according to time is allocable to a given trade, it is necessary to attempt to measure the relative proportion of capacity used by the trade as the costs accrue (over time), and that depends on the proportion of the vessel that an FEU utilizes at the time it is carried. The capacity of the vessels is different eastbound and westbound. The vessel capacities measured in FEUs are constrained by different factors westbound and eastbound: the vessels "weigh out" westbound and "cube out" eastbound. This means that when APL's vessels are going west, the deadweight limitation becomes binding before the vessels fill the available container slots. Eastbound, APL can fill the available slots before reaching the deadweight limitation. Because the loaded westbound capacity measured in FEUs is lower than the loaded eastbound capacity measured in FEUs, the simple FEU measure does not provide a rational measure of relative capacity use between eastbound and westbound legs. FEUs use different proportions of capacity in the two different directions. Thus, it is necessary to measure capacity use relative to the capacity standard during the time the costs are incurred.

During the years in question, APL's PIX vessels were heavily utilized in both directions. Thus, the decision to commit capacity to any particular use--whether that use is carriage of a Guam FEU or the effective "use" of capacity by Guam's draft--means that capacity is unavailable for another use (carriage of a foreign commerce load). Hence,

"opportunity costs" exist. In these circumstances, any FDC analysis that reflects the underlying economics of the trade must take the opportunity costs of capacity devoted to a given trade into account.

Based on these considerations, APL's methodology as applied to vessel capital costs and vessel operating costs (other than fuel) involves three basic steps: First, because the eastbound and westbound legs are constrained by different factors, and because costs accrue according to time, segregate vessel costs into eastbound and westbound pools based on the fraction of total voyage time spent on the eastbound and westbound legs. (Since fifty percent of the total voyage time is spent in each direction, costs were divided evenly between the eastbound and westbound trades.)

The second step is determining the share of capacity committed to the Guam trade. It is straightforward for the eastbound traffic: Guam eastbound FEUs divided by total eastbound PIX capacity adjusted for actual eastbound utilization. (It is necessary to adjust total PIX capacity for actual utilization because the PIX was not 100 percent utilized in either direction.)

The third step is determining the share of westbound capacity committed to the trade. It is slightly more complicated because of the opportunity costs associated with the commitment of capacity to the Guam trade. First, because the Guam trade is so heavily one-way, an FEU loaded in California for Guam effectively uses a slot on the vessel all the way to Taiwan. This is taken into account by allocating the Guam cargo a share of the westbound vessel costs all the way to Taiwan. (There is no double-counting involving the eastbound FEUs loaded at Guam. The regulated trade is allocated costs for the full

number of westbound FEUs all the way to Taiwan, with no additional allocation for the eastbound Guam cargo while it is on board between Guam and Taiwan.)

Second, the existence of the Guam draft restrictions must be taken into account, since the draft "uses" capacity in every functional sense. The capacity lost to the Guam draft represents an opportunity cost to APL. If not for the Guam draft, APL would be able to carry additional FEUs on its westbound PIX voyages. Thus, the Guam trade "uses" the capacity lost to the draft just as it uses the capacity filled with Guam FEUs. Thus, allocating costs to the trade based on a share of capacity that includes the FEUs committed to the Guam draft constraint is necessary if the allocation is to reflect actual use of capacity and direct attribution of costs where possible.

The westbound capacity share is calculated as the capacity utilized by the Guam trade divided by the total westbound PIX capacity adjusted for westbound utilization. The numerator of the ratio, the capacity utilized by the regulated trade in the westbound direction, has two components: (1) the FEUs actually shipped to Guam and (2) the FEUs that APL cannot carry because the draft restriction at Guam has effectively used those slots.

The first component is the number of regulated FEUs discharged in Guam on a particular vessel type in the year in question. The second component measures the amount of capacity used by the Guam draft constraint. The number of containers used by Guam's draft can be quantified as the difference between the full loads the ship could carry westbound if it did not call Guam and the full loads that it can carry leaving the West Coast for Guam, adjusted downward to reflect APL's actual westbound utilization.

It is necessary to treat the difference between the non-Guam and Guam operational capacities as if it were filled with actual FEUs destined for Guam because it is the call at Guam that prevents APL from carrying loaded FEUs in that space. It would not be reasonable, however, to assume that APL would have filled all of the additional space that would have been available but for the Guam draft problem. Therefore, the estimate of the lost capacity is adjusted downward to reflect APL's westbound capacity utilization for each year in question. Implicit in this is the reasonable assumption that APL could have sold the same share of this additional capacity as it did of the other capacity that it had during the period. Given the economic reality that the Guam draft constraint uses capacity that otherwise could be used by another trade, the record shows that any methodology that seeks to allocate costs based on actual use must account for these opportunity costs.

The result of the capacity-use-day calculations just described is an allocation that reflects the amount of vessel capacity that is effectively utilized by the regulated Guam cargo during the time the costs being allocated are incurred. Because it is based on the actual economics of the Guam trade and the factors that drive the vessel costs, it is a more accurate way to allocate costs to that trade than the generic FEU-mile ratio and is shown to be the best evidence of record.

APL's Guam Service Has Been Within the Jurisdiction of the ICC Since August 1991

In August 1991, APL discontinued its port-to-port service to Guam and filed joint through motor-ocean tariffs with the former ICC.¹⁰ APL's service from that date on has fallen within the exclusive jurisdiction of the former ICC, now the STB. See 49 U.S.C. § 10521(a); *Puerto Rico Maritime Shipping Auth. v. ICC*, 645 F.2d 1102 (D.C. Cir. 1981). Thus the FMC has no jurisdiction in this proceeding to exercise any prospective regulatory authority over the rates in the Guam trade charged by APL.

APL next urges that, since a trade-wide analysis of rates, no matter what it shows, is never sufficient to satisfy the evidentiary standards required to prove that a particular rate is unjust and unreasonable, GovGuam's complaint as to the assailed rates on 18 commodities must be dismissed.

It is well established that proof that a rate is unjust or unreasonable under section 18(a), 46 U.S.C. app. § 817(a), normally requires consideration of a number of independent factors, among which are value of service, necessity, cost of service, capacity, volume, competition, value of the commodity, the effect of the carrier's rate on the market for that commodity, the element of risk involved, and the relationship of the rate in question to rates for comparable services.

¹⁰Sea-Land had previously filed similar tariffs on June 23, 1989. As noted, GovGuam alleges in this proceeding that the FMC has jurisdiction over Sea-Land's operations between Long Beach and Guam, between Oakland and Guam and between Hawaii and Guam after that date. A finding that the assailed rates are unreasonable is necessary before corrective rates can be prescribed to cure the unreasonableness. Since Sea-Land's present rates are not shown to be unreasonable the record does not afford a proper basis for any prescription of rates for the future.

The Commission's analysis in a rate-of-return proceeding is fundamentally different: it focuses on trade-wide carrier operating revenue, vessel and carrier expense, administrative expenses, depreciation and amortization expenses, tax returns, debt, equity, return on debt, return on equity, and other macroeconomic data. See, e.g., *Matson Navigation Co. Changes in Rates*, 20 F.M.C. 822, 828; 18 SRR 649, 656 (FMC 1978).

Because the two inquiries are so fundamentally different, the Commission has ruled that it would be difficult, if not impossible, for any individual shipper to establish a claim for reparations on a specific commodity solely on the basis of a Commission finding that a general rate increase is unlawful.

Many Commission rulings make the related point that a section 18 commodity-specific analysis is irrelevant to a G.O. 11 rate of return analysis. The Commission has described attempts to mix the two as "extraneous," "futile," "essentially irrelevant," and "wasteful."

GovGuam has provided no testimony as to the specific rates for the commodities that it actually ships. Indeed, the record does not even contain a complete copy of the APL Guam tariff as of any date. Such a tariff would show that it contains several hundred different tariff items covering the extremely broad spectrum of commodities one would expect would be imported into an island economy with a significant tourist and construction industry--for example, from automobiles to household goods to lumber to paper products to animal feed, hardware and furniture. The rates are set on a commodity-by-commodity basis, reflecting differences in the characteristics of both the commodity and the trade, and accordingly differ significantly, with a three and one-half to one ratio between the highest

and lowest rated commodities. GovGuam has submitted no evidence that any APL rate has had any adverse impact on the economic performance of any shippers in the trade.

From APL's G.O. 11 filings GovGuam has purported to derive APL's average allowable cost per FEU/box and TEU/box, and then to draw conclusions, based on that average cost figure, about APL's individual rates. But those conclusions mistakenly assume a homogeneity of transportation costs regardless of the commodity involved, and are not shown to be reliable. As the record shows, the variable costs for different types of cargo "can be substantial and can vary widely." Thus, for example, variable costs will differ according to the physical characteristics of the product (such as whether the container contents require refrigeration), relative ease of handling, and the different terminals utilized.

The record also clearly demonstrates that GovGuam's model errs because it ignores demand-based pricing factors which reflect different commodity values. Those factors influence the respondent carriers' rate-setting decisions, as do rates offered by competitors, perceptions of conditions in the trade, and rate histories. These factors, along with the differences in variable costs discussed above, contribute to defeat any mechanical relationship between tariffs and average cost figures. Accordingly, because GovGuam's proof addresses only general rate levels, it is not shown to be legally sufficient to demonstrate that specific rates on commodities actually shipped by GovGuam were unjust or unreasonable.

GovGuam advances one further claim addressed to APL and Sea-Land, namely, that a tariff rule respecting household goods violates section 16 First of the 1916 Act, 46 U.S.C. app. § 815 First, by providing preferential treatment to shippers of larger volume household

goods to the detriment of shippers of smaller quantities. The Guam tariff's "no-mixing" rule provides that, when household goods are transported with other commodities in a single container, the entire contents of the container will be rated at the tariff rate for household goods. According to GovGuam, the no-mixing rule gives preferential treatment to shippers of household goods which have a sufficient volume of household goods to ship full container loads to the prejudice of shippers which do not have enough household goods to fill a container.

That testimony shows that, during the late 1980s, APL and Sea-Land received complaints that certain shippers in the Guam trade were evading the tariff rate on household goods by mixing household goods in containers with other commodities and then misdeclaring the household goods portion of the mixed shipment as lower-rated cargo. The carriers adopted the no-mixing rule as part of a program that has successfully deterred shippers from evading the household goods tariff rate in that manner. Moreover, the no-mixing rule does not require a shipper that cannot fill an entire container with household goods to pay higher rates. Rather, the rule permits shippers with small volumes of household goods to co-load those goods and fill an entire container.

None of GovGuam's witnesses took issue with: (1) the need to prevent unscrupulous shippers from misdeclaring household goods in mixed shipments; (2) the rule's effective reduction of this practice; or (3) the fact that the rule permitted smaller volume shippers to co-load cargo and thereby avoid paying higher rates than larger volume shippers. Accordingly, GovGuam has not established that the no-mixing rule is unreasonably or

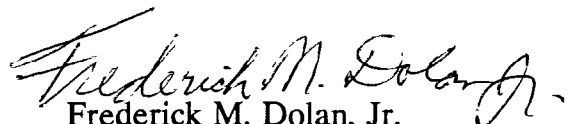
unduly preferential or unjustly discriminatory and has not established a violation of section 16 First.

As noted earlier, further discussion of many of the foregoing issues may be found in Appendix C, which is a part of this Initial Decision. Requested findings of fact not specifically discussed in this initial decision, nor reflected in the findings or conclusions, have been considered but found either unjustified or unnecessary to resolve the issues in this proceeding. The renewed motion to dismiss the complaint insofar as it alleges a violation of the Intercoastal Shipping Act, 1933, 46 U.S.C. app. §§ 843-848, will be granted and denied in all other respects. Upon consideration of all the evidence of record the complaint alleging violations of the Shipping Act, 1916, 46 U.S.C. app. § 801, *et seq.*, by APL and Sea-Land will be dismissed for the failure of complainants to sustain their burden of proof.

IT IS ORDERED:

(1) Respondents' renewed motion to dismiss the complaint insofar as it alleges a violation of the Intercoastal Shipping Act, 1933, 46 U.S.C. app. §§ 843-848 is granted and it is denied in all other respects.

(2) The complaint of the Government of the Territory of Guam, et al. alleging violations of the Shipping Act, 1916, 46 U.S.C. app. §§ 801, *et seq.*, by respondents American President Lines, Ltd. and Sea-Land Service, Inc., is dismissed.


Frederick M. Dolan, Jr.
Administrative Law Judge

Washington, D.C.
June 3, 1996



APPENDIX A

Direct Testimony

Written direct testimony was submitted and 19 witnesses were called to testify orally and were subjected to cross-examination at the hearing held in San Francisco from April 27 through June 21, 1993. The following is a brief identification of the witnesses who provided testimony during the direct phase of the proceeding.

GovGuam Witnesses

GovGuam presented testimony during the direct phase by three consultant witnesses, six governmental witnesses and thirteen shipper witnesses.¹

Consultant Witnesses

Dr. Ernest Nadel is a principal with the economic consulting firm of Barakat and Chamberlin, Inc. ("BCI"). He has a Ph.D in Economics from the University of Chicago, and has since 1975 been an economic consultant dealing with transportation issues--first at Manalytics, Inc., where he was a senior analyst (1975-1986), and since then at BCI. Dr. Nadel has testified on a number of occasions before the Federal Maritime Commission and the Maritime Subsidy Board, and has also appeared before various courts.

¹In addition to these witnesses GovGuam also presented two witnesses dealing solely with Sea-Land jurisdictional issues--Messrs. John J. McGonegle and William Taylor.

Mr. Robert Hahne is a partner in the accounting firm of Deloitte & Touche, where his responsibilities include coordination of audit, tax and consulting efforts on behalf of regulated utility clients. His primary area of concentration is in ratemaking issues in public utility cases. Mr. Hahne has testified before Congress and before various courts and regulatory agencies, and he is co-author of several books on public utilities.

Mr. Alan S. Hays II is president of Economic Data Analysis, Inc. He has a Masters degree in Business Administration.

Governmental Witnesses

The Honorable Joseph F. Ada is Governor of Guam, serving his second term in that office. Before that, he served for many years in Guam's Legislature.

The Honorable Francisco R. Santos is a Guam Senator, and Chairman of the 21st Guam Legislature's Committee on Housing, Community Development, Federal and Foreign Affairs, which has oversight on matters dealing with federally regulated ocean freight rates in the U.S. West Coast-Guam trade.

Mr. David B. Tydingco was General Manager of the Port Authority of Guam during the dispute years.²

Mr. Joseph Bradley is the Chief Economist for the Guam Department of Commerce--the most senior economist for GovGuam--a position he has held since July 1984.

²Mr. Tydingco left the Port Authority between the time that he submitted written direct testimony and the time that he testified at the hearing in San Francisco.

Mr. Joaquin Perez is Chief of Staff on the Committee on Federal, Foreign and Legal Affairs of the Guam Legislature, a position he has held since 1987. From 1964 to 1978, Mr. Perez worked at the port of Guam in various positions, and he has been a member of the Guam Shipping Rate Review Board since 1989.

Mr. Frank S. N. Reyes is Assistant General Manager, Operations, at the Port Authority of Guam, a position he has held for about a year. He has been employed by the Port Authority for 32 years in a variety of positions.

Shipper Witnesses

Mr. Fred Nishihira is Senior Vice President of complainant Pacific International Company, Inc. ("PIC"), in charge of retail and wholesale distribution.

Mr. Frank Borja is General Manager of the Guam Retail Group, the retailing group under the umbrella of PIC.

Mr. John Camacho is senior Vice President and General Manager of Pacific Wholesalers ("PW"), another company within the PIC family.

Mr. Robert Gaskins is Vice President of Finance for J&G, parent company of complainants Town House Department Stores Inc. ("Town House") and Micronesian Brokers, Incorporated ("MBI").

Mr. Thomas R. Sullivan is Executive Vice President of J&G.

Mr. David King is Vice President and General Manager of MBI.

Mr. Paul G. McComas is Vice President and General Manager for Town House.

Mr. John Schraecher is General Manager of Guam Freight Forwarders, an ocean cargo consolidator located on the U.S. West Coast that consolidates small cargo lots into full container loads for transport to Guam.

Mr. Daniel A. Cox was, until May 1992, manager of the consumer Products Division of Atkins, Kroll on Guam. He is a member of the Guam Chamber of Commerce and the Guam Shipping Rate Review Board.

Mr. Barry T. Honda is President of Guam Transport & Warehouse, a Guam trucking company formed in 1971.

Mr. John A. Limitiaco is Vice President of Pacific Trucking Co., which provides general freight hauling services on Guam to/from the port.

Mr. Tito Sablan is President and Chairman of Star Freight, Inc., a freight forwarder and consolidator.

Mr. Wally Tranowski is General Manager of Consolidated Transportation Services, Inc., a freight forwarder on Guam.

APL Witnesses

APL presented direct testimony from four APL company witnesses.

Mr. Michael D. Morris is Vice President, Logistics, at APL, a position he assumed in October 1990. He has overall responsibility for the management and scheduling of APL's ships (including feeder vessels, containers and chassis). He also heads the group at APL that evaluates the profitability of all aspects of APL's business and develops cargo allocations among the various regions served by APL.

Mr. Solon Webb is Vice President, Sales and Pricing, of APL. He is responsible for APL's rates and sales strategies in all of the transpacific trades served by APL, including Guam. Mr. Webb is also responsible for APL's military and other government transportation services.

Mr. Michael Nelson is Vice President, Finance and Administration, of APL. He joined APL in 1987. Mr. Nelson is responsible for APL's internal and external financial reporting, as well as for internal financial analysis and budgeting.

Mr. Thomas T. Morris has had a relationship with APL spanning more than four decades, as an employee and more recently as a consultant, involving a wide variety of responsibilities relating to operations, cost control, accounting, and analysis.

Joint APL/Sea-Land Economic Expert

APL and Sea-Land jointly presented written and oral testimony by an outside economic expert, Dr. A. Lawrence Kolbe. Dr. Kolbe, who has a Ph.D in economics from the Massachusetts Institute of Technology, is a Principal of The Brattle Group, an economic, management and environmental consulting firm, where he concentrates on regulatory and financial economics. Dr. Kolbe is the lead author of a book, The Cost of Capital, and is the author or co-author of scores of published articles, many of which address the economic principles of rate regulation and related aspects of financial economics. He has testified many times on matters of regulatory and financial economics before a variety of federal, state and Canadian provincial regulatory commissions, as well as before the Hague and international arbitration panels.

Sea-Land Witnesses

In addition to its joint sponsorship of economic expert Dr. Kolbe, Sea-Land presented three company witnesses.³

Mr. William J. Kenwell is Vice President Marketing and Global Accounts at Sea-Land, a position he has held since October 1991. From April 1989 to October 1991, Mr. Kenwell was Vice President and General Manager, Hawaii/Guam, in which position he was responsible for all aspects of Sea-Land's Guam service, including sales, marketing, operations and pricing.

Mr. Kurt C. Pruitt is Sea-Land's General Manager-Guam. Before assuming that position in February 1990, he had been Sales Manager, Guam, since April 1989. Each of these positions involved responsibility for Sea-Land's sales and customer services on Guam, and in his current position he is responsible for all of the Sea-Land departments in Guam. Mr. Pruitt joined Sea-Land in 1987.

Mr. Ronald K. Reighter is Director of Equipment Rationalization for Sea-Land, a position he assumed in August 1992. Prior to that appointment, Mr. Reighter was Pricing Manager, Hawaii/Guam, and then Director of Pricing, Hawaii/Guam, since April 1988. In these latter two positions, he was directly responsible for pricing Sea-Land's services for cargo moving to/from Hawaii and Guam. Mr. Reighter began working for Sea-Land in 1976.

³Sea-Land also presented four witnesses who addressed only the Sea-Land jurisdictional issue-- Messrs. David J. Arsenault, James C. McKenna, Charles G. Slayman and Vijay K. Vakil.

The Rebuttal Phase

Under the schedule agreed to by the parties for the rebuttal phase of the proceedings, all parties were given the opportunity to file written rebuttal testimony, and respondents were also permitted to file written surrebuttal testimony. A single hearing was held for this purpose at which seven witnesses provided rebuttal/surrebuttal testimony, as identified and described below.

GovGuam Witnesses

GovGuam presented rebuttal testimony by Dr. Nadel, as well as rebuttal testimony regarding Sea-Land jurisdictional issues by Mr. Limitiaco and Mr. D. Sablan.

APL Witnesses

APL presented both rebuttal and surrebuttal testimony by Mr. T. Morris.

Joint APL/Sea-Land Witnesses

APL and Sea-Land presented joint rebuttal and surrebuttal testimony by two witnesses.

Dr. Kolbe submitted both rebuttal and surrebuttal testimony.

Dr. Robert A. Ellsworth, Vice President of Ellsworth Associates, Inc., a consulting firm that specializes in computer services, submitted rebuttal testimony on behalf of APL and Sea-Land. Dr. Ellsworth, who has a Ph.D in Economics from the University of Utah,

held various positions with the Commission from 1974 through February 1993, including Chief, Office of Economic Analysis; Director of the Office of Regulatory Policy and Planning; Director, Office of Policy Planning and International Affairs; Director, Bureau of Economic Analysis; and Director, Policy Planning and Analysis, Office of the Chairman.

Because Dr. Ellsworth is a former FMC employee to whom certain ethics in government laws apply, he sought an advance ruling from the FMC ethics officer as to the propriety of his testimony, before submitting that testimony to the Commission. The ethics officer reviewed the request and related submissions and ruled that Dr. Ellsworth's testimony was proper under the ethics laws and could be submitted.

Sea-Land Witnesses

In addition to Drs. Kolbe and Ellsworth, Sea-Land presented the written rebuttal testimony of Mr. John R. Pitcairn, a CPA who testified on Sea-Land jurisdictional issues.

APPENDIX B

The Renewed Motion to Dismiss the Complaint

APL contends that neither the 1916 Act nor the 1933 Act provide that a private complainant can bring a general revenue "rate-of-return" challenge to a domestic carrier's entire rate structure and renews its motion to dismiss the complaint. GovGuam responds that the motion should be denied as it has been previously, and that the Commission invited the filing of the complaint. The question of an "invitation" will be examined first.

By Order of Investigation and Hearing served February 14, 1989, the Commission instituted Docket No. 89-05, *In the Matter of Agreement No. 102-008454, the Guam Rate Agreement ("GRA")*, pursuant to sections 15, 16 and 22 of the 1916 Act, 46 U.S.C. app. §§ 814, 815 and 821, to determine whether the GRA should receive continued approval, or be disapproved or modified. The GRA had been in existence since its approval in 1960. In June 1988 GovGuam had requested that the GRA be investigated, but by order dated August 25, 1989, ____ F.M.C. ____, 25 SRR 385 (1989), the Commission denied the request for failure to provide the required factual support for the allegations and instituted its own investigation because, it stated, the GRA had never been subject to a formal review under then current standards for approval of a section 15 agreement. *Id.* Certain subsidiary questions, raised by the shipping public, were identified as to the use and effect of the GRA "[a]s they may relate to making a determination of the Section 15 issues." (Emphasis in original.) *Id.* The GRA and its members, respondents Sea-Land and APL, filed a motion to dismiss Docket No. 89-05 stating that they would terminate the GRA effective July 19, 1989. The Government of Guam opposed dismissal and also filed a motion to modify the

order of investigation to determine whether the rates and practices of Sea-Land and APL in the Guam trade, regardless of whether they remained members of the GRA, are just and reasonable as required by the 1916 Act.

The Administrative Law Judge granted respondents' motion to dismiss Docket No. 89-05, and the Commission's Order affirmed that action stating that since the GRA had been terminated, the issue of the approvability of the GRA was moot. The order also stated that, "the questions relating to the reasonableness of the rates charged by Respondents were to be considered only as they bore on the approvability of the GRA." *Id.* at 386.

The Commission also denied Guam's motion to modify in Docket No. 89-05 stating:

Guam's Motion to Modify seems to contain several misconceptions. First, Guam seems to view this proceeding as providing the parties, particularly Hearing Counsel, with a unique opportunity to investigate the past and present rates of Respondents. We disagree. There is nothing unique about the rights afforded the parties in this proceeding. If this proceeding is dismissed, Guam could initiate a separate complaint case pursuant to Section 22(a) of the Shipping Act, 1916, 46 USC app. § 821, challenging the rates of Respondents. Subpart L of the Commission's Rules of Practice and Procedure, 46 CFR §§ 502.201-502.210, would give Guam the same opportunity for discovery that Hearing Counsel enjoys.

Guam also appears to assume that Respondents will continue to file rates that are subject to FMC jurisdiction. There is nothing to support this assumption. Carriers in other trades have canceled their port-to-port rates and filed joint-through rates with the ICC. Indeed, Sea-Land has already canceled one of its FMC Guam tariffs. It is unclear whether the Commission will retain jurisdiction over carriers serving Guam. Hearing Counsel appears to be correct in its observation that under the circumstances modification of the February Order might be premature. Accordingly, we deny Guam's Motion to Modify without prejudice to Guam's right to file a complaint challenging any rates filed with the Commission by Respondents. [Footnote omitted.] [25 SRR 386-387.] [Emphasis mine.]

GovGuam and APL have opposing views as to the import of the language in the above-noted proceeding as it relates to the present proceeding. APL describes the language referring to the right to file a complaint as "boiler plate," while Guam terms it an invitation to file this complaint and relies on it in opposition to respondent APL's renewed motion to dismiss.

The decision in Docket No. 89-05 has been carefully examined and the underscored language, quoted earlier, indicates no more than that Guam had a legal right to file a complaint under section 22 of the 1916 Act challenging respondents' rates. In numerous instances the Commission when discontinuing an investigation has stated that the action is without prejudice to the right of a shipper or other person to exercise its rights to pursue the matter through other avenues such as filing a complaint under section 22 of the 1916 Act. The language has varied but the import has been the same. Discontinuance "is without prejudice to the right of any person to file a complaint pursuant to section 22." *Matson Navigation Co. Proposed Overall Rate Increase of 2.5% Between U.S. Pac. Coast Ports & Haw. Ports*, ____ F.M.C. ____ (1985), 23 SRR 662, 663 (1985). There is no question but that GovGuam has the right to file the complaint. The real question is whether that right of action extends to complainants' novel theory--a rate-of-return challenge to a carrier's entire rate structure or as GovGuam describes its case--one challenging respondents' failure "to observe and maintain" just and reasonable rates based on a G.O. 11 analysis. The issue now is whether APL has sustained its renewed motion to dismiss.

We can quickly put to one side the fact that prior orders have denied prior motions to dismiss. In numerous instances earlier interlocutory rulings have been modified or

reversed on reconsideration or further consideration. An administrative law judge is free to revisit and correct an error in a non-final order whether that error was his or her own or that of other judges who had previously been in charge of the case. See *Fernandez-Montes v. Allied Pilots Assn.*, 987 F.2d 278 (5th Cir. 1993). Orders of administrative law judges prior to service of the initial decision remain interlocutory and can be reconsidered at any time while the matter is at that level. *Peterson v. Lindner*, 765 F.2d 698 (7th Cir. 1985). Often a motion to dismiss is denied because it is premature, or to allow discovery to proceed, or to enable a party to "flesh out its case" and "have its day in court." If the losing party believes the denial of the motion was in error an appeal to the Commission can be filed. 46 CFR § 502.153. However, it is noted that GovGuam successfully opposed the first motion for leave to appeal denial of respondents' motion to dismiss.

GovGuam urges that respondents' renewed motion is barred by the law of the case doctrine. The law of the case doctrine does not bar consideration of APL's renewed motion to dismiss because that doctrine generally applies only to appellate courts and not here.

In its motion to dismiss, APL contends that there is no statutory basis on which a private complainant can maintain a "never-before-seen" rate of return challenge to a domestic carrier's entire rate structure under the 1933 Act which only addresses rate changes, not existing rates. This is correct. No provision of the 1933 Act is shown to authorize the Commission or any party to investigate or complain about existing rates. In ocean shipping under the 1933 Act the Commission's rate power is limited to those rates it has the power to suspend, i.e., new or changed rates. The Commission has limited its own investigations under the 1933 Act into proposed rates only. See, e.g., *Matson Navigation Co.*

Proposed Overall Rate Increase, ____ F.M.C. ____, 23 SRR 1217 (1986) (Commission investigated a proposed 2.5 percent rate increase of Matson Navigation Company ("Matson") under the 1933 Act but Matson's existing rates were investigated under the 1916 Act). Thus the complaint, insofar as it relies on the 1933 Act, must be dismissed.

The next question is whether GovGuam can file and maintain its complaint under the 1916 Act or whether APL's motion to dismiss should be granted.¹

No shipper has ever before challenged an entire rate structure of a domestic ocean carrier--never since passage of the 1916 Act. Before 1978, there was uncertainty as to a shipper's right to complain that an existing rate was unreasonable under section 22 and obtain reparations, if unreasonableness was established. Under the 1916 Act, section 22 states that "any person" "may file" a complaint setting forth any violation of this Chapter by a common carrier in interstate commerce "and asking reparation for the injury, if any, caused thereby." 46 U.S.C. app. § 821. There was doubt in the domestic offshore trade as to whether the Commission could award reparation for existing rates which had been found to exceed a maximum reasonable level in the past. In 1978, pursuant to P.L. 95-475, the doubt was eliminated by adding language, to section 4 of the 1933 Act, providing that upon a finding of unreasonableness in a section 22 proceeding under the 1916 Act, "the

¹APL is also the principal respondent on rate of return issues but Sea-Land supports APL's position. While Sea-Land filed its own briefs, reply brief and surreply brief addressing many of the same issues as APL, Sea-Land's principal concern was the jurisdictional question of the legitimacy of its intermodal operations after June 27, 1989, which will not be reached in this ruling.

Commission shall direct full reparation to the complainant of the difference between the charge collected and the just and reasonable rate"²

The legislative history shows that the 1978 amendments to the 1933 Act had two primary goals, they altered the Commission's power to suspend rate increases, expedited the Commission's investigations into rate increases and carrier rates of return, in addition to clarifying the Commission's power to award reparations in a section 22 proceeding under the 1916 Act.

APL contends that the statute and its legislative history contain ample indications that Congress did not intend to authorize shippers to attack a carrier's entire rate structure. For example, in numerous instances, reference is to a just and reasonable rate or an unjust and unreasonable rate, not an entire rate structure.

Thus, the new provision to section 4 of the 1933 Act directs the Commission:

. . . in a proceeding instituted by a complainant pursuant to the provisions of section 22 . . . [to] direct full reparation to the complainant of the difference between the charge collected and the just and reasonable rate
[Emphasis added.]

The Senate Report said that it was intended:

²This clarifying amendment giving the Commission reparation authority was felt necessary because of the decision of a majority of the Supreme court in *T.I.M.E. Inc. v. United States*, 359 U.S. 464 (1959). There, in interpreting sections of then Part II of the Interstate Commerce Act (the Motor Carrier Act) which contained provisions similar to section 18(a) of the 1916 Act and section 4 of the 1933 Act, the Court, relying on *Montana-Dakota Utilities Co. v. Northwestern Pub. Serv. Co.*, 341 U.S. 246, 251 (1951), held that a statute which entrusts rate regulation to an administrative agency creates only a "criterion for administrative application in determining a lawful rate" rather than "a justiciable legal right." In *Montana-Dakota*, it was held that the Federal Power Act, which like the Motor Carrier Act only declared unreasonable rates to be "unlawful," did not create a cause of action for the recovery of allegedly unreasonable past rates. The Court refused to infer such a cause of action where Congress had not specifically granted the power to award reparation.

. . . to clarify the right of a complainant (usually a shipper) to obtain retroactive reparation in a proceeding under section 22 of the Shipping Act, 1916, upon a finding that the rate charged the shipper was unjust and unreasonable. The provision is intended to eliminate any possible misinterpretation of section 22 which would preclude a successful complainant under that section from receiving retroactive reparations for an unjust and unreasonable rate S. Rep. No. 1240 at 18 [emphasis added].

See also the H.R. Rep. No. 474 at 9 (Commission to award reparations when finding "the rate" charged was unreasonable) and at 11 (section 4 "clarifies the Commission's right to award reparation to a complainant upon a finding that a rate charged was unjust and unreasonable" (emphasis added)).

APL finds further support in the amendment of section 3(b) of the 1933 Act providing that it would not preclude any remedies available pursuant to section 22 of the 1916 Act. 46 U.S.C. app. § 845(b)(1988). As the House Report stated:

. . . However, this is not intended to preclude any remedies which may be otherwise available to the Commission or to an individual complainant under section 22 of the Shipping Act, 1916. . . . These would include a complaint by a shipper as to the justness and reasonableness of a particular commodity rate change, as well as a later investigation by the Commission, instituted pursuant to section 18(a) of the Shipping Act 1916 and/or section 4 of the 1933 act, to determine whether the same tariff matter has become unjust or unreasonable in view of changed economic circumstances." H.R. Rep. No. 474 at 8; S. Rep. No. 1240 at 14 [emphasis added].

APL urges that this passage demonstrates Congress's view that a shipper would be authorized to challenge "a particular commodity rate." APL also points to *Matson Navigation Co. Rate Increases* (FMC Docket Nos. 75-57, 76-43), Order on Reconsideration, 21 F.M.C. 987 (FMC 1979), which in footnote 24 stated:

Shippers could have maintained reparations claims under section 18(a) at the time the freight charges were paid on the theory that the specific transportation factors affecting a particular commodity rate were such that the rate charged was unjust and unreasonable. [Emphasis in original.]

APL urges that Congress did not intend to allow a shipper to initiate its own rate of return investigation into a carrier's entire rate structure in a section 22 complaint proceeding free of the deadlines and mechanisms which Congress so deliberately imposed on Commission rate investigations and that to rule otherwise would senselessly defeat one of the two central goals of the 1978 legislation and would sponsor a result "plainly at variance with the policy of the legislation as a whole." (Citation omitted.)

From the analysis of the statute and the legislative history, two things stand out. One is that the Commission, like many other regulatory agencies, has struggled to conclude in a fair and expeditious manner investigations into a carrier's general rate increases which led to the 1978 amendments to accelerate the process. The other is that shippers could file a complaint as to an existing rate or rates and initially only obtain relief for the future, but after 1978, reparation could be sought and would be granted if unreasonableness had been established. While there has been no previous complaint contending that all the rates in a carrier's rate structure are unreasonable, APL can point to nothing which specifically precludes it. It admits that "neither statute nor legislative history records an outright prohibition against shipper attacks on carrier rates of return." (APL/Legal, p. 18.) Its references in the legislative history and elsewhere to the use of the singular "rate" or "particular commodity rate" is not a convincing reason to bar GovGuam's theory of the case. It is true that only the Commission has conducted rate of return investigations. It is also

true that normally complaints against individual rates are based on the transportation factors surrounding that rate. It can also be conceded that Congress probably never envisioned a complaint like the instant one when it was considering the 1978 amendments. The only concern as to existing rates was to remove the doubt as to whether the Commission had authority to award reparation under the 1916 Act as to existing rates and this concern was remedied. However, the reasons proffered by APL do not clearly establish that GovGuam lacks the right to have its novel rate of return complaint adjudicated. In the circumstances, as ruled upon in the main body of the initial decision herein, APL's renewed motion to dismiss insofar as the complaint alleges a violation of the Intercoastal Shipping Act, 1933, 46 U.S.C. app. §§ 843-848, is granted but it is denied insofar as it alleges a violation of the Shipping Act, 1916, 46 U.S.C. app. §§ 801 et seq.



APPENDIX C

Further Discussion of Certain Issues

There is no established "standard methodology" for applying G.O. 11 to Guam. Matson's Hawaii service has been the subject of decades of analysis and litigation under G.O. 11. Even after that process of analysis and refinement there remain issues for which there is no clearly correct and dispositive treatment within the G.O. 11 framework. However, relative to Matson's Hawaii service--which is a turnaround service between U.S. Pacific Coast ports and Hawaii with dedicated ships, terminals, equipment and overhead devoted exclusively (except for a minimal feeder service to the Marshall Islands) to the domestic trade--APL's Guam service presents accounting and cost allocation issues that are more complicated. Included among these are the questions of how to account for the capacity loss on APL's ships due to the draft and crane restrictions at the Port of Guam; how to account for a major deviation by APL's ships from the great circle route to the Far East to provide a domestic call on a predominantly foreign commerce voyage; how to assign equipment and operating costs when the domestic cargo is markedly different in consist and markedly more costly to carry; how to assign costs for repositioning empty containers where APL's vessels carry PNW cargo to Guam but do not physically call at a PNW port; how to assign costs for repositioning empty containers where only one out of five of the containers that enters Guam leaves Guam with paying cargo; and how to account for the highly disproportionate time that APL's ships are required to spend at Guam because of the marked inefficiencies of the port.

The focus of GovGuam's case is on the profits allegedly earned by the carriers. GovGuam's contention that the rates are too high is a conclusion that, it urges, follows from its primary position, based on profitability calculations, that carrier profits are too high. GovGuam's basic approach raises a number of factual, economic and methodological issues concerning whether and/or how a carrier's profit in the regulated Guam trade can be measured. These are the so-called "financial issues" in the case. Much of the financial debate concerns whether and/or how the costs incurred by APL in operating its large, integrated system can meaningfully be apportioned between the Guam trade and the rest of the system. At the outset, therefore, it is important to identify and understand the nature of APL's costs.

Cost Accounts and Cost Pools

APL operates a transportation system in which physical assets and personnel are deployed on sea and land throughout a vast area of the world. In doing so, APL incurs costs that are correspondingly large in number and dollar amount, and correspondingly diverse in terms of the nature and location of the activities that cause them. APL's systems for accounting for these costs are highly detailed and complex. Dollar expenditures are recorded in APL's general ledger according to cost categories listed in APL's chart of accounts. The general ledger system contains about 100,000 separate accounts with additional detailed sub-accounts. For 1990 the chart of accounts takes up 1711 pages of computer printout. The specific expenditures reflected in the general ledger are aggregated and grouped by various APL data systems into cost (or expense) pools. A "cost pool" is an

aggregation of expenses that have been grouped together according to cost categories and/or locations. The criteria for grouping can be varied. For example, categories of expenses incurred in operating vessels--such as fuel, crew wages and insurance--might be aggregated and grouped into a cost pool for "vessel expense," which could in turn be calculated as a single pool for all APL vessels or as separate pools for different vessel strings. Similarly, expenses incurred in maintaining and repairing containers might be included in cost pools defined in various ways, for example: pools for Maintenance and Repair ("M&R") on all types of containers combined; pools for dry and reefer containers separately; pools for M&R on containers only; and pools that include M&R on other types of equipment. Any of these pools might in turn be calculated based on particular geographic locations or on company-wide totals. The cost pools in the record are typically calculated on an annualized basis according to APL's fiscal year.

Size and Diversity of Cost Pools

On a company-wide level, for example, the Administrative and General ("A&G") cost pool utilized by GovGuam in its 1990 G.O. 11 was \$272.3 million and included amounts for overhead costs such as salaries and fringe benefits of employees (not including crew wages, which are part of vessel expense); legal and consulting fees; rent, utilities, communications, and office expenses; data processing; advertising, travel, and solicitation expenses; management fees for services performed by APL corporate affiliates; and a charge related to corporate restructuring. Similarly, the container expense cost pool utilized in GovGuam's 1990 G.O. 11 was \$123.8 million and included amounts, again aggregated on a

company-wide level, for a wide spectrum of expenses relating to containers and cargo handling equipment such as M&R of containers, chassis, and gensets (generators for keeping reefers and contents cool); leases of containers, chassis, and gensets; and M&R of terminal facilities and equipment.

On a service-wide level, for example, the pool of operating expenses for the five APL ships that called Guam during 1990 amounted to \$54 million, including \$18.5 million for fuel and a like amount for crew wages, as well as amounts for such costs as insurance, supplies, and M&R. On a port-wide level, for example, APL incurred \$63.1 million in cargo handling and related operating expenses at its San Pedro terminal in 1990, consisting of costs for lifting containers on and off ships; loading and unloading containers and flatracks at the CFS; receiving and weighing loaded containers; providing empty containers to shippers; moving containers around the yard and to and from the railhead; and surveying and fumigating cargo. At the same terminal in the same year, APL incurred \$7.1 million in expenses for M&R of containers and related equipment, consisting of expenses for activities such as M&R of dry containers; M&R of reefer containers, reefer power units, and gensets; M&R of chassis; and repair and replacement of chassis tires. (This latter \$7.1 million illustrates how costs that can be aggregated different ways; it is also included in the \$123.8 million of system-wide container expense.)

Diverse and Complex Factors Causing Costs

The cost pools identified in the record and utilized in the various G.O. 11s typically merge costs that are incurred for all types of cargo with costs that are incurred exclusively

or predominantly for particular types of cargo. Expenses in some cost categories are incurred only in connection with particular types of cargo. For example, a number of container M&R cost categories, as well as a number of container lease cost categories, are applicable only to reefer cargoes or only to dry cargoes. Similarly, a number of terminal cost categories apply only to minilandbridge ("MLB") cargo, only to local cargo, only to military cargo, or only to CFS cargo.

Sometimes it is apparent from the name of the cost category that a particular expense applies only to a certain type of cargo. Based on an understanding of APL's operations it may be possible to determine that the same cost category is incurred for different types of cargo at different geographic locations. For example, terminal operating expenses at APL's inland terminals are incurred only in connection with MLB cargoes; but expenses in the same cost categories at the west coast terminal are incurred for both MLB and local cargo. It is similarly possible to determine that some cost categories apply much more heavily (even though not exclusively) to particular types of cargo; for example: costs for chassis M&R and for certain terminal operations apply disproportionately to local cargo when incurred at the west coast terminals. Costs for M&R supplies and supervisory time apply disproportionately to reefer cargoes. Vessel fuel expense is incurred disproportionately for reefer cargoes. A&G expense is incurred more heavily for certain types of cargoes.

Moreover, even with respect to cost categories that are incurred for all types of cargo, the factors that cause the costs to be incurred are often both diverse and operationally complex. For example, a function as basic as lifting containers on and off ships using shoreside cranes at APL's U.S. west coast ports--is performed for a wide variety of reasons.

Loaded containers are lifted on the ships so that they can be transported across the Pacific and off the ships so that they can be delivered to consignees. But the same west coast cranes also lift large numbers of empty containers on and off the ships for a variety of purposes. Empties are loaded on ships to be repositioned to Asia; so that they can be repaired in Asia; and, at San Pedro, so that they can be carried to Oakland where they are needed by local westbound shippers. Empties are lifted off the ships after having been repositioned from Asia or Guam, e.g., empty reefers and flatracks; and, at Oakland, empties that were lifted on at San Pedro are off-lifted for use by Oakland westbound shippers or because the problems with the crane at the port in Guam precludes their further carriage. The cost categories for crane operation at the west coast ports merge the costs of all of these lifts, both loaded and empty, which are incurred for all of these reasons. Each lift does not contribute the same amount of cost to the cost pool, even at the same port. For example, it requires more labor and time to lift a reefer or a platform of oversize cargo than it does to lift a standard container. And on a per-FEU basis, it requires more cost to lift two 20-foot containers than one 40-foot container.

Moving from port-wide to a service-wide cost pool as an example, the costs of operating APL's vessels, which are incurred on behalf of all types of cargo, are similarly caused by a variety of factors. Fuel expense, which constitutes a third of the operating expense of the Guam-calling ships, is incurred on the basis of miles travelled, and also based on speed and number of loaded reefers. The remainder of vessel expense is primarily incurred on the basis of time. For example, very little fuel expense is incurred while the

ship is alongside the pier, but the crew receives daily wages regardless. Some crew overtime, however, is incurred on the basis of reefer carriage.

At the level of system-wide cost pools the record shows that the complexity and diversity of cost-causing factors is multiplied still further, for example, in the case of the numerous different types of overhead costs incurred in operating APL's system that make up the company-wide A&G cost pool.

Absence of Cost Pools by Trade Lane

The cost pools generated by APL's cost accounting systems are based on the type of cost and the geographic locations (or vessels) where they are incurred. They are not based on particular trades. Thus, for example, it is possible for APL's cost accounting systems to identify the pools of costs incurred for container M&R at a given west coast port; but the record shows that it is not possible for those systems to identify the amount of cost within that container M&R cost pool that was incurred in serving any particular trade, including the trade to/from Guam, because it is frequently impossible to know which trade was served by a particular cost.

The Port of Guam

The port of Guam is located in Apra Harbor. At the berthing area used by APL and Sea-Land, the harbor is generally about 35 feet deep or less. The port is managed by the Port Authority of Guam, which is an autonomous instrumentality of the Government of

Guam. The Port Authority's Board of Directors is appointed by the Governor of Guam. The Port Authority controls much of the equipment at the port of Guam, unlike many Far East ports where the carriers control their own equipment including its costs. The Port Authority charges carriers for use of the port and for various services that are performed by port personnel or with port equipment (e.g., loading and unloading the vessels). The principal charges to containership operators such as APL and Sea-Land are the wharfage and cargo throughput charges which, during the years in dispute, averaged about \$435 per FEU. (This may be compared with the equivalent charges to APL of \$64 per FEU in Kaohsiung, \$181 per FEU in Yokohama and \$272 per FEU in Kobe.) APL and Sea-Land use the single berth that is available for use by large container vessels. Shore side gantry cranes are used by the port to load and unload containers to and from the APL and Sea-Land vessels. Until 1993, the port of Guam had only two gantry cranes. Incoming domestic cargo nearly tripled between 1980 and 1991, while foreign imports increased sixfold.

The "Deviation" Issue

Guam is far to the south of both APL's U.S. PIX ports (Oakland and Los Angeles) and the Far East anchors of Japan and Taiwan. The magnitude of that deviation is apparent when one consults a gnomonic map that takes into account the curvature of the earth, which substantially determines the routing of ocean-going vessels. A navigator on any individual voyage will attempt to follow as closely as feasible the great circle route between two locations, which represents the shortest actual distance between those points, while also

taking into account other factors that affect the feasibility/efficiency of the voyage, such as weather, ocean currents and any physical obstructions along the route.

Oakland (or Los Angeles), Yokohama and Kaohsiung are almost precisely on the same great circle route. This means that a voyage from Oakland to Kaohsiung requires virtually no deviation from the great circle route to stop at Japan (or alternately, that an Oakland-Japan voyage can be extended to Kaohsiung by essentially the same great circle route). Service to Guam, however, is fundamentally different--it requires a vessel sailing from Oakland to Kaohsiung first to sail far south of the great circle route to Guam and then north to Kaohsiung.

The miles and time involved in the deviation can be calculated using APL's Deployment Architecture Tool ("DART"), a sophisticated computer system that APL developed to assist it in designing its deployments in a way that accommodates the complexities and requirements of APL's far flung services. DART is widely recognized throughout the industry as the state-of-art deployment tool. Among other things, DART can identify the actual sailing distances between two locations, using the applicable great circle distance and APL's historical experience in navigating between locations. DART stores a great amount of historical information--updated quarterly--on the key characteristics of APL's operations, including: APL's vessels (e.g., their capacity, speed, draft, fuel consumption, operating costs under various scenarios); the ports that APL serves worldwide (e.g., entry and exit hours, harbor draft, crane productivity, work and non-work hours); the routes between ports (including the mileage between ports and the most efficient routing,

taking into account seasonal variations, weather, ocean currents and all other relevant factors as reflected in historic experience); and APL's cargo forecasts.

The sailing distance from Oakland directly to Kaohsiung is 6,018 miles, while the sailing distance from Oakland to Kaohsiung via Guam is 6,638 miles (composed of 5,118 miles from Oakland to Guam and 1,520 miles from Guam to Kaohsiung). The deviation to Guam thus adds approximately 620 miles, and about three days (including port time in Guam), to the voyage.

By contrast, the call at Yokohama adds only 88 miles to the voyage between Oakland and Kaohsiung, the call at Dutch Harbor, AK, on APL's PNW string from Seattle adds no miles because Dutch Harbor is directly on the applicable great circle, and the Naha call on the PNW voyage between Kaohsiung and Kobe adds just 64 miles.

GovGuam suggested during cross-examination that the deviation may be somewhat less than the 620 miles shown by DART, and may instead be on the order of 400 miles. GovGuam based this suggestion on two Summary of Chief Engineer's Passage Reports for particular APL voyages--one in 1989 and one in 1990--which reported the distance between Oakland and Kaohsiung on those two voyages as being approximately 6,200 miles, rather than the 6,018 calculated by DART. The record shows that there are often differences among individual voyages in terms of the number of miles traveled between the same ports, due to weather, currents and other factors that influence the route chosen by the captain. The DART calculation reflects the average of a great deal of historical data covering many of APL's experiences. Exhibit 265 demonstrates DART's accuracy. That exhibit shows that for all of the APL voyages in 1990, the sailing distance from Oakland to Guam averaged

5,102 miles, whereas DART calculates an almost identical average of 5,118 miles. Likewise, the exhibit shows a 1990 average from Guam to Kaohsiung of 1,515 miles, whereas DART calculates an almost identical 1,520 miles. Use of the DART calculation as a measure of the Guam deviation is further supported by reference to the British Petroleum World-Wide Marine Distance Tables, a recognized source identifying navigable distances between world ports. The BP tables identify the distance between Oakland and Kaohsiung as 5,807 miles, and the Guam deviation to be 760 miles. APL does not necessarily follow the BP route. The DART calculation reflects APL's actual experience. Accordingly, the DART average calculation is the best evidence of record and supports the conclusion that the distance involved in the Guam deviation is 620 miles.

Fuel Expended for the Guam Deviation

For the year 1990, the added fuel cost to transit the 620 added miles required by the Guam deviation was approximately \$1.8 million. This was calculated by using DART to derive the actual fuel costs for the PIX voyages that called in Guam in 1990. DART then calculated what the total fuel cost would have been under a scenario using precisely the same parameters, except that the mileage was reduced by 620 miles, the amount of the Guam deviation. Port time in Guam was retained, so that the only adjustment was for the actual mileage difference due to the Guam deviation and the associated reduction in time to navigate those reduced miles, and the cost savings flowing therefrom.

GovGuam raised a question as to the accuracy of DART in approximating the deviation fuel cost, asserting that DART does not take into account ocean currents. The

record shows that because DART's calculations are based on years of historical data regarding actual voyages, the average that it provides necessarily reflects ocean currents, as well as any other factors that actually affected those voyages. Further, DART has proven its accuracy in projecting fuel costs. The actual total PIX fuel cost for 1990 was \$17,076,000. The DART simulation of that cost was \$17,307,000.

One Way Trade

The Guam trade is overwhelmingly westbound. In 1990, APL moved 13,142 FEUs of cargo into Guam, but only 2,699 out. This left more than 10,000 empty slots on APL's vessels departing Guam for which there existed no cargo opportunities until the ship transited the 1,520 miles to Kaohsiung.

This disproportion is even more pronounced in the case of reefer containers. Such boxes sent to Guam must generally be returned empty all the way to the U.S. west coast before they can receive cargo again. This means that a reefer sent to Guam must first go further west (to Kaohsiung) and then back to the U.S. west coast before it can be returned to the revenue stream. While a reefer sent to the Far East must also generally transit back to the U.S. for re-use, reefers represent a much higher portion of Guam cargo than they do of Far East cargo. Moreover, an empty reefer coming from the Far East does not have to undergo the additional westbound voyage to Kaohsiung required of an empty Guam container. And if a reefer container shipped to Guam is not returned by the Guam consignee in time to make a particular sailing from Guam, it must wait another seven days

before it can go on its way from Guam, whereas APL has as many as three sailings per week from other Far East ports.

For four out of five loaded containers that APL carries to Guam (1990), four container lifts onto and off of the PIX ships are needed before the container becomes available for loading of eastbound cargo in the Far East (the first being the loading of the Guam-bound container onto the ship in California; the second being its discharge at Guam; the third being the reloading of the emptied container back onto the ship in Guam and the fourth being the unloading off the ship at Kaohsiung). In contrast, only two lifts are required for a Far East container (the movement onto the ship at the west coast port of loading, and the discharge at the Far East). Guam has almost a five to one imbalance between imports and exports, whereas on the PIX ships Japan has a ratio of just over two to one and Taiwan is very nearly balanced.

Other restrictions at the port of Guam are the limited depth of the harbor and the limited height of the gantry cranes.

The Draft Constraint

Introduction

Each containership has not only a slot capacity, but also a deadweight capacity. When a vessel is loaded to its maximum deadweight it will reach its maximum "draft," meaning the depth of a vessel below the water line measured vertically to the lowest part of the hull. For safety reasons, it is necessary to load the ship in such a way that the bottom

of the ship (its draft) is at all times at least two feet above the sea floor. Thus, to the extent that the depth of the harbor is less than the maximum draft of the vessel plus two feet, the loading of the vessel must be restricted so that it rides higher than its maximum draft. Inadequate harbor depth has the practical effect of reducing the deadweight capacity of the vessel.

It is necessary for transpacific carriers to keep their eastbound and westbound container flows in balance, and thus to profile their westbound vessels so that they "match back"--that is, so the total number of containers moving westbound equals the number of containers that moved eastbound on those vessels. The carriers develop operational standards for each of the ships. These standards establish the westbound planning capacity of a particular vessel to carry loaded containers within its deadweight capacity, while leaving room for a sufficient number of empty containers to meet the ship's "match back" requirement. To the extent that inadequate harbor depth reduces the deadweight capacity of a vessel in a particular service, the number of loaded containers that can be carried on that vessel, and the operational standard must be reduced accordingly.

Specifics of the Guam Draft Limitation

The depth of the harbor at Guam is insufficient to permit APL's vessels to utilize their full deadweight capacity. The inadequate harbor depth has created a significant loss of capacity for APL's C9 and J9 vessels in the PIX service. The port of Guam was constructed with a maximum water depth at the container berth of 35 feet. This means the maximum draft of a vessel at the berths is 33 feet (observing the two-foot safety rule).

While a 35-foot depth of the harbor was sufficient to accommodate the vessels APL operated to Guam until 1986, transpacific vessels have become consistently much larger. Larger ships cannot enter the port at Guam in a fully loaded condition, given its limited depth. In the case of APL's C9, J9 and C10 vessels, this means that none can call Guam without a serious loss of vessel capacity. The port failed to deepen the harbor to permit larger vessels to call. The port of Guam was forewarned of this impending deficiency in its harbor by a report of the U.S. Army Corps of Engineers that explained that a harbor depth of 43 feet would be appropriate to accommodate newer, larger vessels, in light of the draft of the vessels. APL expended its own resources to make some improvements to Guam's harbor. However, the record shows that when they are used in the Guam service both the C9s and the J9s lose in the range of 125-168 FEUs and 12.17% of non-Guam capacity--due to the draft constraint.

The Crane Limitation

The use of a vessel may also be constrained by the inability of shore side equipment to "work" the vessel to the extent of its maximum slot capacity. Modern container ships can carry containers stacked as high as five or six tiers above deck. These containers are loaded and unloaded by the use of shore side gantry cranes. If the cranes at a particular port are too small to load/unload containers above a certain tier, then rows that are to be "worked" in that port can be loaded/unloaded only up to the maximum tier permitted by the cranes. This effectively reduces the slot capacity of the vessel. During the issue period the port of Guam had only two gantry cranes. These cranes are not large enough to service all

container slots on APL's vessels. For APL's J9s and C9s, neither crane has sufficient height to "work" above the third tier on deck. Ships fully profiled westbound generally carry containers four high above deck, and may carry empty containers on the fifth tier. However, the record shows that the inability of the Guam cranes to "work" APL's ships above the third tier seriously inhibits APL's ability to send those ships westbound at full profile, and to match back westbound the same numbers of containers that they carry eastbound during high utilization periods.

The key factor in matching back is the total number of containers (empty and full) that APL can load on its vessels in California destined for the Far East. The record shows that APL cannot unload containers from the fourth tier in Guam due to the limited height of the crane. Thus, APL cannot load those vessels in California four high on rows that contain Guam-bound cargo (i.e., rows that are to be worked in Guam), and APL effectively loses capacity to meet its match back objective.

As a result, APL transports large numbers of empty containers by rail to Seattle for repositioning to the Far East. The record shows that if the Guam service could carry those empty containers APL could eliminate their movement by rail to Seattle for transfer beyond.

While the use of the C9s and J9s in a service calling Guam has been unsatisfactory due to the draft and crane limitations, the evidence is clear that there has been no practical alternative vessel deployment available to APL. APL (and as to the crane, Sea-Land) took the unusual step of expending its own resources to make improvements that would normally be undertaken by a commercial port itself.

Crane Productivity

The productivity of a crane at a port is typically measured by the number of loading or unloading moves that the crane performs per hour. (A crane move consists of either (1) taking a container off the ship and placing it onto the ground (or chassis) or (2) taking a container from the ground (or chassis) and loading it onto the ship.) The more productive the cranes, the less time that a vessel must spend in port to load/unload a given volume of containers. The record shows that the crane productivity (reflecting both the efficiency of the cranes and the number of available cranes) at the port of Guam has been low in comparison to other ports. This requires APL to build additional contingency time for Guam into its deployment schedule. In the PIX service pro forma schedule, Guam is supposed to perform 45 crane moves (loading/unloading) per hour in order to meet the vessel schedule. This is much less than APL programs for other ports on the PIX service which range from 70 to 100 moves per hour. The Guam cranes actually deliver about 30 moves per hour. Sea-Land also indicated that Guam is one of the lowest productivity line haul ports in its entire system and has historically been the least productive port in the Sea-Land service that calls Guam.

Pacific Northwest Cargo ("PNW")

About fifteen percent of the regulated cargo that APL carries to and from Guam originates at or is destined for the PNW. All of the export cargo from the PNW to Guam must first be moved overland by rail or truck to Oakland for loading on a PIX vessel, at an

expense to APL of about \$800 per loaded container, because no APL PNW vessel serves Guam. APL must also incur a cost of about \$300 per container in order to replace each full container moved out of the PNW with an empty container from another APL location, since the PNW is a deficit center for empty containers with APL.

The evidence is clear that Guam is the only Far East destination that requires APL to incur the cost of overland transportation from the PNW to California; that every other destination port in APL's system is served by or accessible to APL strings originating both from California and from Seattle; and that there is not enough PNW to Guam cargo to justify a direct PNW call at Guam and that the PNW service could not accommodate such a major deviation in its schedule.

Chassis¹

APL provides the chassis for the shippers and consignees at the port of Guam and at mainland U.S. ports. At most Far East ports, the chassis are provided by local trucking companies hired by the shipper/consignee (other than a few chassis used by APL within the terminal). (About 85% of APL's total chassis are located on the U.S. mainland or in Guam.) The U.S.-Guam service is the only trade in which APL must supply chassis at both the origination port and the destination port. In contrast, in the intra-Asia trade, APL typically provides no chassis at either port; and in the U.S.-Asia trade, APL provides chassis only at one port (the U.S. mainland port). This difference between Guam and other Far

¹A chassis is the steel frame or bed equipped with wheels upon which is mounted the container.

East destinations has several material cost implications for serving Guam. First, there is the investment required for chassis. APL has over 500 chassis on Guam. A new chassis costs over \$7,000. There is no facility in Guam which makes chassis. Most APL chassis are manufactured in California. Every chassis on Guam had to be brought there on a vessel. Chassis require maintenance and repair. For example, APL spent over \$9 million in 1990 for new chassis tires alone. Not only is chassis repair a cost that APL does not normally incur at other Far East destinations, it is also much higher on Guam than any other APL location. Based on the available data, Guam has the highest per chassis repair cost in APL's system, typically on the order of double most other locations.

Guam's Share of High Cost Cargo

The Guam trade involves a disproportionate share of high service, high cost cargoes--that is, cargoes that entail an unusual amount of high cost equipment, operating or overhead expense.

Reefer Cargo

Reefer cargo, which is transported in reefer containers, represents a very important, high volume category of cargo moving to Guam that is especially costly. Approximately 15% of the cargo moving to Guam is reefer cargo, double the 7% that moves in the rest of the system. This has significant capital and operating cost implications. A reefer FEU move involves 6 times greater investment/depreciation of equipment than a dry FEU move.

A reefer FEU move involves 11 times greater M&R expense than a dry FEU move. APL maintains engineers both in port and on board its vessels whose principal responsibility is to monitor reefer boxes to ensure that proper temperatures are maintained. Reefers also require additional time to load on the ship. Separate fuel oil is needed to power reefer containers; in 1990 about \$150,000 of fuel was consumed powering the reefer containers carrying cargo to Guam. Reefer cargoes require very high time and attention by various personnel. Reefer cargo is also subject to a higher than normal frequency of damage claims, and associated administrative costs. The record shows that APL brings a very high proportion of the reefer containers moved to Guam all the way back to the United States as empty containers (after first transiting empty to Kaohsiung), because very little reefer cargo moves inbound to the United States and shippers are generally reluctant to use a reefer container to transport dry cargoes.

Oversize Cargo

Oversize cargo is cargo that cannot fit within the dimensions of a container--examples being buses, earth moving equipment and boats. Such cargo is transported on platforms on flatracks--containers without sides and/or a top.

The Guam trade accounts for an extremely high proportion of APL's moves utilizing flatracks and platforms (49%) compared to Guam's proportion of total system moves (2.65%). Also flatracks and platforms represent 7.6% of the Guam trade compared to 0.2% for the rest of the system. Like reefer containers, this disproportion affects the cost of

serving Guam compared to the rest of the system, since oversize cargo is very expensive to move.

APL rents the flatrack equipment from container leasing companies primarily on a short-term basis. This cargo often requires much greater time and expense to load onto and discharge from the ship, not only because it is unprotected by the sides and top of a standard container, but also because the cargo protrudes beyond a standard slot. Oversize cargo consumes a disproportionate amount of space on the ship because, by definition, it extends beyond the boundaries of a single slot. The number of slots (or FEUs) that a particular piece of oversize cargo will take up depends upon its size and location.

Household Goods

Due in large part to the military presence on the island, Guam has a very heavy movement of household goods in both directions. Household goods represent about 6 percent of the Guam trade, four times the approximately 1½ percent of household goods in the rest of the system. These cargoes are very service intensive, requiring a high degree of attention from customer service and other administrative personnel because, in part, of the need to coordinate the shipments with multiple agencies and/or individuals, and because a single container normally contains goods from multiple shippers. And like reefer cargoes, household goods are subject to an unusual frequency of damage claims and attendant administrative costs.

Military Cargo

Military cargo as a whole (including military reefers and military household goods) constitutes almost 20% of the Guam trade, compared to just over four percent for the rest of the system. These military cargoes are generally service intensive. The military has its own unique way of dealing with its transportation needs, requiring special attention. Military cargoes often involve drayage to/from a military depot.

Operating Differential Subsidy ("ODS") Refund

For every FEU of Guam cargo that APL carries, it must repay to the U.S. government a portion of the ODS that APL receives for operating its vessels in foreign service. In recent years, APL's ODS payback due to Guam has approximated \$2.5 million per year, which in 1988-90 came to a subsidy repayment of about \$150 for each FEU of Guam cargo.

Single Container Berth

The parties agree that the harbor at Guam has berthing space and equipment for only a single container vessel the size of the ships used by APL and Sea-Land. The availability of only a single berth imposes significant constraints on the carriers, both in establishing their schedules and on those occasions when arrivals or departures are thrown off by weather conditions or equipment breakdowns. When ships of the two carriers arrive

closer together than scheduled, whether due to storms or other reasons, one must wait while the other vessel is worked.

Equipment Problems at the Port

The port of Guam has problems with the gantry cranes and the "transtainers"--tire mounted cranes used to move and stack containers within the yard--which have reduced productivity at the port, resulting in increased port time, difficulty in getting containers to consignees' truckers, and other delays. The port's gantry cranes are also prone to mechanical troubles. The record shows that one or the other of the cranes broke down at least once during 33 of APL's 51 Guam calls in 1991 creating delays.

Container Yard

All containers brought in or out of Guam by the carriers must pass through the port's container yard. Although the yard was originally designed to permit a "wheeled" operation--one in which containers are taken directly from the ship to a chassis (and vice versa)--the inadequate size of the yard required a shift to a primarily "grounded" operation--one in which containers are stacked atop one another, thereby slowing the unloading and loading process, as well as the delivery of containers to the consignees' truckers. GovGuam acknowledged that the congestion problem existed in the period at issue here. It has been partially remedied by an expansion of the container yard, the first phase of which was completed in October of 1991.

GovGuam alleged a failure of the domestic carriers to provide sufficient chassis at the port. But GovGuam conceded that the domestic carriers provide an unusually high number of chassis at the port of Guam, while foreign carriers do not provide any chassis at the port at all. Moreover, GovGuam's 1990 Master Plan for the Port shows that the yard is too crowded for even a "grounded" facility.

Port Time

Vessel expenses, other than transit fuel accrue to the same extent whether the ship is at sea or in port. The record shows that Guam consumes a disproportionate portion of the port time on the PIX service. In 1990, for example, 17.85% of the total hours at berth in PIX Far East destination ports were spent in port at Guam, although Guam cargo represents only 11.36% of the loaded FEUs moved onto or off PIX vessels at those ports. The record shows that APL's vessel profiles for the PIX service, which are based on APL's historical experience, show port time in Guam to be approximately 15% of the total PIX service port time, including contingency time for adverse occurrences. The contingency time profiled for the port of Guam is shown to be disproportionately higher than at any other PIX port. For APL's C9s, Guam's profiled port contingency is 12 hours, four times the next highest port contingency of 3 hours (San Pedro and Kobe). For the J9s, Guam's port contingency is 8 hours, with the next highest again being 3 hours.

Environmental Conditions on Guam

Harsh environmental conditions on Guam present operating difficulties and increased expense. Because of an unusually corrosive combination of humidity, temperature, and salt content in the air, deterioration of equipment (especially chassis) is relatively rapid in Guam.

Asserted Guam Savings

GovGuam asserts that the carriers benefit by the fact that the terminal at the port of Guam is owned and operated by GovGuam, sparing APL the significant capital expenditure of investment in crane and terminal facilities. While APL has saved investment due to the port's ownership of the equipment, the record shows that these capital expenditures are more than offset by the additional charges that APL pays to the port. Port charges in Guam averaged roughly \$435 per FEU in 1990. In contrast, at ports where APL controls the terminals/cranes, its overall costs to provide the same services range from \$64 at Kaohsiung to \$272 at Kobe.

Services at Guam by Other Carriers

Guam receives, and in the past received, service from a variety of carriers, both domestic and foreign. In the 1950s and 1960s, Guam received service from Pacific Far East Lines ("PFEL"), with calls every two to three weeks, and APL, with calls approximately monthly. Lykes Bros. Steamship Co. ("Lykes") and Waterman Steamship Co. ("Waterman")

also provided some limited service. After APL withdrew from the trade in 1969, Seatrain Lines began a service to Guam in 1970, calling every 17 days. In 1972, U.S. Lines entered the trade, providing the first weekly service to Guam. Shortly thereafter, PFEL exited the trade. In 1974 or 1975, Seatrain left the Guam trade and was replaced by Matson Navigation Co. Matson in turn left the trade in 1979, and was replaced by APL.

In 1986, Island Shipping, in conjunction with Lykes, and later Sea-Land, established a transshipment service from the U.S. to Guam, via relay in Japan. Although Island obtained its ships from the Department of Transportation at bargain basement prices (including deferred payment terms), and received very favorable terms from the connecting carriers for the U.S.-Japan leg of the transshipment service, it was unable to succeed as a third carrier in the trade. Island was a member of the GRA and charged the same rates as the other members of the GRA, but complained that the rates were too low. In August 1987, Island discontinued service and declared bankruptcy.

In 1987, U.S. Lines exited the trade due to a general bankruptcy, and was replaced by Sea-Land. At about the same time, APL switched to a weekly service, thus providing Guam for the first time with two weekly services.

This history indicates not only that Guam has been a difficult market for U.S. carriers to serve, but also that the market has been unable to support more than two significant carriers from the U.S. mainland at any given time. In most cases, a new carrier did not enter the Guam trade until an existing carrier had departed--thus, Seatrain replaced APL, Matson replaced Seatrain, APL replaced Matson, and Sea-Land replaced U.S. Lines.

Sea-Land's Service in the Trade

Sea-Land entered the trade in August 1987, replacing U.S. Lines after it went bankrupt, and using vessels and other assets purchased from U.S. Lines in the bankruptcy proceeding. Like APL, Sea-Land offers a high quality service to Guam, providing, regular weekly calls and making available a wide range of equipment choices. APL, however, has a faster transit time, due to the fact that Sea-Land stops in Hawaii on the way to Guam, a fact that Sea-Land believes gives APL an advantage in obtaining time sensitive cargo, such as reefer.

Sea-Land and APL have been vigorous competitors in the Guam trade since Sea-Land entered the market. During the time that both carriers were members of the GRA, the two carriers competed primarily based on service. After the GRA was terminated, APL and Sea-Land continued to compete on service. Sea-Land testified in this regard to its belief that the flexibility in responding to customers' needs it had attained by switching to an ICC intermodal service gave it a competitive advantage against APL. At the same time, the price competition between the two carriers intensified considerably. There has been a great deal more activity in setting new rates in the Guam trade since the GRA was terminated.

Foreign-Flag Carriers--Service from Foreign Ports

Guam receives service including containership service, from a variety of foreign ports, including Far East ports and Australia, by a variety of foreign carriers. Kyowa Shipping

Company provides five separate services to Guam from various Far East ports (including Japan and Taiwan). Kambara Kisen Company and Far East Micronesia Line also provide services from the Far East. Zim Israel Navigation Company provides a service from Australia. Six carriers provide intra-regional service within Micronesia that stop at Guam. Foreign imports, including commodities that compete with those carried to Guam by the domestic carriers, play a substantial and increasing role in the Guam market. The number of foreign containerhips calling Guam per year increased by 67% between 1986 and 1990, while gross tonnage of foreign ships increased almost four-fold during 1986-1989. Approximately 40% of the total cargo imported into Guam in recent years has come from foreign sources. Substantial amounts of commodities carried from the mainland U.S. to Guam are also carried to Guam from foreign origins by these foreign competitors. Foreign sourced products are readily available everywhere on Guam, often alongside U.S. sourced items. Two private complainants (MBI and Town House) submitted lists of their 20 top suppliers showing that almost half of those suppliers are foreign.

Service from Mainland U.S. to Saipan

Saipan receives service from the U.S. mainland not only by APL and Sea-Land, but also by Pacific Micronesia & Orient Navigation Company, which operates a foreign-flag service between U.S. west coast ports, Hawaii, Micronesia and the Far East that includes a call approximately every three weeks at Saipan.

The "Jones Act"

The "Jones Act" and its Effect on the G.O. 11 Calculations

The "Jones Act" refers to the U.S. cabotage statutes applicable to Guam.² Under the Jones Act, vessels transporting cargo between the U.S. mainland and Guam must be U.S.-flag. However, vessels operating between the mainland and Guam can be foreign-built—unlike vessels serving the trades with Hawaii, Alaska, or Puerto Rico, which must be U.S.-built as well as U.S.-flag.³ APL's Guam service in fact made extensive use of foreign-built ships throughout the 1987-90 period.

All of the G.O. 11 FDC analyses that have been submitted for the record include the trade between the mainland and Saipan together with the trade between the mainland and Guam as a single regulated trade, and the testimony concerning those analyses commonly referred to the combined Guam/Saipan trade by the shorthand "Guam trade." The Jones Act does not apply to Saipan; foreign-flag, foreign-built vessels are eligible to serve the trade between the mainland and Saipan. Foreign-flag vessels are thus not barred from serving this segment of the "Guam trade" as that term is used in the financial testimony.

The Jones Act does not directly enter the G.O. 11 FDC calculations. In doing a GO-11 FDC analysis, it is necessary to allocate expense to the trade based on a carrier's actual costs of operating in compliance with existing statutory requirements (a principle that

²See Merchant Marine Act, 1922, §§ 21, 27, 37, 46 U.S.C. app. §§ 877, 883, 888; Shipping Act, 1916, § 2, 46 U.S.C. app. § 802; 46 U.S.C. §§ 12102, 12105.

³CDS Repayment for Guam Serv. & Domestic Serv. Under Time Charter to MSC, 19 SRR 603 (Ass't Sec. of Comm. 1979).

extends not only to U.S.-flag requirements, but to environmental and safety requirements and the like).

GovGuam Contends that the Jones Act Operates to Reduce Competition and Raise Rates in the Guam Trade

GovGuam offered factual testimony to the effect that the Jones Act had caused allegedly excessive rates in the Guam trade by "eliminat[ing] foreign competition" and reducing the number of carriers that would otherwise compete. In particular, GovGuam claimed that "more than a dozen" foreign-flag carriers would find the Guam trade "extremely attractive"; that some or all of these carriers "would eagerly enter" the trade with their transpacific vessels if legally permissible; and that this in turn would drive down rates. Based on these assertions, GovGuam took the position that the Commission was obliged to give "close scrutiny" to the U.S.-flag carriers' rates of return.

GovGuam's testimony concerning the asserted impact of the Jones Act on competition and rates in the Guam trade was admittedly based on generalized assumptions, without evaluation of the specific operating and marketing factors that would bear on a foreign carrier's decision whether to enter the trade. For example, GovGuam did not analyze foreign carrier itineraries or the importance of Asia-Asia markets to those itineraries; nor did it evaluate whether the foreign vessels were physically capable of adding Guam without dropping markets currently served; nor did it ascertain the size of the Guam market that would be available to a foreign carrier in the absence of the Jones Act. Instead, GovGuam relied on conclusory generalizations concerning (1) the "rate structure," (2) its

belief that by calling Guam the foreign carriers would forego only the lowest rated commodities to Asia ("you have to think of incremental costs as wastepaper rates"), and (3) its belief that it is "real cheap to serve Guam if you're already going to the Far East." At bottom, GovGuam's testimony that foreign carriers would eagerly enter the trade and reduce rates was admittedly a "generic statement about the role of competition when trades are open and competitive" based on a "generic assumption" about the attractiveness of the trade ("just a statement about the common discipline in American free enterprise capitalism").

The Operational and Marketing Facts

The record shows that, based on an evaluation of real-world operational and marketing factors, the major foreign operators in the Pacific would perceive the Guam trade to entail major problems and disadvantages. The following were among the factors identified in that regard.

It is critically important to foreign operators that their transpacific voyages call at least two major markets in Asia, since this enables the ships, not only to carry U.S. foreign commerce cargoes in two major westbound and two major eastbound markets, but also to serve the Asia-Asia market which is very important to foreign carriers (and which by definition requires two Asia calls). Indeed, every transpacific voyage made by a foreign containership during the first nine months of 1993 called at least two Asian nations.

For a foreign carrier considering entry into the trade, Guam's location far off the great circle linehaul route would raise the operational question of whether its ships are fast

enough to add Guam without dropping an existing call at a major Asian market and thereby sacrificing Asia-Asia (as well as eastbound Asia-U.S.) cargoes. This operational question would be serious for the large majority of foreign linehaul ships in the U.S.-Far East trade, which are not as fast as APL's Guam-calling ships, and have a speed comparable to (or slower than) ships that APL found unsuited for Guam service because they were too slow to call both Taiwan and Japan on voyages calling Guam.

A number of foreign linehaul ships, while fast enough, are too large by virtue of their draft, height, and width to call Guam. These ships, which are significantly larger than the APL C-9 vessels whose capacity loss was the subject of much testimony, would suffer an intolerable capacity loss from Guam's draft and cranes.

The addition of Guam would require a fundamental restructuring of the foreign carrier's voyage. This would be true, not only for the large number of ships deployed in services that are obviously unsuited to calling Guam (such as services sailing eastbound round-the-world or not calling California), but also for the ships sailing westbound to Asia from California. The central feature of the California-Asia trade is that the vast majority of the sailings call first in Japan, which is far north of Guam. Calling Guam before Japan would increase the transit time from California to Japan by 50 percent (from 9 or 10 days to 15 days).

Japan is the first westbound call for the vast majority of containerships sailing from California because it is the first country on the westbound great circle route and, more importantly, has a westbound market of enormous size and value. The westbound Japan market is by far the largest in Asia (significantly bigger even than the eastbound Japan

market, which in turn is the biggest eastbound market in Asia). Reefer cargoes moving westbound from the U.S. to Japan are, by themselves, three times greater in terms of FEUs and nearly 4 times greater in terms of revenues than the entire westbound Guam commercial market, dry and reefer combined. In addition, the westbound Japan market includes large quantities of relatively high-rated commodities such as industrial machinery, non-refrigerated foods, candy, and alcoholic beverages.

The foreign vessels sailing directly to Japan carry substantial volumes of these reefer and other high-rated westbound cargoes. If those ships were to call Guam before Japan, they would be cut out of the high-end (including reefer) segment of the westbound Japan market by virtue of the drastically increased transit time. In such circumstances, the incremental lost revenues are not measured by reference to the low rates for wastepaper (as GovGuam assumed). Rather, the foreign carrier would be fundamentally changing the nature of its U.S. foreign commerce carriage by sacrificing cargoes in the high end of Asia's giant westbound market. Further, if the ships were not fast enough to serve Guam and still call two major Asia markets (as would be the case for many foreign services), they would also be shut out entirely from the important Asia-Asia market.

In addition to lost cargoes, a foreign carrier would incur large additional costs by adding Guam to its itinerary. These include the significant start-up and overhead costs usually associated with commencing service in an entirely new market, as well as the unusual costs of calling Guam, such as those caused by the island's geographic isolation, restrictive draft, and one-way trade.

Because the Guam market is very small and is already served by two high-quality carriers, a foreign third-carrier entrant could expect to gain only a modest share of a diluted market (which would become even more diluted to the extent one were to speculate about the possibility of more than one foreign entrant).

Weighing the above-summarized cargo sacrifices and operating costs against the prospect of such a gain, the record shows that, while no one can predict with certainty what would happen in the hypothetical eventuality of a Jones Act repeal, the realities of the itineraries and the markets are inconsistent with the notion that there is a vast swarm of foreign vessels sailing right by Guam which, simply by ducking into port there, could easily substitute "high-rated" Guam FEUs for "wastepaper" FEUs to the Far East. Rather, the realities of the itineraries and markets establish that the cost/benefit equation of calling Guam, in order to gain a diluted share of a small market already served by two carriers, would be highly problematic for foreign carriers--at current Guam rate levels. The equation would become even more problematic if it were assumed that the foreign operator would carry Guam cargo at reduced rates. The fact that APL calls Guam is in no way inconsistent with this conclusion, since APL's ships are fast enough to call Guam and still call both Taiwan and Japan; as one of two (rather than three) carriers in the market, and as a U.S.-flag carrier with access to a significant pool of Guam military cargo that would be unavailable to a foreign operator, APL carries more than twice the Guam FEUs that a third-carrier foreign entrant could expect.

Introductory textbook principles about entry into competitive markets assume the ability to add or subtract service easily and smoothly in small increments, and also assume

constant returns to scale (an example being a farmer who can switch relatively costlessly, smoothly and in small increments to producing a little more or a little less of a given crop). In the present context, in contrast, a foreign carrier could not add containership capacity to Guam in smooth, small and low-cost increments, but only by making a large commitment and redeployment of resources and incurring significant start-up and other costs. In such circumstances, general economic theory cannot predict whether there would be new entrants in the market. Rather, the particular facts--regarding the feasibility, costs and benefits of entry--would matter tremendously.

Similarly, general economic theory cannot predict what effect, if any, additional entry would have on rates, even assuming rates were based strictly on costs. The entry of an additional carrier would increase the total combined costs of all carriers serving the market, since an additional carrier would be incurring the direct costs of service (for example, fuel for the deviation). However, the total amount of available cargo is not likely to be changed by the entrant of an additional carrier; so each of the three carriers would have to spread its costs over substantially fewer FEUs, compared to the FEUs available to each carrier in a two-carrier market. In such circumstances, carrier profitability (if any) would decrease even if rates stayed the same. GovGuam assumes, not merely that the carriers would accept lower profitability at existing rate levels, but that they would accept even lower profits by reducing rates. However, economic theory identifies other possibilities: carriers might raise rates in order to maintain profitability; carriers might be willing to accept lower profitability at existing rates (but not still lower profitability at reduced rates), in which case rates would stay the same; or a carrier might leave the trade (a course that the record shows would be

a possibility). And, of course, a foreign carrier analyzing the possibilities might decide not to enter in the first place.

What is clear on the present record is that GovGuam's conclusory claim of eager entry leading to lower rates is not based on an economic analysis of the relevant facts, accordingly has no economic foundation and is rejected. On this record, there is no basis for concluding--based on either factual analysis or economic principles--that the Jones Act has operated to reduce the number of competitors or to increase the rates in the Guam trade.

GovGuam's "Average Allowable Revenues"

GovGuam has calculated APL's "average allowable revenues" per FEU for regulated Guam cargo (eastbound and westbound, including Saipan cargo). These represent GovGuam's conclusions, based on its G.O. 11 analysis, of the rate per FEU on average that, it alleges, was permissible for APL to charge for the carriage of Guam cargo during the years subject to its analysis. Including the charges at the port of Guam and other asserted pass-throughs, GovGuam calculated APL's "average allowable revenue" per FEU to range from \$2,179 in 1987 to \$2,650 in 1990.

GovGuam's Average Allowable Revenues Compared to APL's Actual Far East Revenues

The "allowable" averages calculated by GovGuam would be \$300 to \$1,300 per FEU (depending on year and direction of movement) less than APL's actual average revenue

from its total transpacific operations which were depressed during this period. If APL's average revenue on port-to-port cargo moving to Japan and Taiwan is used for the comparison, rather than APL's system-wide averages, the conclusion is the same-- GovGuam's "allowable average revenue" calculated for Guam cargo would still be below the average revenue that APL earned on port-to-port Japan and Taiwan cargoes. The average revenue that APL earns in serving Japan and Taiwan is depressed due to the influence of low rated commodities that move to Japan and Taiwan in large volumes and is not shown to be a proper standard of comparison. Very little, if any of such cargoes are carried to Guam. For example, wastepaper and cotton are two of the highest volume/lowest rated cargoes to Japan and Taiwan, neither of which moves to Guam. If these noncomparable commodities were excluded from the Japan/Taiwan cargo pool being compared, APL's port-to-port revenues to Japan/Taiwan would far exceed the GovGuam "average allowable revenue" for Guam. The major component of APL's eastbound Guam cargo is household goods. APL's average port-to-port revenues for household goods from Japan/Taiwan in 1990 was \$4,755 per FEU, more than \$2,000 per FEU higher than GovGuam's "allowable revenue" calculated for Guam. APL's revenue for all of its eastbound port-to-port cargo from Japan/Taiwan in 1990 is itself \$150 per FEU above GovGuam's average.

GovGuam's Average Allowable Revenue compared to Matson's Revenues in the Hawaii Trade

GovGuam's calculations of just and reasonable rate levels ("average allowable revenue") to Guam for the period 1987-1990 are \$2, 179 per FEU (1987), \$2,354 per FEU

(1988), \$2,500 per FEU (1989), and \$2,650 per FEU (1990). This is approximately \$200 (1990) to \$700 (1987) per FEU less than Matson's 1986 average container revenue for its westbound FMC-regulated Hawaii cargo of \$2,834 per FEU. APL's vessels traveling to Guam, however, transit almost two and one half times the distance from the U.S. west coast as do Matson's vessels going to Hawaii--5,100 miles from Oakland to Guam versus Matson's 2,100 miles from Oakland to Hawaii. Moreover, GovGuam's "allowable revenues" include the wharfage and throughput charges APL pays to the port of Guam of roughly \$435 per FEU, double the equivalent 1988 charges at Hawaii (as well as charges in addition to ocean freight that are not included in Matson's revenue figures).

GovGuam's contentions that APL is entitled to rates less than Matson's FMC-approved Hawaii rates, even though Guam cargo moves more than twice the distance, is not convincing and lacks probative value.

GovGuam's Study Comparing Rates to Guam with Those to Japan/Taiwan

GovGuam sponsored a comparison of APL's (and Sea-Land's) rates from the mainland to Guam on selected commodities with APL's rates on assertedly comparable commodities from the mainland to Japan and Taiwan. GovGuam contends that the study shows that, in general, APL's and Sea-Land's rates to Guam are higher than those carriers' rates to Japan and Taiwan. Complainants contend that in order for the rates to Guam to be reasonable, they should be lower than the rates to the Far East. Based on its findings that rates to Guam, in general, were higher than rates to Japan/Taiwan GovGuam claimed

that the study served "as corroboration of what we were seeing when we started looking at the carrier's G.O. 11's."

Nature of the Comparison

For purposes of its study GovGuam selected 29 commodities moving to Guam that it claimed to represent a cross-section of items shipped to Guam from the U.S. mainland, and undertook to compare APL's and Sea-Land's rates for moving those commodities to Guam with the rates utilized by those carriers to move comparable commodities to Japan and Taiwan. Comparisons were made for each of the years 1988-1991. APL's and Sea-Land's rates from the United States to Japan and Taiwan are included in the tariff of the Transpacific Westbound Rate Agreement ("TWRA"), the ocean freight conference publishing rates from the United States to the entire Far East on behalf of its 13 members. The TWRA tariff quotes rates on a per container basis. The rates to Guam are in a separate tariff and are quoted on a per ton (weight or measure) basis. Thus, it was necessary for GovGuam to construct per container rates from Guam per ton rates so as to make a direct comparison. In addition, because the TWRA tariff has a much more detailed commodity description, quoting rates on literally thousands of specific commodities, compared to the fewer, more-generic commodities included under the Guam tariff, it was necessary for GovGuam to attempt to match specific commodities under the TWRA tariff with the more generic commodities under the Guam tariff in order to effect a comparison of rates on like commodities. It was also necessary for GovGuam to identify within the TWRA tariff the rates applicable to APL (as contrasted with the other TWRA members),

and to properly apply to the base rate specified for a given TWRA commodity all of the supplemental charges in the TWRA tariff, examples of which are the Currency Adjustment Factor ("CAF"), the Bunker Adjustment Factor ("BAF"), terminal receiving and destination charges, and the Japan Harbor Management Fund Surcharge. Additional complications, *inter alia*, included conversion of rates from the U.S. measure included in the Guam tariff to the metric measure used under the TWRA tariff, and identifying the TWRA rates actually in effect as of April 1 of each year, the date GovGuam selected as the basis of comparison. The record shows that GovGuam's witness has no particular experience in ocean transportation or tariff construction or interpretations, had not previously prepared a similar comparison of rates between two tariffs, and obtained no guidance or assistance from anyone with expertise in these subjects in preparing his study.

Geographic Coverage

The TWRA includes within its coverage, in addition to Japan and Taiwan, Hong Kong, Korea, the Philippines, Indonesia, Malaysia and Singapore. However, the study does not purport to compare rates to Guam with rates to the latter countries, or to determine the level of those rates to Korea, the Philippines, Indonesia, Malaysia and Singapore, but restricted the analysis to rates to Japan and Taiwan. Within Japan and Taiwan, the study is restricted to rates to so-called "base ports." It does not include higher rates to such Japanese ports as Hakata and Nagoya which APL served directly with its PIX vessels.

Distance

A premise of the comparison of rates to Guam with those to Japan and Taiwan was that APL's operating cost to carry Guam cargo was lower than for Japan/Taiwan cargo because the distance to the beyond Guam ports is greater. However, at least in the case of Japan, this is only the case if one computes the distance on a sailing that calls first at Guam and then at Japan. The records shows that in a competitive environment the routing followed by a particular string of vessels is not determinative of the rates to individual ports served by multiple carriers or even by the same carrier using multiple strings. Complainants' premise that distance traveled should be determinative of rates is contradicted by the relative rate levels from the mainland to Japan and Taiwan where, despite Taiwan's greater distance from the U.S., the rate levels are lower to Taiwan than to Japan.

Commodity Selection

For each of the commodities in the Guam tariff used in the comparison, there could be as many as several hundred individual commodities in the TWRA tariff. The question is whether a proper comparison or surrogate was chosen. The selection was based on what were thought to be the most similar sounding commodities in the TWRA tariff without any probative evidence as to how the rates on these commodities might differ. A number of the commodities used in the comparison are not shown to be comparable. Some specific commodities selected from the TWRA tariff were lower valued, and lower rated relative to the similar sounding Guam commodity. Thus, the rates to Japan/Taiwan on such

commodities are not shown to be comparable to the rates to Guam on the same commodities. The record also shows that the vast preponderance of the TWRA commodity items used in the comparison are not shown to be applicable for the carriage of cargo by APL. They are paper rates and are of no value in determining the reasonableness of the assailed rates.

Conversion of Guam Weight/Measure Rates to Container Rates

In the conversion of Guam per ton (weight or measure) rates to a per container rate for purposes of comparisons with TWRA rates, which are published on a per container basis, it is necessary to have accurate information for each individual commodity as to the number of tons of that commodity that will fill a container. That number, multiplied by the per ton Guam rate, will represent the per container Guam rate for that commodity, to be compared with the per container rate published in the TWRA tariff for the surrogate commodity.

For Sea-Land, GovGuam had no information on the tons per container experience for any individual commodity. Instead, in developing Sea-Land's Guam per container rates for each individual commodity, an average conversion factor was used--a single average ton per container value for 20-foot containers, and for 40-foot containers, separately based on weight and measure. Sea-Land uses this average conversion figure only as a rule of thumb based on its experience worldwide. GovGuam applied this average to individual per ton commodity rates in the Guam tariff to develop a per container rate for each individual commodity. For APL, data was available and used to perform a reasonable conversion for

23 of the 29 Guam commodities. For the remaining six, the Sea-Land average was used to develop per container rates for APL. The use of the Sea-Land rough "ton per container" averages introduces distortions into the calculation of per container rates for Sea-Land and, for APL, for the commodities for which the Sea-Land averages were used. By reference to APL's experience, "loadability factors"--i.e., tons of a given commodity that can fit in a container--can vary by as much as 300% for the Guam commodities used in GovGuam's comparison. GovGuam has not established that a single average "ton per container" factor can serve to construct a representative rate for any individual commodity. For some commodities the Sea-Land "tons per container" average was double APL's actual tons per container experience. This resulted in a calculated Sea-Land per container rate under the Guam tariff double the per container rate calculated for APL, even though the per ton weight or measure rate stated in the Guam tariff for the two carriers were identical. For a number of commodities for which the study calculated Sea-Land's Guam rates to exceed Sea-Land's Japan or Taiwan rates, the differential would have been reduced or eliminated if actual loadability factors had been used to calculate the Guam per container rates instead of the world-wide rule of thumb averages. The same potential for distortion and overstatement of the differential between Guam and Japan/Taiwan rates was shown to exist for the APL per container rates that were calculated by GovGuam using the Sea-Land average loadability factors.

For example, the study concluded that Sea-Land's rates to Guam for automobiles were more than \$4000 per container higher than its auto rates to Japan and more than \$5000 per container higher than its rates to Taiwan based on Sea-Land's rule of thumb

average loadability experience used to construct a rate for automobiles. Based on the same Guam tariff per ton (weight or measure) rate, using APL's actual experience, the study calculates that APL's rate for automobiles to Guam was lower than its rate to Japan and several hundred dollars higher per container than its rate to Taiwan.

For four of the six commodity groups for which the study purported to show the largest differential of APL's Guam rates over Japan rates--aluminum products, alcoholic beverages, tobacco, electrical equipment--the study used the Sea-Land loadability averages. Both for APL and Sea-Land, use of the Sea-Land average loadability factors has the effect of overstating the per container rates for Guam that GovGuam calculated and used in its comparison. In conclusion, use of the Sea-Land averages renders the study comparisons of little probative value.

Shipping Conditions

Another facet of the study which the record shows results in distortion is the disparate treatment of minimum container charges applied in calculating the Guam rates but omitted from the Japan/Taiwan rates. In addition, the record does not show that the study considered the implications under the Guam tariff of the provision that shippers could mix different commodities in a single container, thereby avoiding the application of a per container minimum charge. Moreover, GovGuam has not established that its comparison of rates between two trades divorced from the shipping conditions and circumstances that apply in the two trades--here, the small lot, mixed shipment experience in Guam versus the

full container load practice in Japan/Taiwan--makes its comparison of rates of any probative value.

Other Errors

APL identified additional errors in the calculation of TWRA rates even as revised in the second set of errata, including: misidentification in the TWRA tariff of the appropriate Japan or Taiwan base rate; miscalculation of the supplemental charges; inclusion of rates that are inapplicable to APL; inclusion of rates that do not originate on the U.S. west coast or apply to base Japan/Taiwan ports; and failure to take account of a general rate increase. Over 500, or more than one-third, of the rate comparisons used in comparing APL's Guam and TWRA rates were subject to one or another of technical errors.

Japan/Taiwan Rates

In order for a rate comparison to be meaningful, it must be established in the first instance that the rates with which they are being compared are themselves reasonable. Other than to identify that APL's (and Sea-Land's) rates to Japan/Taiwan, which GovGuam used to compare with rates to Guam, were established competitively the study provided no probative evidence as to the reasonableness of those rates. Lacking an appropriate standard or measure of a maximum reasonable rate it could as well be true that the rates to Japan/Taiwan were too low or that the rates to Guam were too high. In fact, the record

establishes those rates to Japan/Taiwan to be seriously depressed and unreasonably low. The record shows that in the years under consideration, APL's average revenue per FEU from westbound transpacific cargo was \$800-1200 per FEU below the revenue level achieved in 1982. The record is also clear that in the years in question, the westbound rates to Japan and Taiwan were seriously depressed from traditional levels, and for the industry as a whole were generally viewed as non-remunerative.

In addition to the foregoing defects in the comparison of APL's Guam and Japan/Taiwan rates, there are major differences between the trades. Guam is a very small market, while Japan and Taiwan are among the largest markets in the world. Such huge differences in volume obviously tend to lead to price distinctions, as will the fact that Japan and Taiwan are home to, or major markets for, numerous large corporations that have tremendous market leverage, which affects the rates they (and in result other shippers using the tariff item) can obtain. The operating and commercial circumstances of Guam and Japan/Taiwan are markedly different. The Guam trade is extremely imbalanced, while Japan and Taiwan have heavy movements in both directions. Guam requires an extensive and expensive deviation, whereas Japan/Taiwan do not. Guam has an inadequate harbor, undersized cranes and a low productivity port, none of which is true of Japan or Taiwan. All of these differences markedly add to the cost of serving Guam relative to Japan and Taiwan, and justify higher charges for Guam cargo to reflect the higher cost of providing service.

Comparisons to Rates in Other Trades

A number of comparisons between rates in the U.S.-Guam trade and other trades were submitted for the record by the parties. As noted, rate comparisons are one traditional tool historically useful in evaluating the reasonableness of rates and in doing so it is necessary to consider all the transportation circumstances and conditions between any two trades--such as, for example, geography, the nature and volume of commodities involved, local conditions that may influence pricing, and competition.

The Analogous Trades Involving Guam or Saipan

APL presented three comparisons between APL's rates to Guam and the rates of foreign carriers serving Guam, or neighboring Saipan, from the U.S. west coast, the Far East or Australia. These comparisons establish that APL's rates are lower than or roughly equal to the rates charged by these other carriers, even though each of the foreign carriers used low cost foreign flag vessels and typically operated a much shorter voyage.

Kyowa Rates to Guam

Kyowa Shipping Co. operates to Guam from the Far East on an every three to four week basis, using foreign-flag ships. The distances from Kyowa's Far East ports to Guam are approximately 25% of the distance from the U.S. west coast to Guam. Despite this, APL's rates are lower than most of Kyowa's rates.

PM&O Rates from the U.S. to Saipan

As noted, Pacific Micronesia & Orient Navigation Company operates a service between California, Hawaii, Micronesia and the Far East that includes a call at Guam's neighboring island of Saipan (121 miles north of Guam). PM&O calls Saipan approximately every three weeks (with a transit time from California of about three weeks), using foreign-flag vessels. PM&O's rates to Saipan are higher across the board than APL's rates to Guam, typically by as much as 25%.

Zim Rates from Australia to Guam

Zim Israel Navigation Co. provides service from Australia to Guam, calling Guam every four weeks with foreign-flag vessels. Zim's tariff includes less than 20 commodities, all of which are included in APL's tariff to Guam. Most of the rates on commodities carried by Zim are marginally lower than APL's rates although APL's rates are below Zim's rates on several items, even though Zim performs a much shorter voyage.

Dutch Harbor, AK

Dutch Harbor is called by APL on its PNW string. Although Dutch Harbor involves no deviation from APL's great circle route between Seattle and Yokohama, it shares with Guam the features of an unbalanced trade (the Dutch Harbor trade is exclusively outbound), limited volume (about 4000 FEUs per year) and an unusual commodity mix involving special equipment and expertise (heavily reefer). The rates for Dutch Harbor

reflect these factors. In 1990, APL's revenues from Dutch Harbor, including large volumes of lower-rated fishmeal that moved in dry containers, averaged \$4,900 per FEU, reflecting the isolation of the market, the one way nature of the trade, the value of the commodities moved, and the unusual costs attendant upon the specialized commodity mix. All of these same factors, including the heavy focus on reefer cargo, apply to Guam, where APL's average revenue in 1990 was materially lower.

Okinawa

The record contains two comparisons involving the island of Okinawa, which APL serves with its PNW string. Similar to Dutch Harbor and unlike Guam, Okinawa involves only an inconsequential (64 mile) deviation from the great circle route of the PNW string, but it otherwise shares certain attributes with Guam. Like Guam, Okinawa receives regular service from the U.S. via APL and Sea-Land, and also receives regular service from foreign sources (Japan). The commodity mix to Okinawa mirrors that of Guam, running the gamut of consumer goods, and the volume is small (even smaller than Guam) and imbalanced (in the same direction as Guam).

The first comparison was of rates to Okinawa and neighboring Japan (from the U.S.). The unusual characteristics of the Okinawa trade, are reflected in the materially higher rates to Okinawa compared to nearby Japan--typically on the order of magnitude of 50% or more. Also compared are APL's rates from the U.S. to Okinawa with APL's rates to Guam showing that APL's Guam rates are lower for almost the whole array of commodities. Sea-Land presented a similar comparison between Guam and American Samoa, another

small, one-way market away from the basic U.S.-Far East routes. Rates to American Samoa were significantly higher than to Guam for many major moving commodities and nearly the same for others, even though American Samoa receives a lower level of service than Sea-Land and APL provide to Guam.

GovGuam compared APL's Guam and Okinawa rates on a weighted average basis. However, use of averages obscures the market factors that affect individual commodity rates. For example, in evaluating the rate for broccoli to Taiwan, it is necessary to understand that Taiwan grows a lot of vegetables, so that the shipping rate must be very low if imported broccoli is to move to Taiwan to compete with the local product. Each commodity has its own set of dynamics that influences the shipping rate, and these must be taken into account if one is to understand and make informed judgments as to comparative rates between different trades. Use of weighted averages can distort a comparison by giving undue weight to a single commodity or small group of commodities moving in heavy volume in one but not both trades. GovGuam's weighted average comparison is shown to be distorted by a single tariff item on hay and straw--which move in large quantities to Okinawa. 369 FEUs of low-rated bulk hay and straw moved to Okinawa in 1990 (representing almost 50% of the total FEUs to Okinawa on GovGuam's exhibit). Only 54 FEUs of the "corresponding" Guam tariff item--animal feed--moved to Guam (representing only about 1% of Guam FEUs on GovGuam's exhibit). The record shows that this one tariff item in a weighted average comparison distorts the comparison of all commodities being compared. Excluding the hay and straw commodity item the record shows that for the entire remaining spectrum

of commodities moving to Guam and Okinawa, the weighted average rate to Okinawa was higher than the weighted average rate to Guam.

APL presented an exhibit which identifies the volume of cargo that APL carried to Guam during the years 1987-1990 for each of the commodity groups in GovGuam's study (where a comparison was provided for rates on a 40-foot container basis). It is organized substantially in the format of the bar chart used by GovGuam in its written direct testimony to display the results of its comparison of APL's 40-foot container rates to Guam and Japan. GovGuam presented a bar chart which identifies in dollars the differential between APL's Guam and Japan rates both "plus" (Guam higher than Japan) and "minus" (Guam lower than Japan). The record shows that over the four year period in the study APL moved a greater volume, measured in FEUs, of those commodity groups (Buildings-Chilled Food) that moved at lower rates to Guam than to Japan than it did of those commodity groups (Trucks-Animal Feed) that moved to Guam at higher rates than to Japan. The comparison just noted excludes Beer, which moved to Guam at rates \$100 per FEU more than the rates to Japan. This differential is less than the \$150 per FEU of operating-differential subsidy that APL must refund to MarAd for every FEU of cargo carried to Guam cargo (but not to Japan). On commodities moving in 20-foot container, rates to Guam were almost universally lower than comparable to rates to Japan.

Upon consideration of all the rate comparison evidence of record it is concluded that GovGuam has not sustained its burden of proof to establish that respondents' assailed rates were unreasonable.

Rate History

One traditional factor in assessing rate levels is the rate history in the trade. The record shows that APL's overall rate level to Guam has remained essentially unchanged for a decade. In turn, this rate stability has material value to shippers and consignees, because it assists in forward planning and pricing and reduces fluctuating charges to customers. However, costs on Guam, as measured by the Guam CPI, have markedly increased. A comparison of APL's rates to Guam on five food items and five non-food items--including several items subject to the 1989 rate increase--to the Guam food and beverage CPI and overall Guam CPI for the ten year period October 1982 to April 1992 shows that while APL's rates remained steady or declined in actual dollars, and declined markedly in indexed dollars, food prices on Guam increased by 200% and overall prices doubled. The fact that there has been no increase in APL's rates during a decade of escalating costs in Guam and no increase in Sea-Land's rates are prima facie indicators of stability and reasonableness. It also establishes that, whatever is driving inflation on Guam, it is not shown to be APL's or Sea-Land's rates.

GovGuam contended that APL's rates should have decreased. To support this claim, GovGuam identified that since the early 1980's APL's systemwide costs for fuel and shipboard labor had decreased, and APL's vessels had become more productive, on a per FEU basis. However, GovGuam established no necessary correlation between such reductions in APL's systemwide marine operating costs and fleetwide productivity gains and APL's overall cost of serving Guam. The record shows that APL's productivity gains are attributable to vessels that do not serve Guam. Operationally, Guam is both distinguishable

from APL's principal Far East markets and is a uniquely costly market to serve. GovGuam's analysis is not shown to take account of APL's enormous capital expenditures and increases in its systems, overhead and equipment costs. The record establishes a clear distinction between APL's fleet generally and the fleet that APL operates to Guam. The data relied upon by GovGuam is heavily influenced by APL's five C10 vessels, which were added to APL's fleet in 1988. The C10s are among the largest liner vessels ever built, and are substantially responsible for the increased productivity of APL's fleet. However, these ships do not and cannot feasibly call Guam.

The evidence of GovGuam fails to consider the conditions at Guam, such as the Guam draft constraints, that materially inhibit APL's ability to take advantage of the productivity gains it has achieved elsewhere in its system. APL's C9 vessels can carry 900 FEUs of loaded containers in a westbound service that does not call Guam, but only 775 FEUs in a deployment that includes Guam as the first stop, due to the inadequate depth of the Guam harbor. The 775 FEU capacity of the C9s in the PIX service with a call at Guam is only 38% higher than the 560 FEU capacity of the Pacesetters that APL used in the service until 1986. However, the capital cost of a C9 is 5 times that of a Pacesetter.

The evidence of GovGuam is not shown to have taken into account the additional conditions, which not only make Guam a uniquely high cost port to serve--both absolutely and on a per FEU basis--but also inhibit APL's ability to take advantage of the increased productivity of its ships. These include the substantial deviation to serve Guam, the one-way nature of the trade, the crane constraint, the low productivity of the port and the high proportion of cargo that requires special handling. These inefficiencies and higher costs

must be spread over a very small cargo volume. When a large linehaul ship undertakes a large deviation to a shallow port with a single suitable berth and restrictive cranes, in order to carry a small number of FEUs compared to the volumes moving through other ports, the results will necessarily be higher per FEU costs, as the record shows.

While APL's vessel operating expenses have declined there are many other costs of operating the APL services. GovGuam's presentation fails to give proper weight to the capital investment APL has made which resulted in the productivity gains. APL's ownership cost for a Pacesetter vessel--depreciation and interest--was \$2,490 per day in 1984. In 1989, the ownership cost of a C9 vessel was \$21,404 per day. Increases in APL's other capital costs during the 1980s include the terminals, chassis, containers and the computer systems. GovGuam presented data on the capital cost of APL's vessels in the form of a table purporting to document APL's "net ship assets/FEU capacity." The data includes leased vessels which in APL's case add a material number of FEUs but have no capital cost element. The four L9 vessels that APL added to its fleet in 1987 are leased. The data do not permit any restatement to correct this factor and in the circumstances the "net ship assets/FEU capacity" table lacks probative value.

Other Factors in Evaluating Rates

In the real world market for shipping services, quality service commands premium rates. APL provides a high quality service, as does Sea-Land, that is closely tailored to the particular requirements of the Guam trade. As the record shows and, as noted, APL incurs unusual costs and penalties in serving Guam, including the time and fuel expended to make

the major deviation to call Guam, the loss of capacity and match back capability due to Guam's inadequate harbor and undersized cranes, the highly imbalanced nature of the trade, the need to rail containers to and from the PNW in order to serve the PNW-Guam market, high port costs and a significant ODS refund. Under the standard criteria, one ultimate test of the reasonableness of freight rates is whether they inhibit trade. Where they do not the rates are presumed reasonable from the perspective of the market place. The Guam economy has, by GovGuam's own testimony, exhibited remarkable growth in the 1980's, especially in the tourism and construction industries, which need the fast reliable weekly service provided by APL and Sea-Land. There is no evidence that APL's or Sea-Land's rates have inhibited the movement of cargo into Guam. All parties agree that there has been marked growth in the freight movements from the U.S. mainland to Guam during the 1980s and since. There is no evidence of any cargo that had been unable to move to Guam because the freight rates were too high. GovGuam suggests that Guam consignees have no choice but to transport their cargo by means of APL or Sea-Land regardless of the rates. But this is not borne out by the record. Guam is not limited to U.S. sourcing. Guam is closer to many foreign markets than it is to the U.S., and foreign goods make up about 40% of Guam imports. Clearly, if the rates of the domestic carriers were not competitive, foreign-sourced goods would displace U.S.-sourced goods, and the domestic carriers would lose volume.

Docket Nos. 77-49, 77-51 and 78-46--46 CFR 552.1(b) and (d)

GovGuam contends that in Docket No. 78-46 the FMC affirmatively rejected U.S. Lines' showing that G.O. 11 may produce arbitrary results in a context such as Guam, thereby foreclosing APL's arguments that G.O. 11's generic methodologies produce unreasonable results as applied to APL's Guam service.

In a previous litigation over Guam rates--Docket Nos. 77-49, 77-51--U.S. Lines provided detailed evidence of characteristics of its Guam service which created the potential for arbitrary results if a generic fully distributed cost methodology were to be applied to the service on a nonjudgmental basis. The issues raised in the U.S. Lines testimony in Docket Nos. 77-49 and 77-51 were never considered by the Commission in those dockets, because the investigation was terminated prior to decision. However, the record shows that the FMC staff was troubled by the conditions that U.S. Lines identified in its Docket Nos. 77-49, 77-51 testimony.

U.S. Lines provided subsequent comments in Docket No. 78-46 (the rulemaking that led to adoption of G.O. 11), in which U.S. Lines identified the large potential for distortion if a fully distributed cost analysis is applied to a small portion of a large integrated system and some of the other peculiarities of the Guam trade that could lead to arbitrary cost allocations. U.S. Lines urged the Commission to retain the option for alternative methodologies to meet the identified conditions (or others that might arise that would render the standard methodology arbitrary and therefore unreasonable), a recommendation that the Commission accepted. The Commission adopted U.S. Lines' recommendations, as evidenced by the inclusion of section 552.1(b) and (d) (originally 512.1(b) and (d)) in

G.O. 11 as finally adopted by the Commission using terms very similar to those advocated by U.S. Lines. The Commission acknowledged this fact in its notice adopting the final rules. *Financial Reports of Common Carriers by Water in the Domestic Offshore Trades*, 45 Fed. Reg. 3272, 3288 (1980), stating that:

[in] adopting a previous suggestion of USL, the Commission has amended the rule to allow the Commission to employ other financial methodologies, depending on the nature of the carrier's operations and financial structure, in order to achieve a fair and reasonable result.

GovGuam next argues that section 552.1(b)'s authorization to the Commission to deviate from the rate of return on rate base methodology and to "employ other financial methodologies in order to achieve a fair and reasonable result" has specific and limiting reference to the "fixed charges coverage ratio" and the "operating ratio" stated in section 552.6(d), and thus precludes consideration of any other methodologies that might better lead to a "fair and reasonable result." Its exclusive support for this position is the Commission's statement when promulgating the final regulations that rate of return on rate base is "its primary standard in evaluating the reasonableness of a carrier's overall level of rates" and the Commission's further statement that the fixed charges coverage and operating ratios--which are specifically identified in the regulations--"are legitimate secondary evaluation methods which may be employed" However the fact that the Commission identifies and approves three methodologies (rate of return on rate base, fixed charges coverage ratio and operating ratio) does not support the conclusion that the additional general authorization in section 552.1(b) to employ "other financial methodologies" is limited to the three methodologies enunciated above. Since G.O. 11 specifies the availability under

the regulations of the fixed charges coverage ratio and operating ratio, as secondary evaluation methodologies to rate of return on rate base, section 552.1(b) would be pure surplusage if "other financial methodologies" were restricted as GovGuam seeks. Moreover, the regulatory history of G.O. 11 makes clear that the phrase "other financial methodologies" was open-ended, not restricted as urged by GovGuam. And, of course, before the Commission can consider such data the parties must submit it in evidence as in this proceeding by APL.

GovGuam next contends that, whatever the scope and significance of section 552.1(b) and (d)'s authorization of the use of alternative "methodologies" and "other bases for allocation and calculation" in the abstract, the standard methodology of G.O. 11 is a methodological guideline that must be inflexibly adhered to; that it would be unfair to deviate from the "standard methodology" other than by rulemaking; and that only the Commission can authorize a departure from the G.O. 11 methodological standards. GovGuam urges that, "It is simply too late for respondents to challenge GO-11 as the standard."

There is no question but that the principal impetus to G.O. 11 was to reduce methodological challenges in interminable 1933 Act rate investigations into proposed general rate increases. However, it is equally clear that the Commission views sections 552.1(b) and (d) as creating exceptions permitting the use of alternative methodologies and allocations even during the course of a 1933 Act rate investigation. Since G.O. 11 was revised in 1980, three of the four general rate investigations where the Commission has had occasion to consider or apply sections 552.1(b) and (d) have been

investigations of Matson's Hawaii service. The Commission and its Administrative Law Judges have acknowledged that departure from G.O. 11's defined methodologies must be had where application of a procedure, specific in the regulation, is shown to be arbitrary or to lead to an unreasonable result. See, for example, *Matson Navigation Co. Proposed Gen. Rate Increase of 3.6% Between U.S. Pac. Coast Ports & Haw. Ports* (FMC No. 90-09), ____ F.M.C. ____, 25 SRR 1192, 1198-99 (FMC 1990), where the Commission stated that it "may deviate from GO-11 methodology in order to achieve a fair and reasonable result." Clearly if that is permissible in a proceeding dealing with a GRI it is equally if not more applicable here in the first attack against a carrier's entire rate structure.

In regard to Docket No. 94-07, *Financial Reporting Requirements and Rate of Return Methodology in the Domestic Offshore Trades*, served August 29, 1995--a rulemaking proceeding to amend G.O.11--it does not support GovGuam's claim that section 552.1(b) and (d) must be ignored in the present proceeding. The Commission stated that any changes to those sections would be prospective only and would not affect this proceeding. *Id.* at 12. This is dispositive of GovGuam's claim.

Finally, GovGuam asserts that it is "the Commission" that reserves to itself the right to apply alternative methodologies. Since the final decision in this case will ultimately be made by the Commission, it will determine whether use of an alternative methodology is required to achieve a fair and reasonable result on the basis of an evidentiary record in which possible alternative methodologies are identified and explained and evaluated in an Initial Decision.

GovGuam's Contentions as to Various G.O. 11s

GovGuam compares certain methodologies in its G.O. 11s, APL's (Kolbe's) G.O. 11s, and APL's 1988-1990 annual G.O. 11 reports to the methodologies employed in (1) APL's 1987 annual G.O. 11 report; (2) a 1987 "estimated GO-11 format" for a pro forma Hawaii service submitted by APL in MarAd Docket No. S-801; (3) Sea-Land's 1988 and 1989 annual G.O. 11 reports for the Guam trade; and (4) U.S. Lines' 1981-1985 annual G.O. 11 reports for the Guam trade. GovGuam claims that its methodologies are the most consistent with those in the G.O. 11s to which the comparisons are made. GovGuam reiterates this when addressing the FEU/mile ratio, the MLB expense in VER denomination, the deviation fuel charge, and costs associated with empty repositioning.

With respect to the first two of the four comparisons, APL's 1987 annual GO-11 report was no different than its more recent annual reports with respect to the non-counting of eastbound relay FEUs in the FEU-mile ratio. The 1987 G.O. 11 did not allocate any costs based on considerations relating to Guam's shallow draft, but the record shows that is irrelevant since the ships APL used to serve Guam during 1987 were not materially impacted by the draft. Unlike APL's more recent annual reports, in 1987 G.O. 11 did not include a deviation fuel cost. However, the record also makes clear that no witness in this case considers APL's 1987 G.O. 11 to be a properly prepared G.O. 11. GovGuam recognized that the cost identifications in APL's 1987 G.O. 11 were not exemplary models but were inadequate in many respects, as shown by the fact that GovGuam's own G.O. 11s included Seattle terminal costs and eight other categories of costs that APL had overlooked in preparing its 1987 G.O. 11. Thus, the omission of any particular cost (e.g., a fuel

deviation cost) from APL's 1987 G.O. 11 is not shown to have any bearing on the question of whether the cost is properly includable in a G.O. 11 analysis.

As to APL's 1987 "estimated GO-11 format" for a pro forma Hawaii service submitted by APL in MarAd Docket No. S-801 ("Hawaii G0-11"), GovGuam asserts that it included eastbound relay FEUs in the FEU-mile ratio and that this was proper because such FEUs "were actually carried" on the Guam-calling ships. However, the "Hawaii GO-11" was based on a prospective pro forma which did not distinguish between relay and other FEUs. There was no identifiable number of relay FEUs in the pro forma. Thus, the record shows that APL's FEU-mile ratio yielded an allocation of Guam trade vessel expense that was more accurate than that of GovGuam. The record shows a striking disparity in FEU capacity, westbound versus eastbound, in APL's Guam service due to operating factors such as Guam's draft. In APL's Guam service, one westbound FEU is equal to about 1.7 eastbound FEUs in terms of the proportion of the ship that it represents. If all FEUs were treated as equal, therefore, a substantial portion of the vessel expense incurred carrying westbound FEUs would be allocated to eastbound FEUs.

The record also shows the distortion that results from using shortest navigable miles in the FEU-mile ratio for GovGuam: (1) due to the lack of Guam-origin loads, in 4 of 5 cases loading an FEU in California destined for Guam means that the slot is devoted to Guam all the way to Taiwan; and (2) eastbound FEUs from Taiwan to Guam physically occupy a slot all the way from Taiwan to California yet are credited only with the shorter direct miles from Guam to California. Additionally, there is distortion resulting from the

fact that the Guam trade involves oversize shipments each of which occupies more than the usual single space or slots on the vessel.

The record shows that the corresponding facts in the Hawaii pro forma were very different. Under the proposed Hawaii deployment, the westbound versus eastbound FEU capacities of the ship were in much closer balance, because the westbound capacity was much greater than in the Guam deployment. Moreover, the Hawaii call was directly responsible for this increased westbound capacity because Honolulu has a deep harbor. By discharging cargo at Hawaii before sailing to Guam the ship would "lighten up" before encountering Guam's shallow draft, enabling it to carry many more FEUs to Hawaii and Guam when departing the west coast than when sailing straight to Guam. In addition, since the pro forma did not contemplate carriage of any Hawaii eastbound or oversize FEUs, the distortions relating to eastbound and oversize Guam FEUs were not present.

The main factors in the Guam context--the westbound versus eastbound capacity disparity and the capacity penalty from calling Guam--are different from the Hawaii pro forma, in which westbound capacity is greater due to a major capacity bonus from calling Hawaii. The difference between the transportation facts and circumstances to Guam and to Hawaii preclude any meaningful comparison between the APL Guam G.O. 11s and the Hawaii GO-11.

With respect to the comparison to Sea-Land's G.O. 11s the record shows that Sea-Land stipulated that the person who prepared its G.O. 11s applied the methodologies he had used for the Alaska and Puerto Rico trades without considering whether those methodologies were meaningful in the operating and economic contexts of the Guam trade,

and that differences in operational facts between APL's and Sea-Land's Guam services which affect a number of the compared methodologies (including those to which draft/crane constraints and geographic deviation are relevant) lessen the utility of the comparison here between APL's and Sea-Land's G.O. 11s.

Moreover, as APL points out, the claim that Sea-Land's G.O. 11 methodologies have relevance to APL is advanced solely by GovGuam's counsel, not by its witnesses. The GovGuam witness as to Sea-Land stated that his testimony was not intended to address any issues concerning APL.

With respect to U.S. Lines' G.O. 11s, the comparison is, again, that of counsel for GovGuam. No GovGuam witness addressed the U.S. Lines' G.O. 11s. Moreover, the record shows: (1) that the Commission in the 1980s did not consider GO-11's standard methodology to be meaningful for U.S. Lines' service, and (2) that U.S. Lines' operating context was very different from APL's with respect to issues concerning the FEU/mile ratio, a fuel deviation cost, and draft-related costs. The record shows that it is often very difficult to identify the methodologies used in G.O. 11 reports from the face of the form, without access to the workpapers--which are unavailable for U.S. Lines' G.O. 11s. In the circumstances on this record USL's G.O. 11s are not shown to be a proper standard for comparison with APL's Guam G.O. 11s.

Finally, GovGuam claims that in judging the reasonableness of APL's Guam rates in 1987 only its and APL's G.O. 11s should be considered. However, for the three private complainants named in the amended complaint, the two-year limitations period only extends back to a date in the first quarter of 1988, so the private complainants have no possibility

of reparations for 1987 shipments. GovGuam filed its complaint on December 7, 1989; so it theoretically has a possibility of reparations for three weeks at the end of 1987. GovGuam is admittedly a very small shipper in its own right. It is possible that there were some shipments for which GovGuam was the shipper during the last 3 weeks of December 1987. But GovGuam has made no attempt to show that it could be meaningful to undertake a G.O. 11 FDC analysis for the entire year of 1987 to evaluate the rates for an unknown number of year-end shipments. In the circumstances it is not shown that it will be probative of the reasonableness of rates for any such shipments to undertake an FDC analysis of the carrier's trade-wide revenues from thousands of shipments over the entire year of 1987.

FEU-Mile

GovGuam allocated the expense of operating APL's PIX service vessels that called at Guam, including the depreciation cost of those vessels, of approximately \$65 million in 1990, as well as the capital cost of those vessels of \$190 for rate base purposes, to Guam using the FEU-mile ratio. The FEU-mile ratio, which as calculated by GovGuam for APL's Guam service for 1990 was 11.76%, is calculated as the ratio of the total number of FEUs in the Guam trade to the total number of FEUs carried on the PIX service vessels, in each case multiplied by the shortest navigable distance each FEU moved on the PIX service vessels.

GovGuam contends that the FEU-mile ratio allocates a "proportionate share" of vessel costs and that APL's capacity-use-days methodology rejects this concept. GovGuam claims that the "purpose" or "intent" of the FEU-mile ratio is to allocate "a proportionate

share of vessel costs . . . to all the cargo carried during a vessel voyage and benefitting from the voyage." GovGuam specifies that the FEU-mile ratio is intended to "allocat[e] expenses in proportion to the cargo's use of the vessel's capacity, and that approach is logical and sensible." The parties agree that costs should be allocated in proportion to a trade's use of the vessel asset in question. However, the record is clear that the effect of the FEU-mile ratio is not to allocate costs in proportion to use in the particular factual circumstances of APL's Guam trade. GovGuam claims that APL rejected the concept that Guam should be allocated its proportionate share of vessel costs. APL urges rejection of the FEU-mile ratio not because it is based on the concept that a trade should be allocated its proportionate share of costs but because it fails to measure proportionate capacity use in the particular circumstances of APL's Guam trade. The capacity-use-days methodology represents an effort to implement the principle that costs should be allocated based on proportionate use in this case.

The capacity-use-days methodology works in the following manner. Since vessel costs other than fuel accrue primarily on the basis of time, and since the constraint on capacity and amount of available capacity (measured in FEUs) is different westbound and eastbound, the pool of total vessel expense is divided into separate westbound and eastbound pools based on the amount of time the PIX vessels spend in each direction. Because the vessels spend fifty percent of their time in each direction, the total cost pool is divided evenly between the westbound and eastbound directions. The westbound and eastbound pools are then allocated based on the corresponding Guam trade capacity use shares. The record shows that the fifty-fifty split is reasonable based on a detailed analysis of actual PIX voyage

times. Thus, as noted in these particular circumstances westbound cargo, because of the smaller westbound capacity--and Guam cargo in particular because of the added factor of capacity lost to the Guam draft--should receive a higher allocation of vessel expense on a per FEU basis than eastbound cargo.

GovGuam on brief calculates the following amounts of vessel expense per FEU it claims are allocated to the eastbound and westbound cargo under the capacity-use-days methodology--\$557 per FEU to the westbound cargo and \$302 per FEU for the eastbound cargo. However, GovGuam's calculation of eastbound cost per FEU cannot be accepted because it fails to take into account (1) the fact that some eastbound transpacific FEUs move on the PIX from Taiwan and others move from Japan, and (2) the fact that the ship also carries a large number of intra-Asia FEUs on the eastbound leg from Taiwan to Japan. GovGuam did not separately calculate the vessel cost per intra-Asia FEU, Taiwan-U.S. FEU, and Japan-U.S. FEU. The record does not otherwise permit the quantification or restatement of this cost.

The effect of GovGuam's FEU-mile ratio is to allocate vessel costs incurred in the carriage of westbound Guam cargo to other, non-Guam cargo because it allocates costs incurred in the carriage of westbound cargoes to eastbound cargoes (Guam cargo is principally westbound), and because the FEU-mile ratio fails to take account of the capacity used by the Guam shallow draft. If Guam's draft were unrestricted, there would be about 114 more FEUs per voyage over which vessel costs could be spread. (The 114 figure is based on the C-9s; the corresponding number for the J-9s is 118. These are the capacity penalty figures adjusted to reflect APL's actual westbound utilization.) APL's method

increases the allocation to Guam FEUs to reflect those costs caused by service of Guam. Under GovGuam's method the large majority of the costs imposed by Guam's shallow draft are borne by non-Guam FEUs and it is not shown to be the best evidence of record.

The record shows that APL's capacity-use-days method is the best evidence of record. It measures Guam's use of the PIX ships' capacity and allocates costs to Guam based on that use. On the other hand GovGuam fails to recognize that Guam "uses" more capacity than a simple count of FEUs and shortest navigable miles would indicate. GovGuam suggests that it is inappropriate that westbound cargo would be allocated more vessel cost per FEU than eastbound cargo because "carriers in the transPacific charge lower freight rates in the westbound trade." However, it is clear that comparisons of average revenues eastbound and westbound are essentially meaningless because the commodity mixes eastbound and westbound are not shown to be the same.

Under the capacity-use-days methodology, westbound Guam cargo is allocated a share of the vessel costs all the way to Kaohsiung because the Guam trade is so heavily imbalanced that, in four out of five cases, loading an FEU for Guam effectively commits the slot for that FEU all the way to Kaohsiung. GovGuam for the first time contends on brief that, if it were not for the Guam cargo, APL would likely be carrying more empty containers westbound, so that even if a Guam FEU effectively uses a slot all the way to Kaohsiung, that slot would otherwise be occupied by an empty container all the way from the U.S. west coast to Kaohsiung (rather than by a full container to Guam and then an empty one from Guam to Kaohsiung.) However, the record shows that westbound Guam cargo does not replace empty containers, but rather other full containers. If APL were to drop the call at

Guam, it could reasonably expect to replace the Guam cargo with other westbound cargo, and could fill the additional capacity that would become available as a result of avoiding the shallow Guam draft constraint to the same level of average utilization as APL has experienced. Thus, if APL were to drop the call at Guam the record shows that it would carry a greater number of loaded FEUs and a smaller number of empties from the west coast.

GovGuam also contends that the capacity-use-days methodology is "internally contradictory" because, while APL describes the costs associated with repositioning empty containers by vessel as a system expense, the capacity-use-days methodology allegedly allocates the entire cost of transporting empty containers to the westbound cargo. It is clear that APL needs to carry empty containers westbound to meet its "matchback" requirement and the costs associated with transporting these empty containers are a "system cost." The record shows that there is a systematic and sustained difference in the cargo density westbound and eastbound. The cargo imbalance exists and so, too, the concomitant container imbalance. GovGuam asserts that, because Guam accounts for a small percentage of the total FEUs carried in APL's transpacific trades, it could not cause a repositioning problem of any significant magnitude. However, the record shows that the Guam trade causes a significant number of empties to be carried on APL's ships, both eastbound and westbound. Since Guam has a disproportionate share of reefer and flatrack/platform moves, which are westbound, Guam generates a disproportionate share of the empties (reefers and flatracks/platforms) carried eastbound. Because of the imbalanced nature of its trade, Guam causes approximately 10,000 containers annually to be repositioned empty

westbound from Guam to Kaohsiung. APL carries many fewer loaded containers westbound (and therefore more empties) as a result of the capacity lost to the shallow Guam draft. The Guam trade also causes empty containers to be carried on the ships between San Pedro and Oakland. Thus, contrary to GovGuam's assertion that Guam creates a "windfall" for APL by alleviating the "matchback" problem the record shows that the Guam trade actually contributes significantly to APL's need to transport empty containers by vessel and so must share in any vessel costs associated with carrying empties.

GovGuam further contends that the capacity-use-days methodology is internally contradictory because it allocates the costs for the westbound leg on which the empty containers travel to the westbound cargo with the alleged effect that no part of what is allegedly a system expense for carrying empties is allocated to the eastbound cargo. The record shows to the contrary that empties (including reefers and flatrack/platforms) are carried eastbound, and any vessel costs associated with those eastbound empties are allocated to the eastbound cargo under the capacity-use-days methodology.

GovGuam Claims that APL "Split the Voyage"

Under the capacity-use-days methodology, vessel costs are allocated to Guam based on the share of vessel capacity used by the trade. Because the capacity of the vessels differs eastbound and westbound, it is necessary to calculate capacity shares separately for the eastbound and westbound cargo and to apply those capacity shares to the corresponding set of vessel expenses.

GovGuam points to this feature of the capacity-use-days methodology and claims that APL has "split the voyage," and that this is prohibited by the regulations. But, the record shows that the capacity-use-days methodology does not "split the voyage." The capacity-use-days methodology allocates costs in such a way as to (1) reflect the fact that costs are incurred on the basis of time and (2) account for the fact that the constraints on vessel capacity are different at different times. The constraints do differ eastbound and westbound. However, the purpose and effect of the allocation is to enable costs to be allocated according to the capacity utilized. Because the capacity constraints are different on the eastbound and westbound portions of the voyage, it is convenient to refer to "westbound" or "eastbound" costs of capacity (e.g., rather than describing it in terms such as "the costs incurred while weight is the constraint"), but giving the allocation key a convenient name is not shown to be "splitting the voyage" unlawfully in violation of any regulation. That APL did not "split the voyage" is also apparent from its treatment of revenues and other cost items. If APL had "split the voyage," it would have also split the revenues between the eastbound and westbound cargoes and also allocated westbound costs to the westbound cargo and eastbound costs to eastbound cargo. For example, the costs of transporting full containers from the Pacific Northwest to Oakland are applicable to westbound cargo and the costs of reefer cargo or cargo carried on flatracks or platforms are almost exclusively westbound. Apart from the split between "eastbound" and "westbound" vessel costs, APL merged all revenues and costs without differentiating between eastbound and westbound cargoes. GovGuam's contention that APL unlawfully "split the voyage" is unsupported by any probative evidence and is rejected.

GovGuam Claims that the Capacity-Use-Days Method is Internally Inconsistent Because it Allocates Costs Based on FEUs Rather than Weight

GovGuam contends that the capacity-use-days methodology is internally inconsistent because APL's witness, Dr. Kolbe, testified that weight is the constraining factor westbound, but his capacity use approach allocates costs to westbound cargo on an FEU basis--not proportionately according to the weight of the cargo which is supposedly constraining capacity.

The record shows that there is no inconsistency between the fact that the ships are constrained by weight westbound and the use of FEUs to measure westbound capacity. The purpose of the capacity-use-days method is to allocate costs based on the trade's proportionate use of capacity available to carry cargo. The capacity available to carry cargo differs eastbound and westbound because of differences in average cargo densities eastbound and westbound and because of the Guam draft, but it is nonetheless measured in terms of FEUs in both directions in APL's operational capacity standards. This fully accounts for the effect of weight on capacity use (including for the facts that the vessels "weigh out" westbound and that westbound FEUs are on average heavier), because the operational standards are calculated based on the average weight of the PIX cargo (including Guam cargo). For a C9, for example, the operational standards are 775 FEUs westbound and 1375 FEUs eastbound. The unit of measure is FEUs, but the measurement itself reflects the weight constraint because the FEU capacity is much lower westbound than eastbound. Thus, GovGuam has not established that there is any internal inconsistency.

The capacity-use-days methodology measures capacity use in terms of the standard measure of capacity, FEUs, and that measure reflects the weight constraints on the vessels.

GovGuam also asserts that APL's approach ignores the fact that, sailing westbound, APL carries all of the fuel required for the entire round trip voyage and that the fuel carried for the eastbound leg of the voyage contributes to the westbound weight constraint. The record establishes that if APL did not fully fuel on the west coast, it would have to take on ballast for stability purposes instead and that no incremental capacity would be made available to a weight-constrained vessel by the mere replacement of a given weight of fuel by an equal amount of seawater.

GovGuam Claims that Guam Would Receive a Lower Allocation of Cost Under a Weight-Based Capacity-Use-Standard

GovGuam claims that Guam would have received a lower allocation of vessel expense had weight been used as the basis for allocation. The record shows that the amount of vessel expense allocated to the trade would not change if one were to make an adjustment for the weight of the cargo. Modifying the allocation methodology to reflect the lighter average weight of the Guam FEUs would, because of the way the capacity shares are calculated and total capacity is measured, require a corresponding and mathematically offsetting adjustment in the measure of capacity and would complicate the calculations without changing the results.

GovGuam claims that the capacity-use-days standard relies on weight and that the FMC rejected reliance on weight when it rejected the revenue ton-mile concept in 1980 in

Docket No. 78-46. However, "revenue ton miles" was not an approach based only on weight, but on "revenue tons," which can be cube-based as well as weight-based. See, e.g., 46 CFR § 512.6(g) (1978), defining revenue tons as "those tons, either weight or measurement, on which freight revenues are calculated." GovGuam claims that the capacity-use-days methodology allocates cost such as A&G to "imaginary" containers when no such expenses were undertaken on behalf of this "imaginary" cargo. The record shows that APL does not allocate A&G costs to "imaginary containers." A&G and other system expenses are allocated to the trade using the VER. Because the VER is calculated by adding up the components of voyage expense that are allocated using other ratios (e.g., vessel expense, cargo handling), anything that increases the amount allocated to one component (e.g., vessel expense) has the effect of increasing the VER and in turn increasing the allocations made using the VER. Many of the elements of voyage expense included in the VER do not consist of costs for operations performed on full FEUs. For example, all the lift costs and other terminal costs relating to empty containers are included. GovGuam's criticisms are not substantiated by any probative evidence in the record.

GovGuam Contends that the Draft Problem is an Inefficiency Created by APL, for Which Guam Should Not Have to Pay

GovGuam claims that the draft problem is an "inefficiency" that results from APL's own decision to employ the C-9s and J-9s in the trade and that APL should not therefore be permitted to recover any costs associated with that inefficiency. The record shows that APL, the party with the incentive to make the most efficient use of its vessels, demonstrated

that, in its business judgment, the use of the C-9s in the Guam service was the most appropriate option since the L-9s are too slow, the C-10s would suffer an even greater capacity loss and the C-8s were too small for a California service. Thus the cost associated with the shallow draft constraint is shown to be a part of the cost of the quality of APL's linehaul service in the Guam trade.

GovGuam Contends That the Draft Constraint Did Not Prevent APL From Carrying Additional Cargo

GovGuam objects to the inclusion of the capacity used by the Guam draft in the ratio used to allocate costs to Guam. The issue concerns only the much smaller amounts of draft-used capacity--125 FEUs per week--under a scenario where APL calls Guam (but the draft constraint is assumed to disappear). The question is whether (and to what extent) APL could fill those 125 liberated slots with paying FEUs. The record shows that APL could fill the capacity to the extent of its average actual westbound utilization. In conclusion, the record shows that the capacity used by the draft must be recognized in allocating vessel costs to Guam if the allocation is to reflect the cost of serving the trade. GovGuam's factual assertion that APL could not have utilized the capacity lost to the draft is contradicted by the evidence of record. Thus, its claim concerning the capacity penalty containers is rejected.

The Deviation Fuel Cost

GovGuam testified that the direct assignment for the deviation fuel in APL's annual G.O. 11 report should be rejected in its entirety because it is impermissible under the regulations which allegedly mandate that "all ports are equal" and it was inappropriate to allocate Guam both its direct costs and a share of the common expense. The record establishes the predicates governing APL's deployment of its linehaul vessels, which sail between major load centers on the great circle route, where they connect with feeder vessels that serve lesser and/or more remote ports. Both commercial and operational factors make it imperative for each APL linehaul string to call both Taiwan and Japan (which are on the same great circle route). The question of which other ports will be served by linehaul ships must be determined by reference to their proximity to the basic great circle route and their market size. Clearly, all ports are not "equal." The record establishes that it is economically and logically necessary in doing a G.O. 11 FDC analysis to assign Guam the cost of the fuel used for the deviation.

GovGuam claims that the concept of a direct allocation for deviation fuel is prohibited by the regulations. To the contrary, 46 CFR § 552.6(c)(2)(i) provides for the direct allocation of vessel expenses:

[V]essel expense shall be allocated to the Trade in the cargo-cube mile or cargo cube relationship, as appropriate. Should any of the elements of vessel expense be directly allocable to specific cargo, such direct allocations shall be made and explained. [Emphasis added.]

The question of whether an element of vessel expense is "directly allocable to specific cargo" is a factual matter than can only be resolved by an examination of the trades and routes under consideration.

Turning to section 552.5(m), it states that the "miles" component of the FEU-mile ratio is to be based on shortest navigable miles, but it only comes into play when the FEU-miles ratio is applied. Direct costs, however, are assigned before the ratios are applied:

Where it is necessary to allocate . . . costs or expenses, the allocation shall be on a direct basis. If this is not practicable, allocation shall be made in the manner prescribed in § 552.6. 46 CFR § 552.2(j)

Thus, section 552.6--which includes the provision about applying the FEU-mile ratio--becomes applicable only after determining that a direct allocation is not practicable. The first task is to identify those elements of vessel expense that are directly allocable and make such direct allocations. (That does not involve the use of shortest navigable miles.) Only after the direct allocations have been made does one need to calculate the ratio used to allocate the remaining expense and only then does the question of shortest navigable miles arise.

Notwithstanding GovGuam's unsupported assertion that the Commission was "well aware" of problems that would occur unless shortest navigable miles were used and adopted in order to avoid such problems, the regulatory history of G.O. 11 is silent on the issue. The shortest navigable miles formulation has been in the Commission's regulations since the predecessor of G.O. 11 was first adopted in 1964. (§ 512.6(j), 29 Fed. Reg. 7721, 7722

(1964).) Neither at that time, nor in any subsequent rulemaking, did GovGuam show that the Commission explained the rationale for shortest navigable miles, much less indicate that it had any relevance to the question of directly allocated vessel expense as opposed to vessel expense allocated using a ratio.

GovGuam next contends that the use of shortest navigable miles has the effect of treating all ports as "equal," thereby allocating expenses in proportion to the cargo's use of capacity, and so is "logical" and "sensible." In a similar vein, GovGuam asserts that under G.O. 11, "all ports have equal standing, and all port-pair cargo movements are to be distinguished only by their different mileage, representing different amounts of vessel service received by the cargo." The record shows that all ports on the PIX itinerary are not "equal," and that it is necessary to allocate the deviation fuel directly.

But for the foreign trades, the APL ships that call Guam would not exist and be operated by APL under the U.S. flag. The Guam trade is too small to support such a voyage by such large ships. In APL's system, service of the foreign trades with large linehaul ships necessarily involves calls by those ships at Taiwan and Japan, which are the two basic anchors in Asia of the APL linehaul system. Taiwan and Japan lie on virtually the same great circle route from APL's California ports of San Pedro and Oakland. Guam lies far south of the great circle route to Taiwan and Japan. The Guam call requires the PIX vessels to deviate more than 600 miles from the basic linehaul great circle route, i.e., the vessels are required to sail over 600 more miles on the way to Taiwan when they call Guam than they would if they stayed on the great circle route. The volume of cargo obtained by calling Guam is very small in relation to the volume of cargo obtained by calling Taiwan or

Japan. The additional sailing miles required to call Guam entail substantial additional fuel consumption and hence substantial additional fuel expense compared to a great circle voyage straight to Kaohsiung. In 1990, for example, the cost of the fuel consumed by the deviation was approximately \$1.8 million. Guam causes a significant and costly deviation from the route that APL would follow to the other ports on the PIX, especially relative to the small number of boxes gained, and the cost of that deviation is incurred only for the purposes of serving Guam. In such circumstances it is clear that Guam should bear its direct fuel cost of the deviation it requires (and a share of the common costs of the PIX string.)

GovGuam further claims that the use of shortest navigable miles assures that expenses are allocated in proportion to the cargo's use of vessel capacity, and that that approach is "logical and sensible." While the objective of allocating costs in proportion to capacity use is "logical and sensible" in the particular circumstances of APL's Guam trade, GovGuam has not shown that the FEU-mile ratio, in part because of the use of shortest navigable miles, allocates expenses in proportion to capacity use. The record shows that not only does shortest navigable miles result in a Guam FEU being allocated 13 percent less overall vessel expense than a Taiwan-bound FEU even though both effectively utilize a slot all the way to Taiwan but it results in the Guam FEU being allocated 13 percent less of the fuel cost of the Guam deviation itself. (An FEU destined for Kaohsiung receives 5,812 miles in the FEU-mile calculation, while an FEU to Guam receives 5,060.) Clearly, the generic methodology does not allocate in proportion to capacity use in this specific fact context and is not the best evidence of record.

GovGuam contends that, rather than supporting the direct allocation for the deviation fuel, the view that Asia and California are anchors and Guam is a deviation implies that Guam should bear none of the common vessel expense; that the anchor trades "cause" the rest of the voyage and so should bear all of the common vessel expense.

This claim is essentially a repetition of a claim that the deviation cost is an "incremental" concept, and that if Guam were to be charged its "incremental" (or direct) fuel cost, the entire trade should be evaluated on a purely incremental basis--the implication being that it would receive only the direct allocation and none of the common costs. However, the record shows that it is necessary to directly assign costs that are unique to a particular service and to allocate the remaining common costs. This testimony is un rebutted.

GovGuam claims that APL has "double-counted" by allocating Guam both its direct cost and its share of the common fuel cost without first deducting the direct expenses associated with other trades. The record shows that it is correct to assign Guam both its direct costs and its pro rata share of the common expense, and that the costs of calling Taiwan and Japan are common expenses. In any event, there are no deviation costs for any other PIX port that are comparable to the cost of Guam's deviation, so there is no need as a factual matter to deduct direct fuel costs for other ports from the pool of common fuel expense before it is allocated. GovGuam now alleges that there is a 326 mile deviation to Japan. GovGuam claims that APL "deviates" from the direct route between Kaohsiung and San Pedro to call at Japan. However, the record shows that it is an operational and commercial necessity that every APL linehaul service call at both Japan and Taiwan; that

APL's linehaul deployments are designed from this basic precept; and that the fuel cost incurred in calling Japan is clearly an essential part of the common expense of the voyage.

GovGuam claims that APL ignored costs which were directly attributable to other trades" and characterizes the failure to deduct the costs of the 'deviation' to Japan as "blatant double-counting." The record shows, however, that APL allocated a number of large cost pools directly to the non-Guam trades. For example, cargo handling costs associated with MLB cargo; costs for inland terminals; and all cargo costs in the Far East (except for those associated directly with the relay of eastbound Guam cargo and the extra handling for Guam empties) were allocated directly to non-Guam cargo.

GovGuam contends that certain other costs should be directly allocated to other trades which APL did not do. First, in the late 1980s, APL developed a new terminal in Kaohsiung. A delay in the opening of the new terminal caused increased costs for APL. GovGuam contends that since the costs associated with the delay had nothing to do with Guam, Guam should not be allocated a share of these costs. However, the record shows that the operating costs of the Kaohsiung terminal are not allocated in any part to Guam in the G.O. 11s.

GovGuam next refers to the investment in the new, larger cranes needed to serve APL's C-10 vessels and contends that since the C-10s are not used in the Guam trade, "the expenses associated with the new cranes should also have been allocated 'directly' so that Guam would not be allocated a share of these expenses." To the contrary, the record shows that APL uses those cranes to service the PIX vessels including to load and unload Guam

cargo. In the circumstances it is proper to allocate a portion of these expenses to the Guam trade.

GovGuam also asserts that the 45' container was developed for the eastbound transpacific trade, contending that it is not useful for Guam shippers. The record, however, demonstrates that the 45' container is a "value-added" container in the Guam trade (as well as in the westbound trades generally). Moreover, GovGuam admitted that the FEU-mile ratio would not change substantially even if an adjustment were made to account for the number of 45' containers moving in the trade.

GovGuam's Contention as to the Direct Allocations in APL's G.O. 11s for 1988 and 1989

GovGuam challenges the reasonableness of the deviation fuel cost figures used in APL's 1988 and 1989 G.O. 11s because they are calculated assuming that the deviation fuel cost in those years would represent the same proportion of westbound fuel as in 1990. APL quantified the amount of fuel consumed in the deviation to Guam and the associated cost for 1990. Even though vessel types, precise itineraries, and fuel costs per barrel differed from year to year, it is reasonable to assume that, as a percentage of total fuel cost for the service to Kaohsiung, which reflects the same factors, the deviation cost of fuel would be about the same from year to year. Based on this assumption, APL calculated the deviation numbers for 1988 and 1989 which showed that the fuel deviation would reflect the same proportion of westbound fuel in those years as in 1990. GovGuam challenged the reasonableness of this assumption by pointing out that in 1990 the deviation did not represent the same fraction of total fuel for the C9s and J9s, and in 1988 and 1989 vessels

in addition to the C9s and J9s called Guam. However, because the C9s and J9s continued to be the predominant vessel type in 1989, there would not be any material difference in the percentage of fuel deviation cost to total fuel to Kaohsiung in 1989 as compared with 1990. With respect to 1988, the L9s, which were utilized extensively in the Guam service in that year, were slow relative to the other vessels in the deployment. Thus they would have to operate at the higher (less efficient) end of their fuel curve in order to make the Guam deployment schedule, and the deviation cost would be proportionately even greater for 1988 than 1990. Thus, the estimate in APL's 1988 G.O. 11 of the cost of fuel in the deviation to Guam is shown to be the best evidence of record. GovGuam on brief adds an additional claim based on the fact that fuel prices would not be constant from year to year. However, the record shows that because the deviation charge is calculated as a percentage of total westbound fuel expense for each year 1988 and 1989, which is an actual dollar figure reflecting the prices APL actually paid, the changes in fuel prices are automatically taken into account.

Minilandbridge ("MLB") Rail "Expense" and the Voyage Expense Ratio ("VER") Denominator

The next issue is whether the amounts that APL paid over to third-party rail carriers for the land transportation of minilandbridge ("MLB") FEUs should be included in APL's voyage expense. The question is whether it is correct, as GovGuam urges, to make an adjustment to an allocation ratio--the VER--by including in the VER denominator the monies that APL pays over to rail carriers as their portion of the through revenue for performing a rail movement under a joint contract of carriage. Such an adjustment would

have an effect on the allocations made by the VER by reducing the allocation of A&G and other system expenses to Guam by about one third.

The record shows that the amounts APL pays over to rail carriers for the rail leg of MLB movements should not be included in the VER denominator for the following reasons:

(1) The monies are functionally the rail carriers' divisions of revenue for land movements under joint contracts of carriage.

(2) GovGuam's adjustment would result in a lack of congruence between the numerator of the VER, which consists solely of expenses incurred in performing port-to-port movements under port-to-port rates, and the denominator, to which GovGuam would add a sum having no analogue in port-to-port service and hence no corresponding amount in the numerator.

(3) The effect of including the rail "expense" in the VER denominator could only be justified if the rail leg of an MLB movement itself caused APL to incur large additional A&G costs.

(4) APL's approach is supported by the established Matson practice.

The record shows that monies paid over to railroads for movement of MLB containers or FEUs are not properly part of "Voyage Expense" for purposes of the Voyage Expense Relationship ("VER"). (The VER means the ratio of total Trade Voyage Expense to total Company Voyage Expense with Voyage Expense being the total of Vessel Operating, Vessel Port Call and Cargo Handling Expenses less other Shipping Operations Revenue. 46 CFR § 552.5(o) and (p).)

About 197,000 APL FEUs in 1990 consisted of MLB FEUs, which are FEUs or containers that move to/from the U.S. interior, Atlantic coast, or Gulf coast. These MLB movements are performed under a joint contract of carriage by at least two common carriers, i.e., APL plus one or more rail carriers principally. The shipper pays a single through rate, which includes the charges of both APL and the rail carriers. APL collects the through charges from the shipper and pays the rail portion over to the rail carriers, via APDom, an APC⁴ subsidiary, which arranges and/or provides domestic land (including Stacktrain) transportation. APL treats the through charges as "revenue" and the portion received by the rail carrier as an "expense" which is the equivalent of an inland carrier's division of a through rate, i.e., it is revenue earned by a separate common carrier under a joint contract of carriage for a movement performed by a different transportation mode. APL does not include such amounts paid over to land carriers participating in MLB transportation as APL "voyage expense" for purposes of the VER. GovGuam alleges that this was one of the largest errors in APL's G.O. 11s, and that such amounts should be included in the denominator of the VER ratio, which is how GovGuam treated them in Gov Guam's G.O. 11s. This adjustment amounts to \$324.3 million for 1990. The effect of adding such amounts to the denominator is to make the VER smaller, and hence to reduce the allocation to Guam of the system expense pools (including A&G) which the VER is used to allocate. This reduction is very large, because the amounts that would be added to the denominator are very large. APL "paid" \$324.3 million for the inland portion of MLB rail transportation in 1990. If APL had included that amount in the VER denominator in

⁴American President Company, parent company of respondent APL.

nthe 1990 G.O. 11, the VER would have been reduced from 3.92 percent to 2.71 percent, a reduction of 31 percent. Thus, inclusion of MLB rail expense in the VER denominator would have reduced the allocations to Guam from APL's system-wide expense and investment pools by 31 percent, which GovGuam calculated would have decreased APL's "allowable" revenue for 1990 by over \$6.9 million.

The MarAd Regulations

GovGuam claims that from the clear language of the regulations the cost of rail transportation of MLB cargoes must be included in the VER denominator, and correspondingly, that the APL approach violates the plain language of not any FMC regulation but, rather, MarAd regulation 46 CFR § 232.5(E)(3) (describing "cargo handling expense"). The MarAd regulations which describe expense categories for purposes of financial reports to MarAd by subsidized operators, are deemed by MarAd to establish guidelines rather than rigid requirements. In administering subsidy contracts, MarAd is interested in the totality of the subsidized operator, while the FMC under G.O. 11 examines the port-to-port trade which the operator serves, here the Guam trade. The fact that MarAd may have a need for a particular piece of information for its own purposes, or may establish guidelines stating that a particular piece of information should be classified a certain way in reports to MarAd, while informative, is not shown to be dispositive in this proceeding of an issue with major implications for the G.O. 11 bottom line.

GovGuam also claims that the APL methodology had the effect of allocating no system expense to MLB FEUs; that APL allocated system expense as if all APL cargo

originated on the west coast; that a portion of the administrative and general expense should be allocated to minilandbridge service; that by excluding minilandbridge expenses from the derivation of the VER, APL implicitly assumes that there is no system-wide expense which is related to minilandbridge; and that APL allocates APL's A&G expense only to the non-rail portion of APL's cargo, as if all of its cargo originated on the west coast.

The record shows, however, that using a westbound MLB movement as an example, an MLB movement entails costs, *inter alia*, for:

- (1) delivery of an empty container to the shipper at an inland APL terminal;
- (2) receipt and handling of the loaded container at the inland APL terminal;
- (3) drayage from the inland APL terminal to the railhead;
- (4) transportation by rail from the inland railhead to a railhead near an APL west coast port terminal;
- (5) drayage from the west coast railhead to APL's west coast port terminal;
- (6) receipt and handling at the west coast port terminal, including loading onto the ship;
- (7) transportation by ship to the destination port;
- (8) offloading from the ship and handling at the destination port terminal, including delivery to the consignee; and
- (9) receipt of the empty container from the consignee after unloading.

Except for item (4) which is the rail "expense" at issue, all of the above-listed expenses incurred for MLB shipments were included by APL in the VER denominator. Contrary to GovGuam's assertion, the above-listed items (1), (2), (3) and (5) are applicable

only to cargoes that do not originate on the west coast. APL allocated to MLB FEUs all of these costs applicable only to MLB FEUs plus a share of the numerous costs (for example, west coast terminal expense, vessel expense and Asia terminal expense) applicable to all types of FEUs. Thus, the record does not support GovGuam's claim that APL allocated system expense as if all APL cargo originated on the west coast.

The issue is whether an MLB FEU should be allocated more system expense than a port-to-port FEU by putting in the VER denominator sums paid over to rail carriers for transcontinental rail transportation that has no analogue in a port-to-port trade and hence no equivalent in the VER numerator. In allocating costs by ratios it is important that there be congruence (1) between the ratio's numerator and denominator and (2) between the ratio and the cost pool against which it is multiplied. An allocation ratio must be congruent to the extent possible with the cost pool against which it is multiplied, i.e., the factors or units that are used to calculate the ratio should be the same factors or units that cause the cost dollars in the pool being allocated. For example, if the cost dollars are caused by reefer FEUs, the ratio should be calculated based on reefer FEUs, not on flatrack or dry FEUs. To the extent that the ratio is based on factors/units that do not cause the cost dollars in the pool, and/or to the extent that the pool includes cost dollars that are caused by factors/units that are not counted in the ratio, then the allocation is "less direct" and less in accord with cost causality. Similarly, an allocation ratio's numerator and denominator must be congruent with each other, i.e., the number for the regulated trade (numerator) must be calculated on the same basis as the denominator.

The FMC-regulated Guam trade is a port-to-port trade. Trade "voyage expense" in the numerator of the "voyage expense" ratio consists of the categories of voyage expense that are incurred in performing a port-to-port movement under port-to-port rates. APL included in the VER denominator all of the categories of voyage expense for MLB movements that have an analogue in a port-to-port movement--including, *inter alia*, all vessel expenses and all terminal expenses (for inland, west coast, and foreign terminals). The APL VER denominator was thus congruent with the numerator; it included corresponding cost categories. The amounts paid over to rail carriers for transcontinental rail transportation that have no analogue in a port-to-port service and hence no corresponding amount in the VER numerator are not the ocean carrier's "voyage expense," but rather the rail carrier's division of a through rate for performing non-ocean transportation under a joint contract of carriage. It is important that the factors or units used to construct an allocation ratio be the same as the factors or units that determine the amount of the dollars in the cost pools that the ratio is used to allocate. To the extent that the ratio is based on factors/units that do not cause the cost dollars in the pool, the allocation is "less direct." As noted, if the dollars in the cost pool are caused only by reefer FEUs, it is "more direct" to allocate that pool using a ratio based on reefer FEUs than using a ratio that also includes dry FEUs. The same principle applies in the case of the single largest pool of costs allocated using the VER which is the Administrative & General costs. The only possible justification for including MLB rail "expense" in the VER denominator would be if APL expended substantial A&G costs in support of the rail transportation as such, so that the rail transportation itself were causally responsible for a substantial portion of the A&G cost pool

being allocated by the VER. However, the record shows that a fundamental reason for the exclusion of MLB rail "expense" from the VER denominator is that the rail portion of an MLB movement does not in any significant measure, cause the A&G cost dollars that the VER is used to allocate.

Whether the rail portion of an MLB move has a significant causal relationship to APL's A&G cost dollars is a question of fact. There are two different transportation systems that come into play during an MLB move--one system managed and operated by APL and another system managed and operated by APDom (and/or the connecting railroads). The APL system includes ocean vessels, APL terminals (including inland terminals), APL offices and other APL facilities. The APDom/railroad system includes, for example, rail cars and tracks, rail terminals, and APDom and rail carrier offices.

Because there are two separate systems involved, the A&G that is expended for the rail leg of an MLB move is the A&G of APDom. When a minilandbridge container is in APL's system, APL provides all of the administrative (including documentation, invoicing and data entry), logistical, and support functions relating to (1) the cargo and the container, (2) the physical means of transportation (i.e., the ship), and (3) the terminal infrastructure supporting the physical movement and accomplishing the exchange between APL and the shipper. However, while the MLB container is moving on the rails, in contrast, APDom and/or the connecting railroad provides those functions relating to (1) the cargo and the container, (2) the physical means of transportation (i.e., the train), and (3) the terminal infrastructure supporting the physical movement and accomplishing the exchange between

APDom and the connecting railroad. APL and APDom are separate systems, run by separate corporations, each with its own personnel and its own A&G.

The record establishes that the rail leg of MLB movements does not cause significant A&G costs for APL. APL expends a large amount of A&G on MLB FEUs, since APL has a large number of MLB FEUs for which it performs a large number of functions such as, for example, vessel transportation, terminal receipt and delivery. The costs for all the functions that APL performs for MLB FEUs are included in the denominator. But inland rail transportation of MLB FEUs is not shown to be an APL function. Rather, it is arranged, managed and performed by APDom and/or the connecting railroads--not by APL. The record shows the following:

APL does not manage a stacktrain system on which MLB FEUs move. APDom does. APL does not own, lease or operate railcars or other rail equipment; nor is APL responsible for stack car Maintenance and Repair ("M&R") or for monitoring the availability of stack cars at particular locations. APDom and/or the railroads do that. APL does not deal with railroads to schedule and arrange rail transportation of MLB FEUs; nor does it negotiate rates with the railroads for such rail transportation; nor does it exchange documentation with the railroad in connection with MLB shipments. APDom does that. APL pays a 5 percent commission to APDom for the various services APDom provides in connection with rail transport of APL cargoes. APL does not treat this commission (which includes no profit) as part of its A&G; hence no part of the commission is allocated to Guam. Nor is the commission (which has no analogue in a port-to-port operation) included in the VER denominator by APL.

Data entry and computer tracing functions relating to the rail leg are performed by APDom, not APL. APL computers are not used for the stacktrain system. APL does not operate rail terminals where containers are transferred to or from a railroad. APDom and/or the railroads operate such terminals.

APL does operate inland containeryards where containers are transferred between APL and shippers and where the receipt and delivery of MLB cargo from/to shippers is performed in essentially the same manner as the receipt and delivery of port-to-port cargo at APL's west coast terminals. APL managerial employees at these containeryards manage the receipt and delivery of cargo. Many APL personnel at these yards are contractors whose costs are accounted for as part of cargo handling expense, not as part of A&G. The costs of operating APL's containeryards or terminals, including the costs of the contractor personnel, are included in the VER denominator. So too are the costs of draying MLB FEUs between APL's containeryards or terminals (inland or west coast) and the nearby rail terminal or railhead.

In sum, with respect to the incurrence of costs in APL's A&G pool while the container is moving aboard ship or is at origin/destination, APL provides all of the administrative (including documentation, invoicing and data entry), logistical, and support functions relating to (1) the cargo and the container, (2) the physical means of transportation (i.e., the ship), and (3) the terminal infrastructure supporting the physical movement and accomplishing the exchange between APL and the shipper. While the container is moving on the rails, in contrast, APDom and/or the railroad provides all those functions relating to (1) the cargo and the container, (2) the physical means of

transportation (i.e., the train), and (3) the terminal infrastructure supporting the physical movement and accomplishing the exchange between APDom and the railroad.

APL's A&G increased substantially each year during the period 1978 to 1989--except in 1985, when APL was split into two corporate entities, one for ocean operations and the other for land operations. Prior to 1985, APL itself performed the overhead functions related to arranging and managing the rail portion of an intermodal move. At the beginning of 1985, APDom was created out of APL to perform all such functions for APL (and also to arrange domestic transportation for third parties).

In 1990, APDom had over a thousand management, administrative and supervisory employees and incurred A&G expense of \$125 million (excluding its portion of APCo's restructuring charge). A large portion of APDom's \$125 million A&G was expended in furtherance of APL's approximately 190,000 MLB FEU's in 1990. However, the record shows that since 1985 the A&G within the APCo companies that is expended in direct relation to the rail movement of MLB FEUs is APDom's A&G, not APL's.

Thus, in summary, exclusion of MLB rail "expense" from the VER denominator is required by the "more direct" principle requiring congruence between a ratio and the cost pool being allocated. The cost of the MLB rail leg will be excluded because the rail leg, which APL does not arrange or perform, does not cause the A&G cost dollars being allocated. The rail leg does cause A&G cost dollars for APDom, but APDom's A&G is not in any APL cost pool allocated in the G.O. 11s. The costs of all other functions associated with MLB cargoes are included in the VER under the APL methodology which is the best evidence of record.

GovGuam alleges that there were several hundred APL employees in APL's terminal in South Kearny, NJ, who performed tasks related to MLB cargo. However, the record shows that the expenses of most of these personnel are not in A&G. The activities performed by these personnel--the receipt/delivery of MLB cargo from/to shippers--are not a cost of the rail leg, but rather a cost of the receipt and delivery of containers between APL and shippers. Those yard workers are outside contractors who are classified in cargo handling rather than A&G and the cargo handling costs, including that of the contractors, are included in the VER. They are the same for the activities and transactions between APL and shippers at APL's port terminals. At both inland and port terminals, these costs are included in the VER denominator.

GovGuam generally asserts without any probative evidence (1) that APL operates an integrated system that cannot be separated for purposes of assigning A&G, (2) that various APL expenditures benefit APDom, and (3) that various APL expenditures benefit MLB cargo. But the record shows that there are two separate systems involved--APL's system and the APDom/railroad system, and that the A&G that supports those systems belongs to separate corporations. GovGuam contends that a quantum change in the allocation of A&G should occur because some APL activities provide incidental benefits to third parties such as APDom. But the activities of any two corporations that have a regular business relationship are likely to provide mutual incidental benefits to one another. To the extent that APL expends A&G to expand APL's business, that A&G benefits many third parties--not just APDom, but also shipyards, container and chassis manufacturers and lessors, the many companies from which APL purchases supplies, and a whole host of other

entities. The A&G of these third parties likewise benefits APL to some extent. Such mutual incidental benefits do not establish that any significant quantifiable amount of APL A&G goes to support the function of rail transportation or that similarly the rail transportation causes APL to incur any additional A&G expense that it would not otherwise incur.

The Matson Precedent--MLB Expense

Finally, the APL position on MLB "expense" in the VER is consistent with the long established Matson practice of excluding the amounts that it collects from shippers for the inland movement of intermodal ocean/motor and ocean/rail cargoes. GovGuam tries to distinguish the Matson practice based on purported factual differences between APL and Matson. GovGuam notes that a smaller proportion of Matson's intermodal FEUs originate east of the Rockies and claims that this makes Matson a poor basis for comparison with APL. However, the evidentiary record shows that APL's ocean/rail intermodal movements are functionally equivalent to Matson's ocean/rail and ocean/motor carriage. There is no probative evidence in the evidentiary record to support any claim that the length of the intermodal move or any segment of it should have a controlling economic or methodological influence on the treatment of revenues paid over to third party land carriers.

GovGuam contends that Matson's exclusion of revenue paid to rail carriers is much smaller than APL's, and that it would therefore have "only a very slight impact on the accuracy of a rate of return calculation." This is contradicted by the evidence. Matson excludes from the VER, not only the revenue it pays over to rail carriers but also the

revenue that it pays over in a functionally equivalent manner to motor carriers for ICC-regulated ocean/motor cargo. Matson has a large collective amount of intermodal (ocean/rail and ocean/motor) traffic, comprising about 30% of Matson's total cargo cube and an even greater portion of its containerized cargo, and the sums that Matson pays over to inland carriers for the land portion of these intermodal moves are quite substantial. Thus, GovGuam has presented no probative evidence that the Matson practice would have "only a small impact" on its G.O. 11 bottom line rate of return.

PNW-Guam Cargo

GovGuam contends that the fact that APL included in the numerator and denominator of the VER the amounts APL expended to transport containers of Guam cargo by land from the PNW to Oakland for loading on a PIX vessel should have led APL also to include the rail revenue for MLB cargoes in its VER denominator. But the record shows that the land transportation from the PNW to Oakland, which is a direct cost of serving Guam from the PNW under APL's FMC tariff, needs to be included in the numerator of the VER as part of the voyage expense in the Guam trade because the PNW-Oakland transportation is performed in lieu of a PIX vessel call at Seattle, where other APL vessels do call. Thus, the cost is a direct expense in lieu of vessel cost and, as such, a direct expense of port-to-port service. The land transportation of MLB FEUs is not a substitute for APL vessel service. Moreover, PNW-Guam cargoes, unlike MLB FEUs, do not move under joint contracts of carriage in their substituted service. PNW-Guam cargoes move under the same regulated port-to-port rates as apply to Oakland. APL absorbs the overland

cost out of the port-to-port rate. Since the entire port-to-port rate for PNW-Guam cargoes is treated as regulated revenue in the G.O. 11 the overland cost that APL absorbs out of the regulated revenue must be treated as part of the voyage expense in the Guam trade. Since revenue from APL's MLB cargo is not included in "regulated" revenue, this reason for including the PNW cost as a G.O. 11 expense does not apply to MLB FEUs.

Because the cost of transporting PNW-Guam cargoes is appropriately included in the numerator of the VER, it is necessary to include those costs in the VER denominator as well. In contrast, the third party payout for MLB cargoes is not included in the numerator, and hence its inclusion in the denominator would violate the principle of congruence between the numerator and the denominator.

Container Costs and Investment

The VER is also used to allocate container and chassis costs and investment/depreciation of container equipment. Although there are some equipment related expenses that accrue while the container is moving by rail--e.g., lease costs and depreciation--the record is not shown to justify including rail revenue in APL's voyage expense, for *inter alia* the following reasons: Guam makes much higher than average use of high-cost reefer containers and gensets, as well as flatracks/platforms, while MLB cargoes make much lower than average use of such equipment. Guam also makes much higher than average use of chassis; and Guam consignees keep their containers 10 days longer than other PIX consignees--twice the time that an MLB FEU spends on the rails from New York to Oakland. These more than offset the costs associated with time spent on the rails. A

"reality check" on container costs shows that GovGuam's VER misallocates container expense. The record shows that GovGuam's allocation of 31 percent less container cost per FEU to Guam than to APL's overall system lacks probative value given Guam's above average use of high cost container equipment and chassis.

GovGuam's Totally New Methodology for Allocating A&G

The parties allocated A&G by applying the VER ratio to APL's company-wide cost pool for A&G. On brief, GovGuam advances a new methodology for allocating A&G, urging that what the witnesses should have done was to start with the A&G cost pool, not of APL as set out in its chart of accounts and general ledger, but of the total American President Companies ("APCo") group of corporations--including APL's sister company involved in domestic rail transportation, as well as its sister company in the real estate business. GovGuam asserts that APL's A&G for G.O. 11 purposes should be determined by assigning part of the total APCo A&G cost pool (including APDom's A&G) to APL according to a ratio representing APL's portion of total APCo operating expenses.

This methodology--suggested for the first time by counsel on brief--is accompanied by new calculations purporting to show how it would be implemented and how it assertedly relates to GovGuam's position that MLB rail "expense" should be included in the VER. GovGuam invokes the provision of the G.O. 11 regulations concerning A&G allocations in a situation "where a carrier is engaged in other business in addition to shipping." 46 CFR § 552.6(c)(4). GovGuam assumes that APCo is the relevant "carrier" for purposes of this provision, and proceeds to perform the calculations that would follow from that assumption.

However, under the Shipping Acts and the G.O. 11 regulations, APL is the respondent "carrier"--not its parent and/or sibling companies which are not parties to this proceeding.

Claims Concerning Directly Allocated A&G

GovGuam alleges that APL's G.O. 11s are methodologically incorrect insofar as APL allocated to Guam legal/consulting fees directly relating to Guam service. The record shows that the legal expenses associated with rate proceedings such as the present proceeding are part of A&G and, as such, has been typically recoverable in rate proceedings such as the numerous Matson cases.

In regard to APL's A&G allocations for 1990, APL's own system-wide average A&G/FEU was \$616. GovGuam allocated an amount (\$386/FEU) that was 37 percent lower. That Guam's A&G/FEU might be 37 percent lower than the system average is not shown to be a reasonable assumption (1) because APL's system-wide average A&G/FEU is substantially deflated by the 29 percent of system FEUs that move in the low-A&G Asia-Asia trades; (2) compared to the system average, Guam makes much higher use of high-cost U.S.-based employees; (3) within the U.S., Guam makes higher use of higher-cost California employees; (4) Guam's average shipment size is much lower than other trades where U.S.-based employees perform overhead functions that occur on a per-shipment basis (booking, documentation, etc.), i.e., those functions must be performed much more often for Guam on a per-FEU basis; (5) within APL's system, Guam has a far greater than average proportion of high-service, high-A&G FEUs, including reefer FEUs, oversize FEUs moving on flatracks/platforms, household goods FEUs, and military FEUs; (6) Guam service poses

a large number of logistical and operational problems which require the expenditure of logistics and operations-related A&G, including problems relating to Guam's deviation, draft, cranes, single container berth, port problems, stowage difficulties, and equipment repositioning needs; (7) Guam also has a low cargo volume which translates into high A&G on a per-FEU basis; and (8) Guam is far above average with respect to regulatory costs on a per-FEU basis.

APL's system average A&G/FEU for a transpacific FEU (i.e., an FEU moving to or from the U.S. mainland) is about \$715. Guam FEUs are transpacific FEUs moved by APL's transpacific system, yet GovGuam's \$386 allocation was 46 percent below the transpacific average. APL's allocation of \$911 was 27 percent higher. Given the above factors, GovGuam has failed to establish that Guam A&G expense, on a per-FEU basis, is far below APL's transpacific average.

Direct Costs for Handling/Repositioning of Empty Containers

In General

APL included direct allocations for (1) the cost of lifting containers emptied in Guam off the ship in Kaohsiung and (2) the cost of repositioning empty containers to the PNW (i) to replace containers loaded in the PNW with Guam-destined cargo and moved overland to Oakland for loading on the ships and (ii) for repositioning to Asia when the Guam crane limitations prevent the California ships from balancing the PIX service's container flow.

GovGuam included no such costs. On brief, GovGuam claims that APL's direct costs are inconsistent with G.O. 11's general scheme for treating costs associated with empties.

The Regulations

GovGuam contends that its position is required by the G.O. 11 regulations, under which GovGuam claims that "[i]t is absolutely clear that carriers filing GO-11s cannot assign costs associated with empty containers to any trade." GovGuam cites § 552.5(h), which in the course of defining "cargo cube" states: "Empty equipment, such as containers, shall be included in the computation of cargo cube only if it is a revenue-producing unit of cargo."

The quoted portion of § 552.5(h) comes into play in constructing a ratio based on cargo cube (i.e., based on FEUs) such as the FEU-mile ratio or a port FEU throughput ratio. As such, the provision has relevance to costs that are allocated by FEU-based ratios. The record shows that the above-referenced empty handling/repositioning costs were not calculated by applying a ratio based on cargo cube or FEUs. Rather, they were direct costs—separately identified and directly assigned.

Both as a general directive (§ 552.2(j)) and in the specific provisions concerning use of the FEU-mile and port throughput ratios (§§ 552.6(c)(2)(i,ii)), G.O. 11 makes clear that direct costs are preferable to ratio-allocated costs and should be identified to the extent possible before resorting to the ratios. The record shows that this is what APL did in assigning the above-noted empty handling/repositioning costs directly rather than by ratios. The definition of cargo cube as used in ratios, on which GovGuam relies, thus never comes into play.

APL assigned to the trade costs directly caused by service of the trade. APL's cost for repositioning empties to the PNW was shown to be directly connected with a revenue-producing piece of cargo and that the cargo eventually would not be moving if APL didn't replace the empty containers.

Costs for Empties

GovGuam contends that while APL has attempted to charge the Guam trade for expenses associated with empty containers, it has not done so for any other trade. GovGuam's contention is not supported by the record. For purposes of a G.O. 11 for Guam, the relevant distinction is between Guam and "non-Guam" (all other trades combined). In terms of the effect on G.O. 11's bottom line, what matters is whether the costs are allocated to Guam or non-Guam; if costs are not allocated to Guam, they are effectively allocated to other trades. APL did allocate the following empty-related costs to the "non-Guam" trades combined (1) all of the costs of handling empties at APL's inland terminals; (2) all of the costs of handling empties at APL's foreign terminals except Kaohsiung; (3) all of the costs of handling empties at Kaohsiung other than those that were directly allocated to Guam; and (4) all of the costs of handling empties at APL's west coast ports other than those that were allocated to Guam when the port FEU throughput ratios were applied to the port cost pools.

Without the direct assignments, Guam would be allocated nothing from cost pools that include costs caused by Guam service. Guam service causes a large number of empty lifts at Kaohsiung, yet without the direct assignment Guam would be allocated nothing from

the Kaohsiung cost pool. Similarly, Guam service causes a large number of empty containers to be repositioned to the PNW by rail; yet without the direct assignment Guam would effectively be allocated nothing in the way of rail repositioning costs.

APL's Estimated Average Revenue

GovGuam claims that the average revenue estimated for the replacement cargo is unreasonable when compared to APL's actual and historical operating experience. GovGuam claims that approximately 65 percent of APL's westbound cargo is low-rated bulk cargo and that rates for such cargo "might be between \$1000 per FEU and \$1600 per FEU." GovGuam claims that this means that it is only logical that, in choosing to call Guam, APL would not forego any of its higher rated westbound cargo but at most some of the low-rated cargo. GovGuam notes that the opportunity cost calculations in its Written Direct were based on this "logical premise."

To the contrary the record shows specific reefer markets in which APL could use the reefers that would be freed up by dropping Guam. APL used its actual historical average revenue. If, as GovGuam suggests, 65 percent of APL's westbound cargo moved at rates between \$1000 and \$1600 per FEU, this would mean that the other 35 percent moved at rates averaging between \$6000 and \$7000 per FEU, given the fact that the actual average was \$3122.

The Demand-Based Tests: Ramsey Pricing and the Maximum Competitive Contribution Model

Economic rate standards address two issues: cost-based limits on the range of permissible rates, and demand-based methods to determine where in the range between incremental and stand-alone costs rates should fall. These methods are aimed primarily at determining how much of a markup over incremental cost various services should bear in order to permit the firm to recover total cost, while at the same time protecting ratepayers. In this case, the finding that APL's rates were below incremental costs is dispositive of any claim that APL's rates were unreasonably high. Moreover, these tests corroborate the finding that GovGuam has not established that APL's rates were unjust or unreasonable.

Other Assertions of GovGuam Regarding "Average Allowable Revenues"

GovGuam argues that the reasonableness of its "average allowable revenues" (and by similar token the unreasonableness of APL's actual Guam revenues) can be shown by comparison to various other numbers.

APL's MARs

GovGuam suggests that its "average allowable revenue" for 1990 should be compared against APL's minimum acceptable revenue ("MAR") for 40' dry containers (on a CY-CY basis). However, as noted earlier, comparisons between average revenues and the MARs are mathematically misleading and in any event meaningless. APL's MARs in the Guam

trade bear no relation to APL's fully distributed costs. Thus GovGuam has not established any way to determine how much above the MAR average revenues should be.

Comparison to a Single Military Rate

GovGuam next suggests that the reasonableness of its "average allowable revenues" should be considered by comparison to APL's successful 1993 bid to carry military general cargo to Japan. That comparison is not shown to be of value because the transportation circumstances and conditions are not shown to be the same. GovGuam compares a single rate for a single type of container--military general cargo in 40' containers--to average revenues for a range of containers and commodities. The rate for military general cargo includes only general dry freight. It does not include such high rated commodities as reefer, automobiles and oversized cargo moved on flatracks/platforms, which are high-volume commodities in the Guam trade. Moreover, the military cargo that APL carries from California to Japan does not move on the PIX vessels, but rather is routed on APL's other California string, which bypasses Guam. This string not only goes directly to Japan (which is a shorter distance from the U.S. west coast than Guam, but it also avoids all of the operational costs associated with Guam, such as, for example, the draft constraint, the crane limitation, the excess port time, low port productivity and high port costs.

Comparison to the Hawaii Pro Forma

Finally, GovGuam suggests that a "relevant comparison" can be made to APL's pro forma economic analysis of its proposed Hawaii service in MarAd Docket S-801, as to which GovGuam suggests that APL would have been profitable at average revenues below GovGuam's 1990 "average allowable revenue" for Guam. This comparison is not shown to have any probative value. The record shows that APL's pro forma economic analysis of Hawaii was performed on an incremental, not on an FDC, basis. The figures used were for 1987, not 1990, and the Hawaii pro forma assumed that Hawaii would have none of the disproportionate shares of high service, high cost commodities that contribute to the high cost of serving Guam. Thus, Hawaii was assumed to have (1) only 7% reefer cargo, half Guam's proportion, (2) no flatracks/platforms, compared to 8% for Guam, (3) only 7% military cargo, compared to 20% for Guam, and (4) no PNW cargo needing overland transportation. Moreover, Hawaii is not only closer to the west coast than Guam, it also did not have the many operational burdens that make it so expensive to call Guam, such as the draft and crane limitations. Finally, the Hawaii call would have provided APL with a substantial capacity bonus as opposed to the capacity loss caused by Guam, since the Hawaii call would have liberated the capacity captured by Guam's shallow draft.

Relevance of G.O. 11 to Individual Rates

GovGuam contends that its evidence as to APL's overall revenues in the Guam trade show that the rate for each individual commodity, including the 18 low-rated commodities

that were increased in 1989, was too high by a uniform percentage, reflecting the relationship between the actual revenues and what GovGuam calculated to be the "allowable average revenues." GovGuam's argument rests on two necessary predicates. First, it requires the conclusion that the "average allowable revenues" which it calculated are correct. However, as noted, GovGuam has failed to establish this. Second, GovGuam's argument also requires the conclusion that a G.O. 11 analysis of overall revenues is both legally and economically translatable into conclusions about individual rates. The record shows, however, that it is neither. As a matter of law, evidence as to overall revenues is not shown to be of any real value in a determination as to the reasonableness of any individual rate or rates. And as a matter of economics, it is clear that the reasonableness of individual rates is determined by transportation circumstances, conditions, and criteria wholly different from those relating to overall revenues for the entire trade, and that there is no concomitant relationship between individual tariff rates and trade-wide average cost or revenue figures.

GovGuam proposes that rates for the 18 low-rated commodities be evaluated not by reference to the containers those commodities moved in, but instead by reference to 20' foot containers that it deems more "appropriate" for those commodities. GovGuam asserts that "shippers become very 'irate' when they are subjected to the 40-foot container minimum charge." The only support in the record for this proposition is a February 1987 memorandum of the Guam Rate Agreement allowing 40' containers to be substituted without charge for 20' containers when the latter were not available. But there is no evidence that this temporary shortage of 20' containers existed during the period at issue.

The record also shows to the contrary that shippers prefer 40' containers for these commodities--92 percent of APL's shipments of these commodities move in 40' containers.

GovGuam asserts that its G.O. 11 analysis can be used to restructure the APL tariff by reducing each and every rate by a set percentage. However, there is no rational possibility in this case of rearranging APL's tariff in the manner suggested by GovGuam. Prospectively, the Commission lacks jurisdiction over virtually all of APL's and Sea-Land's rates, which are not filed at the FMC. And as a retrospective matter, any reparations in this matter would affect only four shippers, who collectively represent less than 3% of APL's volume to Guam, so the Commission could at most adjust the rates for those shippers for commodities they shipped, but not any other rates.

Intervenor Military Sealift Command's Contentions

Intervenor Military Sealift Command ("MSC") argues that the authorizations included in sections 552.1(b) and (d) are restricted to conditions where it can be demonstrated that use of the standard methodology will produce confiscatory rates that violate the Fifth Amendment. In Docket No. 90-09, the Commission relied on section 552.1(d) in refusing to apply the provision of G.O. 11 that governs the issue of when vessels withdrawn from the service for renovation may be included in the rate base, concluding that waiver of the requirements set forth in that section was necessary "in order to achieve a fair and reasonable result in this case." At no point did the Commission suggest that, absent this break from the standard regulation, Matson's rates would be confiscatory. Rather, the Commission explained that it departed from G.O. 11's standard provision because it did not

want to create a precedent that might induce carriers to delay needed vessel modification and so "work to the detriment of ratepayers." In contrast, when the Commission considered Matson's evidence and arguments that its ability to attract capital would be impaired under the rates of return advocated by Hearing Counsel and Hawaii, the Commission explained that G.O. 11 could not be applied if it produced confiscatory rates as Matson claimed, without even passing reference to sections 522.1(b) and (d). *Matson Navigation Co., Inc.--Proposed General Rate Increase*, 25 SRR 1192, 1209-10 (1990), affirmed *Matson Navigation Company, Inc. v. FMC*, 959 F.2d 1039 (D.C. Cir. 1992), 26 SRR 283.

MSC suggests that, overall rate of return issues apart, one can gain insight into the reasonableness of rates in one trade by comparing "commodity rates in other trades." MSC compares APL's average revenues with GovGuam's calculated G.O. 11 "average allowable revenue"--which assumes the reasonableness of GovGuam's G.O. 11's--and trade-wide average revenues between different trades. In making these comparisons, MSC focuses on a comparison between Guam and the Far East trades but this ignores (1) the different operating characteristics between the two trades, which materially burden the cost of service to Guam versus the cost of service to the Far East, (2) the difference between the cargo mix, and the record which shows that for comparable cargoes Guam rates are fully competitive with rates to the Far East, and (3) the circumstances existing in the Far East trade during the period in question that caused Far East rates to be seriously depressed. MSC recognizes that "[w]hether another trade's commodity rates are probative and relevant to the question of reasonableness of the commodity rates in this case depends upon the

comparability of the two trades." MSC's omission of any discussion of evidence of comparability of trades limits the probative value of its assertions.

The Commission decision MSC cites as support for its claim that findings in general revenue proceedings can be applied to individual commodity rates, *Matson Navigation Company--Proposed Rate Increases*, 19 SRR 263, 270 n. 25 (FMC 1979), arose and by its terms has relevance only in the context of a general rate increase, not, as here, an after the fact challenge to a carrier's entire tariff. Finally, MSC attacks the rate on household goods as too high, stating that MSC is "particularly interested" in this rate. However, if MSC sought to challenge the reasonableness of household goods rates as distinct from the APL Guam tariff as a whole, it had the obligation to notice that challenge to this rate in the form of a complaint, and to present evidence substantiating its claim that the rate on this commodity, as such, was in excess of a maximum reasonable level. It did neither. Thus, it is too late for MSC--which filed no complaint in this action, and as an intervenor filed no evidence--to assert new claims that are not comprehended by GovGuam's complaint that serves as the basis of this proceeding.